COMPANIES ACT, 2063 (2006)

Act No. 18 of the year 2063

(Unofficial Translation)

	Particulars	Date (BS)
	Date of Authentication	2063.07.24
	Acts amending this Act: (Date of Authentication)	
1	Some Nepal Acts Amendment Act, 2064	2064.05.09
2	Companies (First Amendment) Act, 2074	2074.01.19
3	Act Amending Some Nepal Acts to Make Them Consistent with the Constitution of Nepal, 2075	2075.11.19
4	Act Amending Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2081	2081.12.18

An Act made to amend and consolidate the law relating to companies

Preamble: Whereas, it is expedient to amend and consolidate the law relating to companies in order to promote investment in the fields of industry, trade and business through economic liberalization, to bring dynamism in the economic development of the country and to make the incorporation, operation and administration of companies further easier, simpler and more transparent;

Now, therefore, the House of Representatives has enacted this Act in the first year of the issuance of the Proclamation of the House of Representatives, 2063.

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Chapter-1
Preliminary

1. Short title and commencement:–

(1) This Act may be called the "Companies Act, 2063 (2006)."

(2) This Act shall be deemed to have come into force on 20 Ashoj 2063.

2. Definitions:–

Unless the subject or context otherwise requires, in this Act,–

(a) "Company" means a company incorporated under this Act.

(b) "Private company" means a private company incorporated under this Act.

(c) "Public company" means a company other than a private company.

(d) "Holding company" means a company which controls a subsidiary company.

(e) "Subsidiary company" means a company under the control of a holding company.

(f) "Foreign company" means a company incorporated outside the State of Nepal.

(g) "Listed company" means a public company which has listed its securities in a securities exchange market.

(h) "Company not distributing profit" means a company incorporated under Chapter-19 on the condition that, for the attainment of any objective, it shall not distribute or pay any dividend or any other amount to its members out of the profits earned or savings.

(i) "Promoter" means a person who signs, in the capacity of a promoter, agreeing to the matters contained in the memorandum of association and articles of association to be filed with the Office for the incorporation of a company.

(j) "Officer" means a director, chief executive, manager, company secretary, liquidator of a company and also includes any employee holding departmental responsibility.

(k) "Memorandum of association" means the memorandum of association of a company.

(l) "Articles of association" means the articles of association of a company.

(m) "Prospectus" means a prospectus required to be published by a company under section 23.

(n) "Share" means a divided part of the capital of a company.

(o) "Preference share" means a share issued as a preference share under this Act.

(p) "Ordinary share" means a share other than a preference share.

(q) "Bonus share" means a share issued to the shareholders as additional shares by capitalizing the savings or reserve fund out of the profits of the company, and the

term also includes the increase in the paid-up amount of shares by capitalizing the savings or reserve fund.

(r) "Shareholder" means a person having ownership in the shares of a company.

(s) "Debenture" means a debt instrument issued by a company, whether or not mortgaging the property of the company.

(t) "Debenture trustee" means a body corporate which takes the responsibility of protecting the interests of the debenture holders when a company issues debentures.

(u) "Register" means the register of shareholders or debenture holders maintained under section 46.

(u1) [1]"Electronic record" means the safe storage in a computer system of all kinds of documents submitted by a company to the Office in electronic form and of the documents sent by the Office to the company.

(v) "Company seal" means the seal of a company used by the company.

(w) "Securities Board" means the Securities Board established under the prevailing law to regulate and manage securities.

(x) "Securities" means shares, bonds, debentures or debt instruments issued by a company, and the term also includes receipts relating to the deposit of securities and rights and entitlements relating to securities.

(y) "Director" means a director of a company, and the term also includes an alternate director.

(z) "Board of directors" means the board of directors of a company.

(z1) "Managing director" means the managing director of a company.

(z2) "Premium share" means a share issued by a company to be sold at a price higher than the face value of the share.

(z3) "Net worth" means the amount remaining after deducting, from the total property of the company existing for the time being, all liabilities other than the paid-up capital, any reserve or fund by whatever name called in which the shareholders have rights, the accumulated profits or any goodwill of the company, and also deducting the accumulated loss, if any.

(z4) "Consensus agreement" means an agreement made by consensus among all the existing shareholders of a private company in relation to the operation of the company.

[1]Inserted by the Companies (First Amendment) Act, 2074.

(z5) [2]"Office" means the Office of the Company Registrar established by Nepal Government for the administration of companies, and the term also includes a branch office of the Office of the Company Registrar.

(z6) "Registrar" means the Registrar of the Office.

(z7) "Independent director" means an independent director appointed under sub-section (3) of section 86.

(z8) "Court" means the commercial bench of the court specified by Nepal Government, with the consent of the Supreme Court, by a notification published in the Nepal Gazette.

(z9) "Close relative" means a coparcener of the joint family or husband, wife, father, mother, mother-in-law, father-in-law, elder brother, younger brother, elder sister, younger sister, elder brother's wife, younger brother's wife, wife's brother, wife's sister, sister's husband, paternal uncle, paternal aunt, maternal uncle, maternal aunt, son, daughter, son's wife, grandson, granddaughter, grandson's wife or son-in-law.

(z10) "Prescribed" or "as prescribed" means prescribed or as prescribed by Nepal Government by a notification published in the Nepal Gazette.

Chapter-2
Incorporation of Company

3. Incorporation of company:–

(1) Any person desiring to carry on any enterprise with a profit motive may, alone or jointly with others, incorporate a company for the attainment of one or more objectives as mentioned in the memorandum of association.

(2) There shall be at least seven promoters for the incorporation of a public company.

Provided that the requirement of seven promoters shall not apply where a public company incorporates another public company.

(3) Notwithstanding anything contained elsewhere in this section, a company not distributing profit may be incorporated for the attainment of one or more objectives subject to the provisions of Chapter-19.

4. Application to be made for incorporation of company:–

[3](1) A person desiring to incorporate a company under section 3 shall make an application to the Office through electronic means for the approval of the proposed name of the company.

[2]Amended by the Companies (First Amendment) Act, 2074.

[3]Amended by the Companies (First Amendment) Act, 2074.

(2) Upon receiving information that the name of the company has been approved by the Office under sub-section (1), the applicant shall submit an application to the Office in the prescribed format by uploading the following documents to the computer system through electronic means:–

(a) Memorandum of association of the proposed company,

(b) Articles of association of the proposed company,

(c) In the case of a public company, a copy of the agreement, if any, made among the promoters before the incorporation of the company,

(d) In the case of a private company, a copy of the consensus agreement, if any,

(e) Where the law requires prior approval or a licence from any body before registering a company carrying on any particular type of business or transaction, such approval or licence,

(f) Where a promoter is a Nepali citizen, a certified copy of the citizenship [4]certificate; where a promoter is a person who has obtained non-resident Nepali citizenship, a certified copy of his or her certificate of non-resident Nepali citizenship; and where a body corporate is a promoter, the registration certificate of such body, the decision of its board of directors relating to the incorporation of the company and the principal document relating to the incorporation of such body,

(g) Where a foreign person, company or body is a promoter, the permission obtained under the law for making investment or carrying on business or transaction in Nepal,

(h) Where a foreign person is a promoter, a document certifying the country of which he or she is a citizen,

(i) Where a foreign company or body is a promoter, a certified copy of the certificate of incorporation and the principal document relating to the incorporation of such company or body.

(3) Notwithstanding anything contained in clause (b) of sub-section (2), it shall not be necessary to submit the articles of association of the proposed company for the incorporation of a single shareholder company in which only one person is the promoter, if the promoter agrees to accept the prescribed format of articles of association.

5. Company to be registered:–

(1) Where an application is made under section 4 for the incorporation of a company, the Office shall make necessary inquiries and, within [5]seven days from the date of the application, register such company on charging the prescribed fee and issue a certificate

[4]Amended by the Act Amending Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2081.

[5]Amended by the Companies (First Amendment) Act, 2074.

of registration of the company to the applicant in the prescribed format. [6]If the company is not registered within the prescribed time, the Office shall inform the proposed company with reasons within three days.

[7](1a) Electronic signatures shall also be valid in authenticating the application and documents relating to the certificate, and the documents may be submitted through electronic means.

(2) The company shall be deemed to have been incorporated after the registration of the company under sub-section (1).

(3) The Office shall maintain a register of companies in the prescribed format for the purposes of sub-section (1).

(4) After the incorporation of a company under this section, the matters contained in the memorandum of association and articles of association shall, subject to this Act, be binding on the company and its shareholders as if they were provisions of separate agreements made between the company and each of its shareholders and among the shareholders themselves.

(5) No person shall carry on any kind of transaction in the name of any firm or institution by using the word "company" without registering a company under this Act.

6. Registration of company may be refused:–

(1) The Office may refuse to register a company in any of the following circumstances:–

(a) [8]If the name of the proposed company is identical with the name of any company already registered and existing or with the name of any trademark, or is similar to the name of such company or trademark so as to cause confusion,

(b) If the name or objective of the proposed company is contrary to the prevailing law, or appears improper or undesirable from any point of view such as public interest, morality, decency or etiquette, or appears to reflect the intention of a criminal act,

(c) If the name of the proposed company is identical with, or similar so as to cause confusion to, the name of a company which has been struck off under this Act or has become insolvent under the prevailing law, and a period of five years has not been completed since such striking off or insolvency,

(d) If the conditions required for the incorporation of a company under this Act have not been fulfilled.

(2) Where the Office refuses to register a company due to the occurrence of any circumstance mentioned in sub-section (1), it shall give a notice thereof, with reasons, to

[6]Inserted by the Companies (First Amendment) Act, 2074.
[7]Inserted by the Companies (First Amendment) Act, 2074.
[8]Amended by the Companies (First Amendment) Act, 2074.

the applicant within fifteen days from the date of the application made under section 4 for the incorporation of the company.

(3) A person who is not satisfied with the refusal by the Office to register a company under sub-section (1), or with the failure to give a notice under sub-section (2), may file a complaint in the Court within fifteen days.

7. Company to be body corporate:–

(1) A company incorporated under this Act shall be an autonomous and corporate body with perpetual succession.

(2) A company may, subject to this Act, acquire, hold, sell, dispose of or otherwise deal with movable and immovable property like an individual.

(3) A company may sue in its own name and may also be sued in the same name.

(4) A company may, like an individual, enter into contracts and exercise rights and perform liabilities under the contracts.

8. Limited liability:–

The liability of a shareholder in relation to the transactions of a company incorporated under this Act shall be limited only up to the maximum amount of the shares purchased or agreed to be purchased by him or her.

9. Number of shareholders:–

(1) The number of shareholders of a private company shall not exceed [9]one hundred and one.

[10](1a) Notwithstanding anything contained in sub-section (1), if transport entrepreneurs affiliated to a transport entrepreneurs' committee registered and operated under the prevailing law make an application, within three months from the date of commencement of this sub-section, to incorporate a private company and carry on the transport business, nothing shall bar the registration of such private company even if the number of shareholders exceeds the number mentioned in sub-section (1).

(2) Subject to the proviso to sub-section (2) of section 3, the number of shareholders of a public company shall be at least seven and may be any number at the maximum.

(3) Notwithstanding anything contained in sub-section (1), employees who have purchased shares of the company under an employee share sale scheme, or employees who have purchased shares under such scheme but are not for the time being in the service of the company, shall not be counted as shareholders.

[9]Amended by the Companies (First Amendment) Act, 2074.

[10]Inserted by the Act Amending Some Nepal Acts to Make Them Consistent with the Constitution of Nepal, 2075.

10. Conditions to be complied with by company:–

A company incorporated under this Act shall, in addition to the conditions mentioned in this Act, the memorandum of association or the articles of association, comply with the following conditions:–

(a) It shall carry on all its business and transactions in the name of the company.

(b) A private company shall write "Private Limited" and a public company shall write "Limited" after its name.

Provided that this provision shall not apply to a company not distributing profit.

(c) A private company shall not sell its shares and debentures publicly.

(d) A private company shall not mortgage or pledge its securities to, or otherwise relinquish its title in favour of, any person other than its shareholders without completing the procedures provided for in the memorandum of association, articles of association or consensus agreement.

(e) A company shall not open a partnership or private firm.

(f) Except as otherwise provided in this Act, a company not distributing profit shall not distribute dividends to its members or pay any amount, directly or indirectly, to a member or his or her close relative.

11. Paid-up capital of public company:–

(1) Except as otherwise provided in the prevailing law, or except where Nepal Government, by a notification published in the Nepal Gazette, requires the paid-up capital of any particular company to be higher, the paid-up capital of a public company shall be at least one crore rupees.

(2) Notwithstanding anything contained in sub-section (1), a public company which does not have the paid-up capital mentioned in that sub-section at the time of commencement of this Act shall maintain the capital referred to in sub-section (1) by 22 Ashwin 2065.

12. Companies carrying on certain transactions to be public companies:–

Notwithstanding anything contained elsewhere in this Act, a company carrying on banking transactions, financial transactions, insurance business, securities market business, or operating a retirement fund or collective investment fund (mutual fund), [11]a telecommunication service provider company having paid-up capital of more than five crore rupees, or a company carrying on such other business or transaction as prescribed, shall be incorporated as a public company. [12]Private companies registered at present shall have been converted into public companies under this section within two years.

[11]Inserted by the Companies (First Amendment) Act, 2074.
[12]Inserted by the Companies (First Amendment) Act, 2074.

13. Conversion of private company into public company:–

(1) A private company shall be converted into a public company under this section in the following circumstances:–

(a) If the general meeting of the private company passes a special resolution and decides to convert the company into a public company,

Provided that a private company shall not be converted into a public company if it does not fulfil the conditions required under this Act for being a public company.

(b) [13].....

(c) [14].....

(2) In the circumstance of clause (a) of sub-section (1), the concerned private company shall, attaching a copy of the decision referred to in that clause, make an application as prescribed to the Office, together with the prescribed fee, within thirty days from the date of such decision for its conversion into a public company.

(3) Where an application is received by the Office under sub-section (2) and the concerned private company has fulfilled the conditions required for carrying on transactions as a public company under this Act, the Office shall, recording in the register of companies the fact that such company has been converted into a public company, issue a certificate of conversion of the company as prescribed within sixty days.

(4) [15].....

(5) [16].....

(6) [17].....

(7) [18].....

(8) Where any private company is converted into a public company under this section, the provisions applicable to a public company under this Act shall be deemed to automatically apply to such company from the date of such conversion.

(9) Where any private company is converted into a public company under this section, all assets and liabilities of the private company so converted shall devolve on the latter company.

[13]Omitted by the Companies (First Amendment) Act, 2074.
[14]Omitted by the Companies (First Amendment) Act, 2074.
[15]Omitted by the Companies (First Amendment) Act, 2074.
[16]Omitted by the Companies (First Amendment) Act, 2074.
[17]Omitted by the Companies (First Amendment) Act, 2074.
[18]Omitted by the Companies (First Amendment) Act, 2074.

14. Conversion of public company into private company:–

(1) A public company shall be converted into a private company under this section in the following circumstances:–

(a) If the number of shareholders of a public company becomes less than seven,

(b) If a public company is unable to maintain its paid-up capital under section 11, or if the paid-up capital under section 11 does not remain due to the reduction of capital under section 57.

Provided that this provision shall not apply to a company referred to in sub-section (2) of section 11.

(2) If the circumstance referred to in sub-section (1) occurs, the concerned public company shall, within six months, make necessary amendments to its memorandum of association and articles of association and convert itself into a private company.

(3) The concerned public company shall, attaching copies of the memorandum of association and articles of association amended under sub-section (2), make an application to the Office in the prescribed format, together with the prescribed fee, within thirty days of such amendment for its conversion into a private company.

(4) Where an application is received by the Office under sub-section (3), the Office shall, recording in the register of companies the fact that such company has been converted into a private company, issue a certificate of conversion into a private company as prescribed within sixty days.

(5) Where a public company is converted into a private company under sub-section (4), all assets and liabilities of the public company so converted shall devolve on the latter company.

15. Service of time-limit, notice etc.:–

(1) Notwithstanding anything contained in the prevailing law, where any notice, time-limit, summons etc. is required to be served on any company, director, shareholder, debenture holder or employee in relation to the transactions of the company or any matter connected with the company, such notice, time-limit, summons etc. shall be deemed to have been duly served if it is delivered at the registered office of the company, or sent by registered post, or sent through the telefax, e-mail, telex or other similar electronic device maintained at such office. If such notice, time-limit, summons etc. cannot be so served, the concerned company, director or employee may be informed thereof by broadcasting or publishing a notice thereof on radio, television or in a national level daily newspaper. Such notice so given shall be deemed to have been received by him or her.

(2) Notwithstanding anything contained in the prevailing law, where any time-limit, notice, summons etc. is required to be served on any director, shareholder, debenture holder or employee of a company, on behalf of the company or of any authorized officer or court, in relation to any matter connected with official functions, it may be sent to the

telex, e-mail or telefax address, if any, given by such director, shareholder or employee, and where such address has not been given, by registered post to the address given for correspondence by post, and where it is so sent, such notice, time-limit, summons etc. shall be deemed to have been duly served.

(3) Notwithstanding anything contained elsewhere in this Act, while providing any notice or information required to be sent under this Act to any shareholder, debenture holder or director, or while obtaining any information from them, a company may, if so provided in its articles of association or with their consent, use electronic means of communication and send it to the electronic address provided by them.

Provided that such notice or information shall be sent by post or other reliable means to a shareholder, debenture holder or director who does not consent to receive such notice or information through electronic means of communication.

16. Functions and duties of Registrar:–

(1) It shall be the duty of the Registrar to implement this Act and to administer companies.

(2) Without prejudice to the generality of sub-section (1), the Registrar may frame and issue necessary guidelines in order to effectively and systematically carry out the functions relating to the implementation of this Act and the administration of companies, and it shall be the duty of every company and officer to comply with such guidelines.

(3) The guidelines issued under sub-section (2) shall be published in such a manner as to be available to the general public.

(4) The Registrar may, as required, delegate some of the powers conferred on him or her under this Act to any [19]officer-level employee of the Office.

(5) Notwithstanding anything contained elsewhere in this section, nothing in this section shall be deemed to limit any direction given by any regulatory body to any company under the prevailing law, or the power exercisable by such body in relation to such company under the prevailing law.

17. Pre-incorporation contract:–

(1) A contract made before the incorporation of a company shall only be a proposed contract, and such contract shall not be binding on the company.

(2) If any person carries on any transaction or borrows any loan on behalf of the company before the incorporation of the company, such person shall, subject to sub-section (3), personally bear the liability towards the contract relating to the transaction so made.

(3) If the company, through its acts, conduct or behaviour, accepts or consents to the acts done or loan borrowed before the date on which it obtained the right to commence business, within the time mentioned in the transaction or within a reasonable time after its

[19]Amended by the Companies (First Amendment) Act, 2074.

incorporation, such transaction shall be binding on the company and the other party to the contract, and the person who carried out such act on behalf of the company shall be released from the personal liability to be borne under sub-section (2).

(4) Notwithstanding anything contained elsewhere in this section, in relation to contracts made before the incorporation of a private company, the matter shall be as provided in the consensus agreement of such company.

Chapter-3
Memorandum of Association, Articles of Association and Prospectus

18. Memorandum of association:–

(1) The memorandum of association of a company shall contain the following matters:–

(a) Name of the company,

(b) Address of the registered office of the company,

(c) Objectives of the company,

(d) Functions to be performed for the attainment of the objectives of the company,

(e) Amount of the authorized capital of the company, amount of the share capital to be issued immediately by the company and the amount agreed to be paid up by the promoters of the company,

(f) Types of shares of the company, the rights and entitlements attached to such shares, the value of each share and the number of shares of different types,

(g) Any restriction on the purchase or transfer of shares, if any,

(h) Number of shares agreed to be taken immediately by the promoters,

(i) Conditions for payment of the amount of shares,

(j) A statement that the liability of the shareholders shall be limited,

(k) In the case of a private company, the maximum number of shareholders,

(l) Other necessary matters.

(2) In addition to the matters mentioned in sub-section (1), if any of the following matters is to be done or is to occur, such matters shall also be mentioned in the memorandum of association:–

(a) If the promoters or any other person is to purchase shares or acquire title to shares otherwise than in cash, that matter,

(b) If the company is to acquire any property in any manner from the promoters or any other person at the time of commencement of business by the company, that matter,

(c) If the expenses incurred in the incorporation of the company are to be borne by the company itself, that matter,

(d) If the promoters or any other person is to obtain any special facility or right from the company, that matter.

(3) Where, as mentioned in clause (a) of sub-section (2), the promoters or any other person purchase shares or acquire title to shares otherwise than in cash, and where, as mentioned in clause (b), the company acquires any property from the promoters or any other person at the time of commencement of the business of the company, such things other than cash or such property shall, in the case of a public company, be valued by an engineer or accounting professional holding a certificate for valuation under the prevailing law.

[20](3a) A company may, even after its incorporation, grant to the promoters or any other person the right to purchase or be issued shares, or to acquire title to shares, otherwise than in cash.

[21](3b) A company shall pass a special resolution at its general meeting when issuing or selling shares or granting rights to the promoters or any other person otherwise than in cash. While passing such special resolution, it may decide to issue or sell the shares at a discount.

[22](3c) While issuing or selling shares or granting rights to the promoters or any other person otherwise than in cash under this section, the company may also take as a basis the intellectual property, value addition, service, business goodwill, technical information (know-how sharing) or the transfer of technical knowledge to be received by the company from the promoters or such person. The value of the shares so issued shall be based on the value determined, with reasons, by an engineer or accounting professional holding a certificate for valuation under the prevailing law.

[23](3d) Where there is a written agreement between a company and its employee, shares may be granted in lieu of the remuneration, allowances and facilities to be provided to such employee.

[24](3e) The shares granted to the promoters or any other person otherwise than in cash under clause (a) of sub-section (2) shall not exceed twenty percent of the paid-up capital of the company.

Provided that, in the case of a company registered as a start-up enterprise, it shall not exceed forty percent of the paid-up capital of the company.

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[20]Inserted by the Act Amending Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2081.
[21]Inserted by the Act Amending Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2081.
[22]Inserted by the Act Amending Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2081.
[23]Inserted by the Act Amending Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2081.
[24]Inserted by the Act Amending Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2081.

(4) The basis for the valuation of any property under sub-section (3) shall be as prescribed and, where not so prescribed, the person valuing such property shall mention the details of the property and the basis of valuation.

(5) The memorandum of association shall, to the extent of its inconsistency with this Act, be ipso facto void.

(6) The format of the memorandum of association shall be as prescribed.

19. Memorandum of association to be signed:–

(1) The memorandum of association shall mention the full names and addresses of the promoters of the company, show the number of shares agreed to be taken by each promoter and bear the signatures of all of them.

(2) The name and address of a separate witness for each promoter shall be clearly shown, and the signature of such witness shall also be affixed on the memorandum of association.

(3) Each promoter shall have agreed to purchase the shares as specified in the articles of association of the company and, where not so specified, at least one hundred shares.

(4) An application may be made to the Office, by a decision of the board of directors of the company within one year of the incorporation of the company, for the correction of minor errors or printing or typing mistakes appearing in the memorandum of association and articles of association submitted with the application made under section 4.

(5) Where an application is received under sub-section (4), the Office shall examine it and, if it considers it appropriate, correct such error or mistake and keep a record thereof.

Provided that no matter shall be corrected so as to make a difference in the main objective of the company.

20. Articles of association:–

(1) Articles of association shall be framed for attaining the objectives mentioned in the memorandum of association and for conducting the business of the company in a well-managed manner.

(2) The articles of association shall contain the following matters:–

(a) Matters relating to the manner of calling the general meeting of the company and the notice to be given for the meeting,

(b) Procedures of the general meeting,

(c) Number of directors, provision for alternate directors, if any, and the tenure of directors,

(d) Provisions relating to the records of the decisions of the general meeting and the board of directors, and the copies and inspection thereof,

(e) Where a person is required to hold shares to be appointed as a director of the company, the minimum number of such shares,

(f) In the case of a public company, the qualifications and number of independent directors,

(g) Where any professional person other than a shareholder is to be appointed as a director, provisions relating to their number, tenure, qualifications and appointment procedure,

(h) Powers and duties of the board of directors and the managing director,

(i) Powers of directors and delegation of powers,

(j) Quorum of the meeting of the board of directors, notice of the meeting and procedures of the meeting,

(k) Matters relating to lien on shares,

(l) Various classes of shares and the rights, entitlements and restrictions attached to such shares,

(m) Provisions relating to calls for payment of the amount of shares and forfeiture of shares,

(n) Provisions relating to transfer of shares,

(o) Matters relating to increase or reduction of share capital,

(p) If the company is to purchase its own shares, that matter,

(q) Appointment of the company secretary,

(r) Provisions relating to remuneration, allowances and facilities of directors,

(s) Use of the company seal, if a seal is to be used in its transactions,

(t) Accounts, books of account and audit of the company,

(u) Provisions enabling raising of loans or debentures,

(v) Matters relating to amalgamation of the company,

(w) Matters required by the prevailing law to be mentioned in the articles of association of a company carrying on any particular business,

(x) Other necessary matters to be mentioned in the articles of association.

(3) Any provision of the articles of association, including any provision relating to the protection of a director or officer of the company, which is inconsistent with this Act and the memorandum of association shall be void to the extent of such inconsistency.

(4) The format of the articles of association shall be as prescribed.

21. Amendment to memorandum of association or articles of association:–

(1) The general meeting of a company may, by passing a special resolution, amend the memorandum of association or articles of association subject to section 6.

(2) The company shall give information of the amendment made to the memorandum of association or articles of association under sub-section (1) to the Office within thirty days, and the Office shall, within seven days of receiving such information, record it and inform the concerned company thereof.

(3) Notwithstanding anything contained in sub-section (2), where a company has to amend its name, it shall pass a special resolution at the general meeting and make an application, together with the prescribed fee, for the prior approval of the Office, and the name of the company shall be amended if the Office grants approval for amending the name in accordance with the application so received.

(4) A shareholder of a public company who is not satisfied with the amendment made to the objectives of the company may, stating the reasons therefor, make an application to the Court for getting such amendment declared invalid, by fulfilling the following conditions:–

(a) The application shall be made by a shareholder or shareholders, other than the shareholders who consented to or voted for the amendment or change, holding at least five percent of the paid-up capital of the company,

(b) The application shall have been made within twenty-one days of the passing of the resolution to amend the objectives of the company,

(c) Where anyone makes the application on behalf of one or more shareholders entitled to make the application, the application shall be made by a person authorized in writing for that purpose.

(5) No hearing shall be held on the application made under sub-section (4) until the Court is satisfied that the company has also been informed about the content, date, time and place of such application.

Provided that if it appears from the documents submitted before the Court that the concerned company has not received such notice, nothing shall bar the hearing by the Court.

(6) Where an application is made to the Court under sub-section (4), the amendment made to the objectives of the company shall not be effective until a final decision or order is made by the Court on that matter.

(7) The Court may, on the application made under sub-section (4), issue an appropriate order specifying the following conditions and circumstances:–

(a) To declare the amendment made to the objectives of the company valid or invalid, wholly or partly,

(b) To have the company purchase, at a reasonable price, the shares and other rights held by the shareholders who, disagreeing with the change in the main objectives of the company, made the application under sub-section (4),

(c) To make the purchase of shares under clause (b) from the amount referred to in sub-section (2) of section 61 and, in the case of a company not having such amount, to order the reduction of the share capital of the company to the extent of the shares so purchased, which shall be deemed as reduction of capital by the company by passing a special resolution, and where such order is made, the company shall amend its memorandum of association and articles of association subject to the provisions of this Act.

(8) Notwithstanding anything contained elsewhere in this Act, where an order has been issued by the Court wholly or partly quashing the decision made by the company to amend its objectives, the company shall not amend its memorandum of association or articles of association on that matter without the permission of the Court or contrary to the order of the Court.

(9) Where any change has been made to the memorandum of association or articles of association of a company by an order of the Court, or where the amendment made by the company has been wholly or partly approved by the Court, such change or approval shall be deemed to have been changed or approved by the general meeting of the company itself and shall be implemented accordingly.

22. Memorandum of association and articles of association to be published:–

(1) A public company shall publish its memorandum of association and articles of association within three months of obtaining permission to commence business.

(2) If any amendment is made to the memorandum of association and articles of association of a public company, the amended memorandum of association and articles of association shall be published within three months of such amendment.

(3) A public company shall keep the memorandum of association and articles of association published under sub-section (1) or (2) at the registered office of the company in such a manner that they can be made available when demanded by the stakeholders.

23. Prospectus to be published:–

(1) A public company shall publish a prospectus before making a public issue of its securities.

(2) Before publishing the prospectus under sub-section (1), all the directors of the company shall sign the prospectus and make a written application to the Securities Board, under the prevailing law relating to securities, for its approval.

(3) No company or any person on behalf of the company shall publish or cause to be published the prospectus of such company until the Securities Board approves it under

sub-section (2), grants permission for the public issue and a copy of such prospectus is registered with the Office.

(4) If it appears that any important matter has been omitted or any unnecessary matter has been mentioned in the prospectus submitted under sub-section (2), the Securities Board shall cause necessary amendments or additions and deletions to be made to such prospectus under the law and grant approval for its publication.

(5) Where the prospectus submitted under sub-section (2) is approved by the Securities Board, the concerned company shall give written information thereof to the Office along with a copy of the letter of approval of the Securities Board, and the Office shall, upon receiving such information, register the prospectus under this section.

Provided that the Office may refuse to register it if it appears that any matter provided for in this Act has not been complied with.

(6) If any person demands a copy of the prospectus registered by the Office under sub-section (5), the Office shall provide it on charging the prescribed fee.

(7) While publishing the prospectus under sub-section (1), the company shall clearly mention therein the fact, together with the date, that such prospectus has been approved by the Securities Board and registered with the Office.

(8) The cover page of every prospectus shall also mention that such prospectus has been registered under this section and that the Securities Board or the Office shall not bear any kind of responsibility in relation to the matters mentioned in such prospectus.

(9) Before the Securities Board approves the prospectus of any company, the concerned company shall make a declaration to the Securities Board regarding compliance with the provisions of this Act, and the Securities Board may, if it considers necessary, seek the opinion of the Office in that respect.

(10) Other procedures to be completed while publishing a prospectus and the matters to be disclosed in the prospectus shall be as mentioned in the prevailing law relating to securities transactions.

24. Accountability for matters contained in prospectus:–

(1) It shall be the duty and liability of the concerned company to comply with the matters contained in the prospectus published under section 23.

(2) The directors who sign the prospectus shall be accountable for the matters mentioned in the prospectus under sub-section (1).

(3) Where a prospectus has been published by mentioning false matters with mala fide intention or knowingly, and any person has suffered loss or damage by reason of having purchased securities relying on such prospectus, the directors who signed the prospectus shall personally bear the compensation for the actual loss or damage so suffered.

Provided that a director who resigned before the company decided to publish the prospectus, or who, having known that false matters were mentioned in the prospectus, published a notice thereof so that the general public could know it before the securities were sold or allotted, or who proves that he or she did not know that the matter mentioned in the prospectus was false, shall not be required to bear such compensation.

25. Copies to be provided:–

(1) If any shareholder or any other stakeholder demands a copy of the memorandum of association, articles of association, prospectus, annual accounts and audit report or directors' report or any document submitted by the company to the Office, the concerned company shall provide a copy of such document on charging the fee specified in the articles of association.

Provided that, in the case of a public company, anyone may make such demand.

(2) If the concerned company does not provide copies of such documents under sub-section (1), the Office shall, on charging the prescribed fee, provide copies of such documents from the records held by it.

26. Company seal and its use:–

(1) A company desiring to use a seal in its transactions shall make a seal of its name in clearly legible letters.

(2) A company using a seal under sub-section (1) shall use it in the reports and records submitted on behalf of the company and in business letters, statements of accounts, bills, invoices, order forms, any notices and official publications of the company, negotiable instruments, bills of exchange, promissory notes used in the name of the company and in official documents signed or issued on behalf of the company.

(3) If any person, while signing any document mentioned in sub-section (2) on behalf of the company, does not disclose the name of the company, such person himself or herself shall be personally accountable therefor.

Chapter-4
Shares and Debentures

27. Face value of shares and application:–

(1) The face value of shares of a private company shall be as specified in the articles of association.

(2) The face value of a share of a public company shall be fifty rupees per share, or an amount equal to such higher figure divisible by ten as provided in the memorandum of association and articles of association.

(3) While inviting applications for the purchase of shares, a public company shall not demand, along with the application, an amount exceeding fifty percent of the face value of each share.

Provided that this provision shall not apply where a company which has been in operation since at least three years before raises capital by publishing its audited financial statements of the previous three years while publishing the prospectus.

(4) A person desiring to purchase shares of a public company shall make an application in the prescribed format.

28. Allotment of shares:–

(1) Where a public company has invited applications from the general public for the purchase of shares, it shall allot the shares within a maximum period of three months from the date of closure of the share issue and give notice to the shareholders in the prescribed format.

Provided that, in the absence of an underwriting agreement for the purchase of at least fifty percent of the shares publicly issued, the shares shall not be allotted if at least fifty percent of the total shares publicly issued cannot be sold.

(2) If the company, stating the fact that the shares could not be allotted within the time-limit mentioned in sub-section (1) for the reason mentioned in the proviso to that sub-section, makes an application within seven days of the expiry of such time-limit, the Office shall extend the time-limit up to three months for the allotment of shares. If the shares cannot be allotted even within the period so extended, the company may allot the shares that could not be so allotted by lottery or any other method.

(3) If the shares cannot be allotted even within the time-limit under sub-section (1) or (2), the amount received for the purchase of shares shall be refunded together with interest as prescribed on such amount from the day of expiry of such time-limit until the day of refund.

(4) If the amount required to be refunded under sub-section (3) is insufficient, the [25]promoters and directors shall personally bear the amount to the extent of such insufficiency.

(5) If the shares are allotted under sub-section (1) or (2) in a discriminatory manner or with the intention of causing loss or damage to any investor, any investor may, stating the reasons therefor, file a complaint with the Court on that matter.

(6) Where a complaint is filed under sub-section (5), if any investor has suffered loss or damage by reason of any officer of the company having knowingly violated this section or allowed anyone to commit such violation, the Court may order that the compensation

[25]Amended by the Companies (First Amendment) Act, 2074.

therefor and the reasonable costs incurred in the litigation be recovered personally from such officer.

29. Shares may be issued at premium:–

[26](1) A public company which may make a public issue of securities under the prevailing law relating to securities may issue premium shares in accordance with the conditions and circumstances mentioned in the prevailing law relating to securities. However, a private company or any other public company which has not made arrangements for a public issue of securities under the prevailing law relating to securities may issue premium shares with the approval of the general meeting where its assets exceed its liabilities.

(2) Where shares have been sold at a premium under sub-section (1), the amount in excess of the face value out of the amount so received shall be deposited by opening a premium account.

(3) The company may use the amount in the account under sub-section (2) for the following purposes:–

(a) To allot and issue fully paid-up bonus shares to the shareholders out of the unissued share capital,

(b) To arrange the amount for the premium payable while redeeming any redeemable preference shares,

(c) To write off the preliminary expenses incurred by the company,

(d) To bear or reimburse the expenses incurred or the commission or discount paid in relation to the issue of shares of the company.

(4) [27].....

30. Shares with different rights and rights of such shareholders:–

(1) A company may, by making provision in its memorandum of association and articles of association, issue shares of various classes carrying different rights.

(2) Except as otherwise provided in the articles of association of the company, if any change is to be made to the rights of shareholders of any particular class, the approval of the shareholders of the concerned class shall be required.

Provided that no change shall be made to the rights of the shareholders of any particular class so as to adversely affect the rights of the shareholders of any other class.

(3) If a shareholder representing at least ten percent of the shares of the class not satisfied with the decision to change the rights attached to the shares of a particular class under

[26]Amended by the Companies (First Amendment) Act, 2074.

[27]Omitted by the Act Amending Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2081.

sub-section (2) makes an application to the Court for quashing the decision making such change, the decision relating to the change of the rights of the shareholders of such class shall not be implemented unless the Court makes any other decision or order.

(4) The application under sub-section (3) shall be made within thirty days of the decision to change the rights attached to the shares of a particular class, and the decision under sub-section (2) shall not be implemented until such time-limit has elapsed.

(5) If it appears that the change to the rights conferred on the shareholders of the concerned class is detrimental to the applicant shareholders, the Court may quash the decision made to change the rights of the shareholders of such class.

(6) The board of directors shall submit the proposal relating to the change of rights of the shareholders of any particular class under sub-section (2) to the general meeting of the shareholders of the concerned class, and such proposal shall be passed by the general meeting as a special resolution.

(7) Notwithstanding anything contained elsewhere in this section, where a company wholly or partly owned by Nepal Government in the capacity of a shareholder is privatized under the prevailing law relating to privatization, Nepal Government may, so long as its investment remains in such company, have a special voting right as provided in the articles of association while making decisions on the following matters:–

(a) While deciding on a proposal to relinquish title under clause (a) of sub-section (1) of section 105,

(b) While making a decision relating to the voluntary liquidation of the company,

(c) While making a decision to amalgamate the company into another company.

31. Details of shares to be sent to the Office:–

(1) A company shall, within thirty days of the allotment of shares, send to the Office the number of shares issued and allotted, the total amount thereof, the names and addresses of the persons taking such shares and the account of the amount realized and remaining to be realized per share.

(2) Where the price of any share has been paid, wholly or partly, otherwise than in cash at the time of allotment of shares, the company shall also send to the Office the document relating to the contract for the sale of shares or for services, or any other consideration, for which the shares have been allotted to the person acquiring title to such shares through allotment, and the details of the number of shares allotted, the face value of such shares and the extent to which the value of the shares is deemed to have been paid up.

32. Dealing in securities:–

(1) While issuing its securities to the general public, a public company shall carry on transactions for all functions such as the sale, allotment and collection of amounts of such securities only through a recognized securities businessperson.

(2) A public company shall submit to the Office a copy of the agreement made in relation to dealing in securities through any institution within seven days from the date of such agreement.

33. Share certificate:–

(1) Every shareholder shall, within two months from the date of allotment of shares, be given a share certificate in the prescribed format for the shares taken by him or her, bearing, in the case of a public company, the signatures of any two of the directors, the chief executive or the company secretary of the company and, in the case of a private company, the signature of the person mentioned in the articles of association or consensus agreement, and the seal of the company, if any.

(2) While issuing a share certificate for shares taken jointly by two or more persons, their names may be shown in the certificate and the share certificate may be given to any one of them.

Provided that the names of all the shareholders shall be shown in the register of shareholders.

(3) If a share certificate is lost, or destroyed by an act of God or any other reason, the shareholder shall inform the registered office of the company as soon as he or she knows that the share certificate has been so lost or destroyed by an act of God or any other reason.

(4) Where any application is received under sub-section (3), the company shall inquire into all necessary matters in that respect and, if the matters mentioned in the application appear reasonable, give another share certificate to the applicant as a duplicate on charging the fee specified in the articles of association, and shall also record that matter in the register of shareholders.

(5) Notwithstanding anything contained elsewhere in this section, where a listed company has caused a securities registrar authorized under the prevailing law to provide securities depository services to maintain the register under sub-section (6) of section 46, it may arrange to give the shareholders a securities depository passbook or any other certificate certifying them as shareholders in lieu of a share certificate.

(6) A certificate issued by the company, stating the number of shares or debentures held by any shareholder or debenture holder, bearing the signature of its authorized officer and the seal of the company, if the company uses a seal, shall be the prima facie evidence of his or her ownership of such shares or debentures.

(7) Where any company has allotted or transferred any shares or debentures to the representative of an institution licensed under the prevailing law to carry on securities transactions, the provision of sub-section (1) shall not apply in relation to such shares or debentures.

34. Raising loans or debentures:–

(1) If a public company considers it necessary to raise loans or debentures, it may raise loans or debentures, with or without mortgaging or pledging the immovable property of the company, by also determining the reasons therefor, the action plan to be accomplished therefrom and the budget required therefor.

Provided that debentures shall not be raised until the issued capital has been fully paid up after obtaining approval to commence business.

(2) Notwithstanding anything contained in the prevailing law, a company may, subject to sub-section (1), raise further loans or debentures against the same security, to the extent covered by the security given to the previous creditors, by clearly showing all the previous creditors and amounts.

(3) Notwithstanding anything contained in the prevailing law, matters relating to the conditions, instalments and interest of the loans taken or given by a company shall be as per the document or contract made between the creditor and the debtor.

(4) If a company is to raise loans or debentures under sub-section (1) or (2), it shall give information thereof, with reasons, to the Office.

35. Procedure for raising debentures:–

(1) While issuing debentures under this Act, a public company shall issue debentures by arranging a debenture trustee. Such debenture trustee shall be a debenture trustee approved by the Securities Board.

(2) While issuing debentures by appointing a debenture trustee, matters relating to the creditor and debtor shall be as mentioned in the agreement to be made between such trustee and the company.

(3) Where provision has been made in the memorandum of association or articles of association that the debentures may be converted into shares, or where such condition has been mentioned before the issue of the debentures, any debenture may be converted into shares subject to the provisions of this Act relating to share capital.

(4) If debentures are to be converted into shares under sub-section (3), that matter shall be clearly disclosed in the prospectus.

(5) Notwithstanding anything contained in the prevailing law, the Court may, if it considers necessary for enforcing the contract concluded between the company and any person in relation to the purchase of debentures issued by any public company, issue an order of specific performance.

36. Agreement to be made between debenture trustee and company:–

(1) In relation to the debentures to be raised by any company, an agreement shall be made between the company issuing the debentures and the debenture trustee who works as a trustee to protect the interests of the debenture holders.

(2) While making the agreement under sub-section (1), the following matters shall be disclosed in such agreement:–

(a) That the debenture trustee may make or cause to be made the valuation of the assets of the company, project analysis or management analysis,

(b) The time for payment of the principal and interest of the debentures purchased by the debenture holders, the interest rate, the procedure for payment of principal and interest and, if there is a provision for converting debentures into shares, matters relating thereto,

(c) Matters relating to the arrangements made with respect to the rights of other creditors in the property of the company and the liabilities arising in the future,

(d) That, if the conditions mentioned in the agreement are violated or not fulfilled, or if the financial transactions of the company are to be taken under control for any other reasonable reason, or if the mortgage under the agreement is to be taken into possession, the debenture trustee may take into its possession the property or assets of such company or the property taken as mortgage or security by the debenture trustee, or may retain the mortgaged security itself or sell it by auction or by any other appropriate method,

(e) Matters relating to the procedure for payment by the company of the service fee and other direct expenses of the debenture trustee,

(f) That the debenture trustee shall not bear responsibility for any loss, damage or deficit caused to the company or debenture holders while acting in the capacity of debenture trustee,

(g) The legal action which the debenture trustee may take on behalf of the debenture holders and the exercise of the rights of the debenture holders if a situation arises where the company has to be dissolved,

(h) Other necessary matters relating to the protection of the interests of the debenture holders.

(3) The debenture trustee may, for the protection of the interests of the debenture holders, take the property of the company as security and get such security registered in its name under the prevailing law.

(4) Before taking security under sub-section (3), the debenture trustee may, if it considers necessary, also make or cause to be made the valuation of the property or assets to be taken as security and the project analysis or management analysis of the company.

(5) After the agreement has been made between the debenture trustee and the company under this section, if such company is to raise additional debentures, it shall obtain the approval of the debenture trustee.

37. Debenture trustee may inquire and demand details:–

Before entering into an agreement with a company to act as a debenture trustee, the debenture trustee may make necessary inquiries and obtain or demand details, notices or information on the following matters, and the concerned company shall provide the same if so demanded:–

(a) Whether or not the memorandum of association or articles of association of the company provides for raising loans or debentures and, if there is such provision, whether or not the board of directors of the company has the power to decide to raise such debentures,

(b) Whether or not the memorandum of association or articles of association of the company provides for raising debentures through a debenture trustee,

(c) Whether or not the existing property of the company is in a position to cover the value of the debentures to be raised,

(d) Matters relating to other creditors and liabilities of the company,

(e) The balance sheet of the company and the report of the auditor,

(f) Other necessary matters considered appropriate by the debenture trustee.

38. Company to submit periodic statements to debenture trustee:–

(1) After the agreement is made between the company and the debenture trustee under section 36, the company shall submit its statement relating to financial transactions to the debenture trustee every six months.

(2) If there is a change in the management of the company or any kind of change in ownership after raising the debentures, the company shall inform the debenture trustee thereof within seven days of such change.

(3) If any additional statement, information or notice is required on any matter in addition to the statement or information submitted by the company under sub-section (1) or (2), the debenture trustee may demand such statement, information or notice from the company, and it shall be the duty of the company to provide the statement, information or notice so demanded to the debenture trustee.

39. Rights and liabilities of debenture trustee:–

(1) If the company violates any condition mentioned in the agreement made under section 36, the debenture trustee may demand such company to fulfil such condition as soon as possible or to refund the principal and interest of the debenture holders within a specified time-limit.

(2) If the financial transactions of the company are to be taken under control or the mortgage under the agreement is to be taken into possession by reason of the refund demanded under sub-section (1) or for any other reasonable reason, the debenture trustee may, subject to the prevailing law, take into its possession the property, assets or securities

of such company, and may retain the property or assets so taken into possession itself, or sell them with or without auction, or make any other appropriate arrangement.

(3) After taking possession of the property of the company under sub-section (2), the amount of the debenture holders shall be paid out of the amount raised from the sale of the property. If any amount remains after paying the amount of the debenture holders, the debenture trustee shall return such amount to the concerned company.

(4) Notwithstanding anything contained elsewhere in this Act, except where the debenture trustee itself has taken over the mortgaged property, if the entire amount of the debenture holders cannot be paid out of the amount raised from the property mortgaged or taken into possession and sold by the debenture trustee, the debenture trustee shall pay the amount to the debenture holders on a pro rata (insolvency) basis, and such shortfall shall not be borne from the property of the debenture trustee.

(5) Debenture holders holding more than fifty percent of the debentures may, showing the reason that any debenture trustee has failed to act in the interests of the debenture holders, make an application to the Securities Board for the removal of such debenture trustee.

(6) If the matters of the application made under sub-section (5) appear reasonable upon inquiry, the Securities Board shall remove such debenture trustee and arrange another debenture trustee.

40. Debenture trustee to charge service fee:–

(1) The debenture trustee may charge a service fee from the company for acting in the capacity of debenture trustee. The amount of such service fee shall be as per the agreement made between the debenture trustee and the concerned company.

(2) The debenture trustee may recover from the concerned company the actual expenses incurred in carrying out any act on behalf of the debenture holders or the company, or in valuing, taking possession of or auctioning the property of the company.

41. Debenture trustee to have rights of debenture holders:–

(1) If a company raising debentures is dissolved or becomes insolvent for any other reason, the debenture trustee shall represent the debenture holders.

(2) If a situation arises where a case has to be filed on behalf of the debenture holders for the refund of their principal and interest or for any other reason, the debenture trustee shall have the right to file a case on behalf of the debenture holders.

42. Shares or debentures may be sold or pledged:–

(1) Subject to this Act, the memorandum of association and the articles of association, the shares or debentures of a company may be sold or pledged like movable property.

(2) Notwithstanding anything contained in sub-section (1), a promoter of a company, other than a private company which has not taken a loan from any other company, shall not sell or pledge the shares taken by him or her until the first general meeting of the company is

held and until he or she fully pays up the called amount of the shares issued in his or her name.

(3) Where shares or debentures have been pledged under sub-section (1), the pledgee shall make an application in the prescribed format, together with the prescribed fee, to the registered office of the company for recording that fact in the register. The applicant shall also submit the document relating to the pledge and the certificate of the shares or debentures along with such application.

(4) Where an application is made under sub-section (3), the company shall record in the register the fact that such shares or debentures have been pledged, and, upon receiving notice of the release of the shares or debentures so pledged, shall delete the record of such pledge from the register.

43. Transfer of shares or debentures:–

(1) Where shares or debentures have been sold subject to sub-sections (1) and (2) of section 42, the person purchasing them shall make an application in the prescribed format, together with the fee specified in the articles of association, to the registered office of the company for the transfer of such shares or debentures. The applicant shall also submit, along with such application, the document relating to the purchase and sale of the shares or debentures and the certificate of the shares or debentures.

(2) Where an application is made under sub-section (1), the company shall, within fifteen days of the application, remove the name of the former shareholder or debenture holder from the register and register the name of the present holder.

(3) Notwithstanding anything contained in sub-section (1), where the prevailing law relating to securities transactions provides that a document of transfer is not required to transfer the title to shares or debentures of a company, such document need not be submitted while making the application accordingly.

(4) Even if the transferor of any securities makes an application, attaching the document relating to the purchase and sale of shares bearing the signature of the purchaser, to record the transfer of any shares or debentures, the company shall register the name of the transferee of the shares or debentures in the register of shareholders or register of debenture holders, as if the transferee himself or herself had made the application.

(5) The provision made in sub-section (1) shall not be deemed to prevent the company from registering the name of any person as a shareholder or debenture holder where the title of such person has been established in any shares or debentures in accordance with any other provision of the prevailing law.

44. Registration of shares or debentures may be refused:–

(1) Notwithstanding anything contained in section 42 or 43, the company may refuse to record in the register the pledge of shares or to transfer the shares or debentures that have been sold in the following circumstances:–

(a) If the called amount of the shares has not been paid,

(b) If the transfer would be contrary to the articles of association of the company or an agreement made among the shareholders,

(c) If the transfer fee has not been submitted with the application.

(2) While refusing to record the pledge of shares or debentures in the register or to transfer the shares or debentures under sub-section (1), the company shall give notice thereof, within fifteen days from the date of the application, to both the pledger and pledgee or the seller and purchaser of the shares or debentures.

45. Other circumstances for transfer of shares or debentures:–

If any shareholder or debenture holder dies, or is adjudged insolvent with respect to his or her property, or if, by any other reason, the title of any other person comes into existence in his or her shares or debentures under the prevailing law, and the person acquiring such title or whose title has been established makes an application in the prescribed format to the company, together with the prescribed fee and evidence thereof, the company shall transfer such shares or debentures in his or her name.

Provided that, even if the shares have not been transferred in the name of the person whose title has been so established, where the person entitled under the prevailing law has executed the document of transfer of the shares in the name of the former shareholder and his or her other rights relating thereto, such shares shall be deemed to have been transferred in the name of such title holder and such transfer shall be deemed to have been duly made.

46. Register of shareholders and debenture holders:–

(1) Every company shall maintain a register of shareholders and a register of debenture holders in the prescribed format at its registered office.

(2) The register of shareholders under sub-section (1) shall contain the following matters in respect of each shareholder according to the serial number of shares:–

(a) Full name and address of the shareholder,

(b) Number of shares taken by the shareholder,

(c) Total amount paid up by the shareholder for the shares and the amount remaining to be paid up,

(d) Date of registration of his or her name as a shareholder,

(e) Date of removal of the name of the shareholder,

(f) Where the shareholder has nominated any person to be entitled to the shares after his or her death, the name and address of such person.

(3) The register of debenture holders under sub-section (1) shall contain the following matters in respect of each debenture holder according to the serial number of debentures:–

(a) Full name and address of the debenture holder,

(b) Number of debentures taken by the debenture holder,

(c) Total amount paid up by the debenture holder for the debentures and the amount remaining to be paid up,

(d) Date of registration of his or her name as a debenture holder,

(e) Date of removal of the name of the debenture holder,

(f) Where the debenture holder has nominated any person to be entitled to the debentures after his or her death, the name and address of such person.

(4) If a shareholder or debenture holder of the company wishes to inspect the register maintained under sub-section (1), the company shall allow such inspection.

Provided that inspection of the register may be closed, in the case of a public company, by publishing a notice seven days in advance in a national level newspaper and, in the case of a private company, as mentioned in the articles of association or consensus agreement, for a maximum of thirty days at a time, not exceeding forty-five days in a year.

(5) If anyone wishes to obtain a copy of the register of shareholders, the copy shall be provided, except where inspection has been closed under the proviso to sub-section (4), on charging the fee as prescribed in the case of a public company and as mentioned in the memorandum of association, articles of association or consensus agreement in the case of a private company.

(6) Notwithstanding anything contained elsewhere in this section, a listed company may cause a securities registrar recognized under the prevailing law to provide securities depository services to maintain the register. A copy of the register so maintained shall be kept at the registered office of the company every year before giving notice of the annual general meeting. Such register shall contain the matters mentioned in sub-sections (2) and (3).

(7) If it is found that any false matter has been recorded in the register maintained under sub-section (6) so as to affect the rights and interests of anyone, the concerned party shall be entitled to recover from such securities registrar and its directors, officers and employees, in addition to the punishment and fine mentioned in section 160, the loss or damage caused by reason of the false record.

47. Information relating to title in shares:–

(1) If the company demands information as to the capacity in which any shareholder of the company acquired the fully voting shares registered in his or her name, whether or not any other person has an investment in the shares registered in the name of such shareholder, or, where any other person is a beneficiary in such shares, the identity of such

person and the nature of his or her title, it shall be the duty of such shareholder to inform the company within thirty days.

(2) After the information demanded under sub-section (1) is received by the company, the company shall record in the register of shares, alongside the name of the concerned shareholder, the date on which such information was demanded, the date on which the information was received and the content of the information received, and shall send information relating thereto to the Office within seven days.

48. Address of shareholder:–

(1) Except where changed by giving notice otherwise, the address of a shareholder mentioned in the register of shareholders shall be deemed to be his or her actual address.

(2) If the address of a shareholder changes, a written notice of the new address shall be given to the registered office of the company immediately upon such change.

(3) After receiving the notice under sub-section (2), the director or company secretary shall mention the changed address accordingly in the register of shareholders.

(4) After a notice is sent to the address provided by the shareholder, any notice required to be provided by the company to the shareholder under this Act shall, unless otherwise proved, be deemed to have been duly sent and received by the concerned shareholder.

49. Index of shareholders:–

(1) Except where the register has been maintained in such a manner that the index of the names of the shareholders is clear from the register of shareholders itself, every company having more than fifty shareholders shall prepare and maintain a separate index of the names of its shareholders.

(2) If any change is made in the register of shareholders, the necessary change shall also be made in the index prepared under sub-section (1) within thirty days from the date of such change.

(3) The index of shareholders shall be maintained in such a manner that necessary information about all the shareholders can be easily obtained from the register of shareholders.

(4) The index of the names of the shareholders shall be kept together with the register of shareholders.

(5) If any company does not comply with this section, it shall be deemed that this Act has not been complied with.

50. Substantial shareholders:–

(1) If any person has taken, in his or her own name or through his or her representative, fully voting ordinary shares equal to five percent or more of the paid-up capital of any

public company, he or she shall be deemed to have substantial share ownership in such company.

Provided that, in the case of a company having paid-up capital of more than twenty-five crore rupees, substantial share ownership shall be deemed to exist even if he or she has taken shares equal to one percent or more of the total paid-up capital of such company.

(2) The substantial shareholder of every public company shall, within thirty days of knowing that he or she has become a substantial shareholder of such company, give notice to the company stating his or her name and address and the full details of the shares registered in his or her name or in the name of his or her representative.

(3) If any person ceases to be a substantial shareholder of any public company, he or she shall, within thirty days from the date of knowing it, give notice to the company stating his or her name, the date on which he or she ceased to be a substantial shareholder of the company, other details and the reason for which he or she ceased to have the status of a substantial shareholder.

(4) Every public company shall maintain a separate register for the purposes of sub-sections (1), (2) and (3).

51. Record of shares, debentures and loans:–

(1) Every company shall [28]....., [29]twenty-one days before the annual general meeting, prepare and keep a record of the existing and transferred shareholders and debenture holders up to thirty days before the annual general meeting.

(2) The record under sub-section (1) shall, in addition to other matters, also contain the following matters:–

(a) Authorized capital of the company and the number of shares,

(b) Issued share capital of the company,

(c) Paid-up capital of the company,

(d) Amount called per share,

(e) Total amount realized in instalments,

(f) Total amount remaining to be realized,

(g) Total amount paid as brokerage commission on shares or debentures,

(h) Where any shares have been forfeited, the total number of such shares and the reason and date of forfeiture,

[28]Omitted by the Some Nepal Acts Amendment Act, 2064.
[29]Inserted by the Companies (First Amendment) Act, 2074.

(i) Loans taken from banks, financial institutions or any other person, or guarantees given by the company,

(i1) [30]Where investment has been made in the shares or debentures of any other company, the name and registration number of such company and the amount invested in the shares or debentures,

(j) Names and addresses of the directors holding office.

(3) The record under sub-section (1) shall be sent to the Office, signed by at least one director, within thirty days from the date of the annual general meeting of the company and, in the case of a company not holding an annual general meeting, within one year of obtaining the approval of the concerned body, where it carries on transactions requiring such approval under the prevailing law, or of its registration, where no such approval is required [31].....

[32](4) A company not holding a general meeting shall submit the record under sub-section (1) to the Office within six months from the date of expiry of the financial year.

(5) Notwithstanding anything contained elsewhere in this section, a company which has also mentioned the details under sub-section (2) in the report required to be submitted under section 78 shall not be required to send a separate record to the Office under this section.

52. Claim on shares:–

The company may withhold the shares registered in the names of the shareholders and the dividends to be distributed thereon for the amount of shares remaining to be paid by the shareholders to the company, or any outstanding amount required to be paid to the company under the law, and may recover such amount by deducting it from the dividends.

53. Payment of amount of shares:–

(1) The amount of shares shall be paid up by paying it within the period called under the articles of association.

(2) While making a call for instalments under sub-section (1), the company shall send a written notice in the prescribed format to each shareholder, specifying the amount of the instalment to be paid in his or her name, the time and the place, giving a period of at least thirty days. A public company shall also publish such notice at least [33]twice in a national level daily newspaper.

(3) If any shareholder fails to pay the amount payable for the shares within the period mentioned in sub-section (2), the company shall give notice to the concerned shareholder

[30]Inserted by the Companies (First Amendment) Act, 2074.
[31]Omitted by the Companies (First Amendment) Act, 2074.
[32]Amended by the Companies (First Amendment) Act, 2074.
[33]Amended by the Companies (First Amendment) Act, 2074.

clearly specifying that an additional period of three months is given from the date of expiry of that period, that the amount shall be accepted together with interest at the prescribed rate if paid within that period, and that his or her shares shall be forfeited if not paid even within that period. In the case of a public company, such notice shall be published at least three times in a national level daily newspaper. If the instalment is not paid even within the time-limit of such notice, the company may forfeit the remaining shares or all the shares, keeping in his or her name such number of shares as can be covered by the amount paid for the shares in respect of which such notice was given, together with any dividend withheld for such shares.

Provided that, if the company has already been wound up or become insolvent before the forfeiture of the shares, the amount remaining to be paid for the shares liable to be forfeited may be recovered as a debt under the prevailing law.

(4) Where shares have been forfeited under sub-section (3), the board of directors may refund the amount already paid for the shares so forfeited and an amount equal to the dividend, if any, withheld for such shares, or give shares to the extent covered by such amount, and if the amount is to be refunded, it shall be refunded within three months of the forfeiture of the shares.

(5) If the amount is not refunded within three months under sub-section (4), interest on such amount shall also be paid after the expiry of that period.

(6) The shares forfeited under sub-section (3) may, subject to the articles of association, be sold or cancelled in such manner as the board of directors deems appropriate.

(7) A company which has been operating in profit for three consecutive years or more may, by passing a special resolution at its general meeting, determine that some portion of its share capital for which payment has not been called shall not be called up except in the event of winding up or insolvency of the company.

(8) After the special resolution is passed under sub-section (6), the share capital remaining to be called as mentioned in such resolution shall not be called except in the event of winding up or insolvency of the company, unless the general meeting again passes another special resolution deciding to call it.

54. Payment of amount of jointly held shares:–

(1) Each joint holder shall pay the instalment amount of jointly held shares in proportion to his or her ownership.

(2) Except where there is a duly executed document stating that such and such is the share of each in the shares taken under sub-section (1), the persons in whose names the shares are held shall be deemed to have equal shares.

55. Person deemed entitled to shares or debentures:–

If any dispute arises regarding the ownership of shares or debentures issued by a company, unless otherwise proved, the person whose name is registered in the register of shares or debentures maintained by the company shall be deemed to be entitled to such shares or debentures.

56. Power of company to alter share capital:–

(1) Subject to the provisions of the articles of association, a company may, by passing a special resolution at its general meeting, alter its share capital in the following manner:–

(a) By increasing the authorized share capital of the company by creating new shares of such amount as the company deems appropriate,

(b) By consolidating or dividing all or any of the share capital of the company into shares of higher or lower value than the face value,

(c) By cancelling the shares which, up to the day of passing the resolution, have not been taken or agreed to be taken by any person, or which have been forfeited under sub-section (3) of section 53, and reducing the amount of the share capital of the company by an amount equal to the value of the shares so cancelled.

(2) If a special resolution to alter the capital is passed under sub-section (1), the memorandum of association and articles of association of the concerned company shall be deemed to have been [34]..... amended to that extent.

(3) The record of the resolution passed under sub-section (1) shall be submitted to the Office, together with the prescribed fee for amending the memorandum of association and articles of association, and the Office shall, within seven days of such submission, record the alteration in the capital and the amendment of the memorandum of association and articles of association of the company accordingly and inform the company thereof.

(4) The cancellation of shares under clause (c) of sub-section (1) shall not be deemed to have been done for the purpose of reducing the share capital of the company.

(5) If the company needs to increase its issued capital up to the extent of its authorized capital, it may increase such capital by passing an ordinary resolution at its general meeting.

(6) If a public company has to make a public issue of its shares after increasing its share capital under sub-section (5), it shall complete the procedures specified in this Act and the prevailing law relating to securities.

Provided that such company shall not be required to complete such procedures while issuing rights shares which may be purchased only by the existing shareholders and employees, bonus shares, or shares under sub-section (9).

[34]Omitted by the Some Nepal Acts Amendment Act, 2064.

(7) A public company shall publish a notice of issuing rights shares, which may be purchased only by the existing shareholders, at least three times consecutively in a national level daily newspaper fifteen days before the issue of such shares.

(8) The existing shareholders shall have the first right to purchase the shares issued under sub-section (7) on the basis of the proportion of the shares held by them.

(9) Notwithstanding anything contained in sub-section (8), the existing shareholders of the company shall not have the first right to the following shares to be issued by the company:–

(a) Shares to be issued by the company for any consideration other than cash,

(b) Shares issued to any person under any right or facility granted in accordance with the conditions of an agreement made with the company,

(c) Shares issued under an employee share scheme,

(d) Shares issued under an agreement made between any company and its creditors,

(e) Shares created while any company converts preference shares into ordinary shares or debentures into shares,

(f) Shares issued in accordance with an agreement concluded between the concerned parties in the course of restructuring the management, capital or loans of the company, or implementing a restructuring programme approved between the related parties under the prevailing law relating to insolvency, or implementing a programme of amalgamation of one public company into another public company.

(10) The share capital shall not be increased, or bonus shares issued, by revaluing the assets of the company, except out of the profits made by the company or the funds created out of the profits.

(11) While issuing shares under this section, the existing shareholders shall be given a time-limit of at least thirty-five days to purchase the shares. If such shareholders do not purchase the shares, or do not sell or transfer the right to purchase the shares to others, within such time-limit, such shares may be sold in any other manner as decided by the board of directors of the company.

57. Reduction of share capital:–

(1) If a company desires to reduce its share capital, it may reduce its share capital by passing a special resolution on that matter at its general meeting, obtaining the approval of the Court and making necessary alterations or amendments to the memorandum of association and articles of association accordingly.

(2) After obtaining the approval of the Court under sub-section (1), the company may reduce its share capital in the following manner:–

(a) Where the amount of shares called in instalments has not been paid up, by maintaining the capital only to the extent paid up,

(b) By refunding the capital already paid up,

(c) By reducing the face value of shares where the company has suffered a heavy loss or a natural disaster has occurred.

(3) Notwithstanding anything contained in sub-section (2), a company which has already become insolvent under the prevailing law shall not reduce its capital under this section.

58. Procedure for obtaining approval of Court for reduction of share capital:–

(1) If a special resolution to reduce the share capital is passed under section 57, the company shall make an application to the Court for its approval.

(2) Where an application is made under sub-section (1), the concerned company shall, before the hearing on such application, publish a public notice at least three times in a national level daily newspaper, stating the date and place of hearing in the Court on the reduction of the share capital of the company.

(3) Every person who, upon the commencement of the winding up or insolvency proceedings of the company, would have the status to claim any debt or payment under the prevailing law may submit his or her claim and objection in the process of reduction of the share capital of the company.

(4) During the hearing on the application for the reduction of capital of the company, the director or company secretary of the company shall, as demanded by the Court, submit to the Court an actual and true list of the creditors of the company, if any, stating their names, addresses and the amount of debt payable to each of them.

(5) Where, out of the creditors whose names are included in the list submitted under sub-section (4), the creditors whose debts remain to be paid or determined have or have not consented to the reduction of capital, the Court may order the reduction of share capital if the company has made necessary arrangements by accepting the entire amount of the debt or claim made by the creditors, whether or not the company admits it, or by agreeing to arrange the necessary amount for paying such amount and undertaking to pay the full amount within a specified date.

(6) While taking action for the approval of a resolution to reduce share capital in such a manner that only the amount remaining to be paid by the shareholders to the company for the share capital is reduced, or only the amount paid for the shares is refunded to any shareholder, the Court may, if it considers appropriate in view of the available evidence and circumstances, order that the provision of sub-section (3) or (4) shall not apply in the case of any particular creditor.

(7) If it is found that any matter has been omitted or false details have been submitted while submitting the list of creditors under sub-section (4), the directors of the company submitting such list and the officer signing such list shall be punished under this Act.

Provided that such punishment shall not be imposed if the officer signing such list proves that any matter was omitted or any mistake occurred without his or her knowledge, or that he or she corrected such omission or mistake and informed the Court thereof before the Court made an order under this section as soon as he or she came to know of such omission or mistake, or that he or she had taken sufficient precaution to prevent such omission or mistake.

(8) If the Court is satisfied that the debts or claims of the creditors entitled to make claims and objections under sub-section (3) against the resolution to reduce capital have been paid, that the consent of the creditors has been obtained regarding the payment of debts or claims, that the debts, claims or liabilities are in a position to be paid upon being ascertained, or that the debts or claims have been secured, the Court may order the reduction of capital by specifying appropriate conditions.

(9) Where approval has been granted under sub-section (8), the Court may, if it considers appropriate, order the concerned company to write the phrase "capital reduced" after the name of the company ordered to reduce capital for a specified period, and to publish necessary notice to bring to the knowledge of the general public the reasons and circumstances for which the capital had to be so reduced and other important matters relating thereto.

(10) Where an order has been issued to write the phrase "capital reduced" after the name of the company under sub-section (9), such phrase shall remain as an integral part of the name of the company until the period determined by the Court elapses.

(11) The matters of the conditions mentioned in the order issued by the Court under this section in the course of approving the resolution to reduce capital shall be deemed to have been automatically included in the memorandum of association and articles of association of the company, and the memorandum of association and articles of association shall be deemed to have been amended to that extent.

(12) A director who knowingly conceals, hides or suppresses the name of a creditor entitled to make claims and objections against the resolution to reduce capital under this section, or knowingly prepares or submits false details regarding the amount of debt or claim or liability, or conceals or hides such debt or liability or prepares or causes to be prepared false details, or an officer or employee of the company who assists in such act, shall be punished under this Act.

(13) Where the share capital of a company has been reduced under this section, the director or company secretary of the company shall record and certify that fact on every share certificate issued by such company.

59. Liability of shareholders in shares with reduced capital:–

(1) Except as otherwise provided in this section, in relation to any share mentioned in the order of the Court reducing the share capital, the former or existing shareholder taking such share shall not be bound to pay an amount exceeding the amount resulting from deducting the actual amount paid or the amount deemed to have been paid for the share from the determined value of such share.

Provided that, if the name of any creditor has been omitted while submitting to the Court the list of creditors of the company entitled to make claims and objections against the resolution to reduce the capital of the company, and if the company is not in a position to pay the debt of such creditor after obtaining the order for the reduction of capital of the company, the shareholders of the company shall be bound to pay the amount as mentioned in sub-section (3) or (4).

(2) Notwithstanding anything contained in the proviso to sub-section (1), the shareholders shall not be bound to pay such amount where the name or any claim of any creditor has been omitted from the list submitted to the Court due to the creditor's own fault or negligence.

(3) If the concerned company had become insolvent and proceedings relating thereto had been commenced on the day before the Court issued the order for the reduction of capital of the company, the person who was a shareholder of the company on the day of issue of the order approving the resolution to reduce capital shall be bound to pay an amount equal to the amount which the shareholder of such company would have had to pay for the shares taken by him or her.

(4) If the company has become insolvent and a creditor whose name is said to have been omitted while submitting the list of creditors to the Court makes an application with evidence of the omission of his or her name, the Court may, if it considers appropriate, prepare a list of shareholders liable to pay to the company the amount required for paying the debt of such creditor, and order that the amount of shares be demanded from the shareholders named in such list as if it were an amount payable by them in the insolvency proceedings of the company.

(5) Notwithstanding anything contained elsewhere in this section, no shareholder shall be bound to pay an amount exceeding the face value of the shares taken by him or her at the time of purchasing the shares.

60. Directors to be responsible if net worth of company decreases:–

(1) If the net worth of a public company decreases to half or less of its paid-up capital, the directors shall, within thirty-five days of that fact coming to their knowledge, prepare an appropriate strategy for the interests of the company and the shareholders, and shall place a separate resolution relating thereto in the general meeting to be held immediately after such knowledge.

Provided that, if the approval of the general meeting is required to implement such strategy, a special general meeting shall be called as soon as possible.

(2) A director of the company who does not prepare the strategy under sub-section (1), does not place the resolution in the annual general meeting, does not call the special general meeting or knowingly allows the situation of not calling such meeting to continue shall be punished under this Act.

(3) If it is established that the net worth of the company has decreased as referred to in sub-section (1) due to the mala fide intention or malicious negligence of a director, the director doing such act shall also pay compensation therefor.

61. Company not to purchase its own shares:–

(1) A company shall not purchase its own shares (buy back) or provide loans against the security thereof.

(2) Notwithstanding anything contained in sub-section (1), a company may purchase its own shares, by informing the Office, out of the accumulated profits distributable as dividends in the following circumstances:–

(a) If the entire amount of the shares issued by the company has been paid up,

(b) If the shares issued by a public company have been registered with the Securities Board,

(c) If the articles of association of the concerned company contain a provision enabling it to purchase its own shares,

(d) If a special resolution has been passed at the general meeting of the concerned company enabling it to purchase its own shares,

(e) If the loan amount payable by the company does not exceed twice the amount of the capital and general reserve fund after the company purchases its own shares,

Explanation: For the purposes of this clause, "loan amount" means the entire secured and unsecured loan amount borrowed by the company.

(f) If the amount of its own shares to be purchased by the company does not exceed twenty percent of the total paid-up capital and the general reserve fund of the company,

(g) If it is not contrary to the directives issued by the Office from time to time in relation to purchasing its own shares.

(3) The resolution to be submitted to the general meeting under clause (d) of sub-section (2) shall mention the following details:–

(a) Reasons and necessity for purchasing its own shares,

(b) Details of the assessment of the probable impact on the financial condition of the concerned company due to the purchase of its own shares,

(c) Type and number of shares proposed to be purchased,

(d) Maximum or minimum amount required to purchase the shares under clause (c) and the financial source thereof,

(e) Period within which it may purchase its own shares,

(f) Method of purchasing the shares,

(g) Other necessary matters specified by the Office and required to be disclosed under the prevailing law in relation to purchasing its own shares.

(4) If the special resolution under sub-section (3) is passed by the general meeting, the concerned company may, within a period of twelve months of the passing thereof, purchase its own shares by any of the following means:–

(a) By purchasing through the securities market,

(b) By purchasing the shares allotted to the employees of the company from the concerned employees,

(c) By purchasing proportionately from the existing shareholders.

(5) Where the company has purchased its own shares under sub-section (4), it shall, within thirty days from the date of purchase of such shares, inform the Office of the number of shares purchased by it, the amount paid therefor and other necessary details.

(6) An amount equal to the face value of the shares purchased by itself under sub-section (4) shall be deposited by creating a separate capital redemption reserve fund, and the amount of such fund shall be maintained as paid-up capital.

(7) Where the company has purchased its own shares under sub-section (4), it shall cancel all the shares so purchased within one hundred and twenty days from the date of such purchase.

(8) After the company has purchased shares of any class under this section, it shall not, except for issuing bonus shares or discharging its liabilities, issue shares of the same class again before the expiry of two years from the purchase of its own shares.

(9) Notwithstanding anything contained elsewhere in this section, a public company shall not purchase its own shares in such a manner that the minimum number of shareholders required to be maintained by it is reduced or the minimum paid-up capital is reduced.

(10) Other circumstances in which a company may not purchase its own shares and other conditions to be complied with while purchasing its own shares shall be as prescribed.

62. Company not to provide loan or financial assistance to purchase its shares:–

A company shall not provide a loan or any kind of financial assistance to anyone to purchase, or acquire title in any manner to, the shares of the company itself or of its holding company [35]or subsidiary company.

Provided that nothing contained in this section shall bar providing a loan to the employees, under a scheme of selling shares to the employees of the company, to purchase or acquire ownership in any manner of fully paid-up shares of the concerned company or of its holding company.

63. Approval to be obtained to commence business:–

(1) A public company incorporated under this Act shall not commence its business without obtaining approval to carry on business.

[36]Provided that it shall not be necessary to obtain approval to carry on business when any private company already in operation is converted into a public company.

(2) In order to obtain approval under sub-section (1), the promoters of the public company shall make an application to the Office, including the evidence that the full amount called out of the amount of the shares agreed to be purchased by them has been paid up.

(3) Where an application is made under sub-section (2), the Office shall grant approval to carry on business if it is certified that the amount called out of the amount of the shares agreed to be purchased by the promoters has been paid up.

Provided that approval shall not be granted if the amount paid up for the shares is less than the amount mentioned in sub-section (1) of section 11.

(4) No act of any kind which publishes a prospectus or creates a liability shall be done without obtaining approval to commence business under this section, except matters such as a special general meeting, a meeting of the board of directors and the management of the company.

(5) Notwithstanding anything contained in sub-section (2), in the case of a company carrying on any particular business, where any condition has been specified to be fulfilled before commencing such business while granting a licence by the regulatory body authorized to regulate such business under the prevailing law, approval to commence business shall not be granted until evidence of the fulfilment of such condition is submitted.

(6) Notwithstanding anything contained elsewhere in this section, a private company may commence its business as soon as it obtains the certificate of registration with the Office.

[35]Inserted by the Companies (First Amendment) Act, 2074.

[36]Inserted by the Act Amending Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2081.

Provided that, if approval is required to be obtained from any concerned body under the prevailing law to carry on any particular business, the business shall be commenced only after obtaining such approval.

64. Shares not to be issued or sold at discount:–

(1) A company shall not issue or sell its shares at a discount.

(2) Notwithstanding anything contained in sub-section (1), a company may, by passing a special resolution at its general meeting, issue or sell shares at a discount, not below the percentage specified in such resolution, in the following circumstances:–

(a) While issuing or selling shares in accordance with a scheme of restructuring the capital of the company,

(b) While issuing or selling shares in accordance with a scheme of converting the loans taken by the company into shares as per the consent of the creditors,

(c) While issuing or allotting shares in accordance with an employee share scheme,

(d) While issuing shares in other circumstances approved by the Office.

65. Preference shares:–

(1) A company may issue preference shares as provided in this Act, the memorandum of association or the articles of association.

(2) Except as provided in the articles of association, the shares issued under sub-section (1) shall not be convertible into ordinary shares.

(3) While issuing preference shares under sub-section (1), the following matters shall, in addition to other matters, be disclosed:–

(a) Whether or not dividend shall be received prior to ordinary shares,

(b) The percentage of dividend to be received by the preference shareholder,

(c) Whether the dividend shall be accumulated every year (cumulative) or distributed only in the year in which profit is made (non-cumulative),

(d) Whether or not preference shall be given while refunding the amount of shares in the event of the dissolution of the company,

(e) Whether or not there shall be voting rights and, if there are voting rights, whether they shall be only on matters relating to preference shares or on other matters as well,

(f) If there are voting rights on other matters as well under clause (e), the proportion in which there shall be voting rights,

(g) Whether or not they may be converted into ordinary shares,

(h) Whether the amount of the preference shares may be refunded after a certain period (redeemable) or may not be refunded (irredeemable),

(i) Whether the preference shares shall be refunded with premium or without premium while refunding them.

(4) Where any preference shares have been issued on the condition of being redeemable, such shares shall not be redeemed until the price of such shares has been fully paid.

(5) The amount of preference shares shall not be refunded from any amount other than the amount of profit distributable as dividend or the amount received from new shares issued by the company for the purpose of redeeming the shares.

(6) If any preference shares issued as redeemable are to be redeemed with premium, a separate fund of an appropriate amount shall be arranged out of the profit of the company or the share premium account of the company for the purpose of refunding the amount of such shares.

(7) Except where the amount of redeemable preference shares has been refunded out of the amount received by issuing new shares under sub-section (5), while refunding the amount of preference shares under this Act, a capital redemption reserve fund shall be created and an amount equal to the face value of the shares so redeemed shall be deposited into such fund out of the amount which could be available for distribution of dividend from the profit of the company.

(8) The capital redemption reserve fund created under sub-section (7) shall be maintained as equivalent to paid-up capital.

(9) Any preference shares redeemed under this section shall be deemed to have been automatically cancelled after the completion of the act of redeeming such shares.

(10) While redeeming preference shares, a company shall, subject to this section, follow the conditions and procedures specified in the articles of association of the company, and where the amount of preference shares has been so refunded, the authorized share capital of the company shall not be deemed to have been reduced by that reason.

(11) If a company redeems or proposes to redeem any preference shares, it may issue new shares equal to the face value of the shares so redeemed or to be redeemed.

(12) A company shall give notice to the Office within one month of the redemption of any preference shares, and upon receipt of such notice, the Office shall record such notice in the register of the company.

(13) Notwithstanding anything contained elsewhere in this section, the company may issue new shares to its shareholders as fully paid-up bonus shares out of the capital redemption reserve fund created under sub-section (7).

66. Restriction on minors and persons incompetent to contract under law being promoters:–

(1) A minor who has not attained the age of sixteen years and a person incompetent to contract under law shall not be a promoter of a company.

Provided that this section shall not be deemed to bar a minor or a person incompetent to contract under law from acquiring title, by way of inheritance or by operation of law, to the shares of a company purchased by a promoter.

(2) If any minor or person incompetent to contract under law has to purchase or sell the shares or debentures of any company, the father, mother, husband or wife of such person, or the guardian or custodian appointed under law, shall do so.

66A. [37]Employee share sale scheme:–

(1) A company may implement a scheme enabling the directors or employees of the company, of a subsidiary or holding company of the company, or of a subsidiary company of the holding company of the company, to purchase shares by issuing or allotting shares.

Provided that, in the case of a director, such director shall be in the regular employment of the concerned company.

(2) The right whether or not to purchase the shares under the scheme under sub-section (1) shall vest in the concerned director or employee.

(3) A special resolution shall be passed by the general meeting of the company before implementing the scheme under sub-section (1).

(4) The scheme under sub-section (1) shall include the following details:–

(a) Number of shares to be issued or allotted for purchase,

(b) Details of the employees eligible to participate in such scheme,

(c) Period during which the purchase of shares remains open,

(d) Purchase price of the shares,

(e) Number of shares which each employee may purchase,

(f) Other appropriate matters.

(5) The shares purchased by an employee under this section shall not be sold or distributed within the period determined by the concerned company.

(6) An employee holding office until the period during which the purchase of shares remains open may participate in the scheme under sub-section (1).

(7) If any employee does not purchase shares within the period during which the purchase of shares remains open, the number of shares so not purchased may be opened for purchase by other employees.

[37]Inserted by the Act Amending Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2081.

(8) The report required to be prepared under sub-section (4) of section 109 shall also mention the details of the shares issued and purchased under the employee share sale scheme.

Chapter-5
Meetings of Company

67. General meetings of company:–

(1) The general meetings of a company shall be as follows:–

(a) Annual general meeting,

(b) Special general meeting.

(2) A notice specifying the place, date and agenda of the meeting shall be sent to the shareholders, at the addresses provided by them to the company, at least twenty-one days before holding the annual general meeting of a public company and at least fifteen days before holding the special general meeting. A notice of that matter shall also be published at least twice in a national level daily newspaper.

Provided that, while calling any adjourned general meeting, if no new matter is to be discussed in such meeting, the notice shall be deemed to have been duly given if the notice of such meeting is published in a national level daily newspaper at least seven days in advance.

(3) No decision shall be made in a general meeting on a matter not notified in advance under sub-section (2), except in the following circumstances:–

(a) Except as otherwise provided in other sections of this Act, if the shareholders representing seventy-five percent of the total shares of the company entitled to vote in the general meeting, being present in person or through proxy, vote in favour of making a decision on any matter,

(b) If any matter has been notified for discussion in an adjourned general meeting.

(4) Except where the Office has given prior approval to hold the general meeting elsewhere, the general meeting of a public company shall be held in the district in which the registered office of such company is situated, or at a place convenient to the majority of the shareholders in a district adjoining the district of the registered office.

Provided that, except as otherwise provided in the articles of association of a private company, the general meeting of such company may be held at any place within or outside the State of Nepal.

(5) The company shall keep at the venue of the meeting, for inspection by the shareholders, a list containing the names and addresses of the existing shareholders and the number of shares taken by them.

(6) In the general meeting, the matters included in the agenda sent along with the notice of such meeting shall be discussed and decided first.

(7) The person presiding over the general meeting may adjourn the meeting as required. Any matter of which notice has been given under this Act before or after the day of the meeting which has been adjourned may be discussed and decided in the meeting called after such adjournment.

(8) The meeting held earlier and the meeting held after its adjournment shall have equal powers. A resolution passed in the adjourned meeting shall be deemed to have been passed on the date on which such adjourned meeting is held.

(9) Where any body corporate has purchased shares of any company, a person appointed by such body corporate may take part and vote in the general meeting of the company on behalf of such body.

(10) No proceedings of any general meeting shall be void or invalid merely by reason of omission to send the notice of the general meeting to the address of any shareholder of a listed company by mistake, or of non-receipt by any shareholder of the notice sent to the address provided by him or her to such company.

(11) Notwithstanding anything contained elsewhere in this section, the general meeting of a private company and its procedures shall be as provided in the articles of association or consensus agreement. Where no such provision has been made, the provisions of this Act shall apply.

(12) Other provisions relating to the procedures of the general meeting shall be as mentioned in the articles of association of the company.

68. Directors to be present:–

[38](1) Every director of the company shall be present in person at the general meeting.

(2) Notwithstanding anything contained in sub-section (1), if any director of the company is unable to be present in person at the general meeting of the company due to circumstances beyond control, he or she may be present at the general meeting and exercise his or her vote through video conference or other similar technology.

69. Validity of meeting:–

Before the commencement of every general meeting, the shareholders shall ascertain whether or not such meeting has been called in accordance with this Act and the articles of association, and even if any other law has not been complied with in that respect, such general meeting shall be deemed to have been duly called if the notice has been sent to all the shareholders under sub-section (2) of section 67 and the meeting having the quorum under section 73 consents to hold the meeting.

[38]Amended by the Companies (First Amendment) Act, 2074.

70. Circumstances in which one may not take part and vote in meeting:–

(1) No person shall, in the capacity of a shareholder, take part and vote, either in person or through his or her proxy, in the general meeting in a discussion relating to any terms and conditions made or to be made between himself or herself and the company.

(2) No director or his or her partner or representative shall vote in a discussion held in the general meeting relating to accountability for any act done or omitted to be done by him or her or done in an improper manner, or relating to his or her appointment, removal from office, transfer, deputation, remuneration, allowances or bonus, or the reduction or increase thereof, or relating to his or her service or any agreement, contract or lease in which he or she has a concern or interest.

(3) A shareholder who has not paid the amount called as an instalment of shares shall not take part and vote in the general meeting.

(4) Where any shareholder has appointed a director of the concerned company as his or her proxy under sub-section (2) of section 71, such director shall not vote in the general meeting, in the capacity of a proxy of anyone, on a matter in which he or she has a personal interest or concern or on the matter of his or her own appointment.

(5) Notwithstanding anything contained in this Act or the prevailing law, if the concerned bank or financial institution established under the prevailing law writes to the concerned company to bar a shareholder who has taken a loan by pledging or mortgaging the shares taken by him or her with such bank or financial institution from voting for such shares, by reason that legal action has been initiated against him or her for failure to repay such loan, the concerned company shall bar such shareholder from voting until the loan is repaid.

71. Right to vote in general meeting:–

(1) Except as otherwise provided in this Act or the articles of association of the company, only a person whose name is registered as a shareholder in the register of shareholders shall, subject to section 70, have the right to be present in the general meeting and vote at the rate of one vote for each share taken by him or her.

(2) Except where the articles of association of the company impose a restriction preventing a proxy of a shareholder from exercising the voting right, any shareholder may, subject to this section, appoint any person as his or her proxy so as to be present in the general meeting and exercise his or her vote.

(3) If a shareholder entitled to vote subject to sub-section (1) or (2) is unable to be present in person at the meeting, he or she may appoint a proxy by writing and signing an application in the prescribed format to vote through his or her proxy, and the proxy so appointed may take part or vote in the meeting subject to the provisions made in section 72.

(4) Where shares have been taken jointly in the names of more than one person, only the vote or proxy letter given by the partner appointed by such partners or by the proxy

appointed by him or her under sub-section (2) and, where no partner could be so appointed, by the partner whose name appears first in order in the register of shareholders maintained under section 46, shall be valid.

72. Provision on voting in election of directors:–

(1) Except as otherwise provided in the articles of association, while voting for the election of directors, each shareholder shall have the right to vote at the rate of a number of votes equal to the number obtained by multiplying the number of shares taken by him or her by the number of directors to be appointed, and a shareholder so voting may cast all of his or her votes for a single candidate or divide them among more than one candidate as determined by him or her.

(2) A body corporate entitled to appoint directors under this Act or the articles of association may appoint directors in proportion to the shares taken by it, and in such case it shall not vote in the election.

Provided that a body corporate which is unable to appoint even one director in proportion to the number of shares and the total number of directors, or which does not appoint a director by exercising the power under this sub-section, may take part and vote like other shareholders in the election of directors representing the shareholders, or may give candidacy for up to the number of directors who may be elected in proportion to the shares taken by such body.

73. Quorum:–

(1) The quorum of the general meeting of a private company shall be as mentioned in the articles of association of such company.

(2) Except where a higher number has been specified for quorum in the articles of association of the company, no business of the meeting of a public company shall be transacted unless at least three shareholders out of the total shareholders, representing more than fifty percent of the total number of allotted shares of the company, are present in person or through their proxies.

(3) Where the meeting could not be held for want of quorum under sub-section (2), and the meeting is called another time by giving a notice of at least seven days, there shall be no bar to holding the meeting if at least three shareholders, representing twenty-five percent of the total number of allotted shares of the company, are present in person or through proxy.

(4) Notwithstanding anything contained elsewhere in this section, in the case of a company incorporated as mentioned in the proviso to sub-section (2) of section 3 or incorporated under sub-section (1) of section 173, the presence of three shareholders as mentioned in sub-section (2) or (3) shall not be mandatory.

74. Discussion and decision:–

(1) The general meeting shall be presided over by the chairperson of the board of directors and, in his or her absence, by a person nominated by the directors from among themselves.

(2) All matters to be discussed in the general meeting shall be submitted in the form of a resolution. The chairperson of such meeting shall declare whether or not the resolution has been passed.

(3) The opinion of the majority of the shareholders in the meeting on every matter voted upon shall be deemed to be the decision of such meeting. While taking such opinion, the chairperson may adopt the raising of hands, voice vote, division of shareholders into groups, the use of ballot papers or other appropriate procedures.

Provided that, in the case of a special resolution, such resolution shall be deemed to have been approved by the meeting only if the shareholders representing seventy-five percent of the shares out of the shareholders present in the meeting vote in favour of the resolution.

(4) If the votes in favour and against are equal in the general meeting, the person presiding over the meeting may cast a casting vote.

Provided that he or she shall not be deprived of the right to vote in the capacity of a shareholder.

75. Minutes to be kept:–

(1) Every company shall keep the minutes of the proceedings of the general meeting in a separate book, and such minutes shall be signed by the chairperson of the concerned meeting and by the company secretary, if any. In the case of a company not having a company secretary, such minutes shall be signed by the chairperson of the concerned meeting and one representative of the shareholders appointed by majority by the general meeting.

(2) While keeping the minutes under sub-section (1), all matters such as how the notice of the meeting was issued, how many shareholders were present, [39]the number of directors present where they were present in the general meeting through video conference or other similar technology, what percentage of the total shares was represented, what decisions were made in the meeting and, where voting took place, what the result of the voting was, shall be disclosed.

(3) The minutes written under this section shall be sent to the shareholders within thirty days of the holding of the general meeting.

Provided that, if any company publishes such minutes in a national level daily newspaper, it shall not be required to send them to the shareholders.

[39]Inserted by the Companies (First Amendment) Act, 2074.

(4) The minutes of the proceedings of the general meeting kept under sub-section (1) shall be kept at the registered office of the company. If any shareholder wishes to see such minutes within office hours, the company secretary or any other employee designated by the company shall allow him or her to see them.

(5) If any shareholder wishes to obtain a copy of the minutes of the proceedings of the general meeting, the company shall provide the copy on charging the fee specified in the articles of association.

76. Annual general meeting:–

(1) Every public company shall hold its first annual general meeting within one year of obtaining permission to commence business and thereafter shall hold an annual general meeting every year within six months of the completion of the financial year of the company.

(2) If any public company does not call the annual general meeting even within three months of the expiry of the time-limit under sub-section (1), the Office may direct such company to call the annual general meeting.

(3) If the company does not call the annual general meeting even within three months of receiving the direction under sub-section (2), any shareholder may make an application to the Court disclosing that fact. Where such application is made, the Court may cause the annual general meeting to be held or issue any other appropriate order.

(4) Notwithstanding anything contained in sub-sections (1) and (2) of section 73, the quorum shall be deemed to have been fulfilled in the general meeting called pursuant to the order of the Court under sub-section (3), irrespective of the number of shareholders present.

[40](5) The provisions of sub-sections (1), (2), (3) and (4) shall also apply in the case of a private company which has made provision in its articles of association for holding an annual general meeting.

77. Matters to be submitted and decided in annual general meeting:–

(1) The directors shall submit the audited annual financial statements, the auditor's report and the directors' report to the annual general meeting of every public company.

(2) If a shareholder or shareholders representing at least five percent of the total number of votes so wish, he, she or they may, by making an application to the directors before the notice under sub-section (2) of section 67 is issued, cause any matter to be submitted to the annual general meeting for discussion and decision.

(3) Every public company shall, at least twenty-one days before the holding of the annual general meeting, make arrangements enabling the shareholders to inspect and obtain the annual financial statements, the directors' report and the auditor's report referred to in

[40]Inserted by the Companies (First Amendment) Act, 2074.

section 84, and publish a notice thereof in a national level daily newspaper for information.

(4) The notice of the statements and reports referred to in sub-section (3) may also be disseminated through electronic communication media as required.

(5) If any shareholder demands the auditor's report, annual financial statements and directors' report referred to in sub-section (3), the company shall provide such reports or statements to such shareholder.

(6) Except as otherwise provided in this Act, resolutions may be submitted and decided in the annual general meeting of the company on the profit to be distributed to the shareholders, the appointment and remuneration of directors, the appointment of the auditor and his or her remuneration, or other matters provided in this Act or the articles of association to be decided by the general meeting of the company.

Provided that, while deciding on the profit to be distributed to the shareholders, no decision shall be made so as to make the rate of such profit higher than the rate determined by the board of directors.

78. Report to be submitted to Office:–

Every public company shall prepare a report disclosing the following matters and submit it to the Office at least twenty-one days before the holding of the annual general meeting. Such report shall be approved by the board of directors and certified by the auditor of the company:–

(a) Number of shares allotted,

(b) Number of paid-up and unpaid shares out of the shares allotted,

(c) Details of the directors, managing director, auditor, chief executive and manager of the company and the amount of remuneration, allowances and facilities paid to them,

(d) Names of the persons or bodies corporate purchasing five percent or more of the shares of the paid-up capital of the company and details of the shares or debentures held in their names,

(e) Total amount received from the sale of shares and details of new shares and debentures purchased and issued by the company in the concerned financial year,

(f) Amount remaining to be paid to the company by the directors or substantial shareholders or their close relatives,

(g) Amount paid or payable for the sale of shares or for any other act,

(h) Loans taken from banks and financial institutions and the amount of principal and interest remaining to be paid,

(i) Amount claimed as receivable by the company or as payable by the company to other persons and, if any case or litigation is pending on that matter, details thereof,

(j) Number of employees or workers working in the management of the company and at other levels,

(k) Number of foreigners working in the management of the company and at other levels and the remuneration, allowances and facilities paid to them,

(l) If any agreement has been made between the company and any foreign body or persons for a period of more than one year on investment, management or technical services or other matters, details thereof and details of dividend, commission, fee, charges and royalty, etc. paid under such agreement in the concerned financial year,

(m) Details of the management expenses of the company for a financial year,

(n) Amount of dividend remaining to be collected by the shareholders,

(o) Declaration that the company has fully complied with this Act and the prevailing law,

(p) Other necessary matters.

79. Documents to be kept ready for annual general meeting:–

Every public company shall prepare the annual financial statements, directors' report, auditor's report, the report prepared under section 78 and the resolutions to be submitted to the meeting, which are to be discussed in the annual general meeting, at least twenty-one days before the holding of the meeting, and keep them at the registered office of the company by making arrangements for inspection by the shareholders, and if any shareholder makes an application demanding a copy thereof, shall give him or her a copy thereof.

Provided that the resolutions to be submitted to the meeting as special resolutions shall be sent to the addresses of the shareholders together with the notice of the meeting.

80. Annual statements to be submitted:–

[41](1) Every company holding an annual general meeting shall, within thirty days of the holding of the annual general meeting, send to the Office the number of shareholders present in such meeting, the number of directors present in the general meeting through video conference or other similar technology, the annual financial statements, the reports of the board of directors and the auditor, and a copy of the decisions made by such meeting.

(2) Except as otherwise provided in this Act, every company shall submit to the Office, within six months of the completion of the financial year, a copy of the annual financial statements together with the audit report certified by the auditor.

(3) A company may submit the statements and documents required to be submitted to the Office under this Act by uploading them to the computer system through electronic means.

[41]Amended by the Companies (First Amendment) Act, 2074.

The Office shall keep the statements so submitted safe in the electronic records of the concerned company.

81. Fine for not sending statements:–

(1) Where any time-limit has been specified in this Act for providing any statement, notice or information required to be provided by a company to the Office, or any information required to be provided by an office bearer or shareholder to the company, the director of the concerned company or the office bearer or shareholder having the duty to provide such statement, notice or information shall provide such statement, notice or information to the Office or the company within such time-limit.

(2) The Registrar shall impose a fine as follows on the following directors or office bearers of a company who do not provide the statement, notice, information or reply under [42]section 51, 78, 80, 120, 131 or 156 within the time-limit under sub-section (1):–

(a) For up to three months after the expiry of the time-limit, one thousand rupees in the case of a company having paid-up capital up to twenty-five lakh rupees, two thousand rupees in the case of a company having paid-up capital up to one crore rupees and five thousand rupees in the case of a company having paid-up capital exceeding that,

(b) For up to further three months from the date of expiry of the time-limit under clause (a), one thousand five hundred rupees in the case of a company having paid-up capital up to twenty-five lakh rupees, three thousand rupees in the case of a company having paid-up capital up to one crore rupees and seven thousand rupees in the case of a company having paid-up capital exceeding that,

(c) For up to further six months after the expiry of the time-limit under clause (b), two thousand five hundred rupees in the case of a company having paid-up capital up to twenty-five lakh rupees, five thousand rupees in the case of a company having paid-up capital up to one crore rupees and ten thousand rupees in the case of a company having paid-up capital exceeding that,

(d) Where the time-limit under clause (c) has also expired, five thousand rupees for each year in the case of a company having paid-up capital up to twenty-five lakh rupees, ten thousand rupees for each year in the case of a company having paid-up capital up to one crore rupees and twenty thousand rupees for each year in the case of a company having paid-up capital exceeding that.

(3) In the case of a company not distributing profit which does not provide such statement, notice or information within the time-limit under sub-section (1), the director or office bearer of such company shall be liable to the same fine as is applicable to a company having paid-up capital up to one crore rupees.

[42]Amended by the Some Nepal Acts Amendment Act, 2064.

(4) Any director, office bearer or shareholder liable to pay the fine under sub-section (2) shall pay such fine to the Office and submit the statement required to be sent to the Office or the concerned company.

(5) While computing the period of expiry of the time-limit under sub-section (2), it shall be computed from the date of commencement of this Act.

(6) The director or office bearer or shareholder of a company who does not provide other statements, notices or information required to be sent to the Office under this Act shall be liable to a fine at the rate of two hundred rupees for every month after the expiry of one month from the date of expiry of the time-limit for providing such statement, notice or information.

Provided that such fine shall not exceed one thousand rupees in a financial year.

[43](7) If any company submits, by the end of Asar 2082, any statement, notice or information remaining to be submitted to the Office under this Act at the time of commencement of this sub-section, a rebate of ninety percent shall be given on the fine leviable for late submission of the statement, notice or information under this Act.

82. Special general meeting:–

(1) The board of directors of the company may call a special general meeting if it deems necessary.

(2) If it appears necessary to call a special general meeting for any reason while examining the accounts of the company, the auditor may request the board of directors to call such meeting, and if the board of directors does not call such meeting accordingly, the auditor may make an application to the Office disclosing that fact, and where such application is made, the Office may call the special general meeting of the company.

(3) If the shareholders holding at least ten percent of the shares of the paid-up capital of the company or at least twenty-five percent of the total number of shareholders make an application to the registered office of the company, stating the reasons, demanding the calling of a special general meeting, the board of directors shall call the special general meeting of the company [44]to be held within a maximum of thirty days from the date of such demand.

(4) If the board of directors does not call the special general meeting within the [45]period under sub-section (3), the concerned shareholders may file a complaint with the Office disclosing that fact, and where such complaint is filed, the Office may call such meeting.

[43]Inserted by the Act Amending Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2081.
[44]Inserted by the Companies (First Amendment) Act, 2074.
[45]Amended by the Companies (First Amendment) Act, 2074.

(5) If it appears necessary to call a special general meeting as a result of an inspection or for any reason, the Office may itself call such meeting or cause it to be called by the board of directors.

83. Special resolution to be submitted:–

A special resolution shall be submitted to take a decision in the general meeting of the company on the following matters:–

(a) Matter of increasing the authorized capital of the company,

(b) Matter of reducing or altering the share capital of the company,

(c) Matter of changing the name or main objective of the company,

(d) Matter of amalgamation of one company into another company,

(e) Matter of issuing bonus shares,

(f) Matter of the company purchasing its own shares,

(g) Matter of selling shares at a discount,

(h) Matter of converting a private company into a public company or a public company into a private company,

(i) Other matters on which the company is required to pass a special resolution under this Act or the articles of association.

84. Provision on sending abridged financial statements to shareholders:–

(1) Notwithstanding anything contained elsewhere in this Act, a company listed in the securities market shall not be required to send the annual financial statements and the directors' report to the shareholders or debenture holders.

Provided that, while sending the notice of the annual general meeting, the abridged annual financial statements prepared under sub-sections (2) and (3) shall be sent to each shareholder.

(2) The abridged financial statements required to be sent under the proviso to sub-section (1) shall be prepared on the basis of the annual financial statements of the company and the directors' report. The format of such statements shall be as prescribed by the Office on the basis of the suggestion of the body designated to determine accounting standards under the prevailing law.

(3) The abridged annual financial statements shall, in addition to other matters, mention the following matters:–

(a) That the abridged annual financial statements are only an abridged statement of the annual financial statements of the company and the directors' report,

(b) The opinion of the auditor of the company as to whether or not the abridged annual financial statements are consistent with the annual financial statements of the

company and the directors' report, and whether or not such statements conform to the format prescribed under this section,

(c) Whether or not the auditor has shown any remark on the annual financial statements of the company and, if any remark has been shown, full details of such remark and materials necessary to understand such remark,

(d) If the auditor has mentioned in his or her report that the accounts and statements relating to accounts of the company are incomplete, or that the accounts of the company do not tally with the records and statements kept by the company, or that the information and explanations demanded have not been received, full details thereof.

(4) Instead of sending the abridged annual financial statements to the shareholders at their personal addresses under sub-section (1), the company may publish them at least twice in a national level daily newspaper while publishing the notice of the meeting on that matter.

(5) Where the abridged annual financial statements have been published under sub-section (4), it shall not be necessary to send such statements to the personal addresses of the shareholders.

85. Registration number to be mentioned:–

A company shall mention its registration number in all reports, statements, records or other documents required to be submitted to the Office for the purposes of this Act.

Chapter-6
Board of Directors

86. Board of directors and number of directors:–

(1) The appointment and number of directors of a private company shall be as provided in the articles of association.

[46]Provided that the number of directors shall not exceed eleven.

(2) Every public company shall have a board of directors consisting of at least three and up to a maximum of eleven directors. [47]The board of directors of a public company having a woman shareholder shall have at least one woman director.

(3) While constituting the board of directors under sub-section (2), at least one person, where there are up to seven directors, and at least two persons, where there are more than seven directors, shall be appointed as independent directors from among the persons having the qualifications specified in the articles of association of the company and having acquired knowledge and experience in the subject relating to the business of the concerned company.

[46]Inserted by the Companies (First Amendment) Act, 2074.
[47]Inserted by the Companies (First Amendment) Act, 2074.

(4) Any one of the directors chosen by the directors from among themselves shall be the chairperson of the board of directors.

87. Appointment of directors:–

(1) The directors of the company shall be appointed by the general meeting of the company, subject to section 89 and the provisions mentioned in the articles of association.

Provided that,–

(1) Until the first annual general meeting of the company is held, the directors shall be appointed by the promoters.

(2) If the office of a director appointed by the annual general meeting falls vacant for any reason, the board of directors shall appoint another director to fill such vacancy.

(2) Notwithstanding anything contained in sub-section (1), in the case of a company in which any body corporate has taken shares, such body may appoint the directors in proportion to the total number of directors of the company and the number of shares acquired by such body and, where such director is unable to take part in the meeting of the board for any reason, may also appoint an alternate director to be present and vote in the meeting of the board in lieu of each such director.

(3) If any director appointed under sub-section (2) is unable to be present at the meeting of the board of directors of the company, such director shall inform his or her alternate director and the board of directors thereof. In such case, the alternate director may take part and vote in the meeting of the board.

(4) The alternate director appointed under sub-section (2) shall not take part and vote in the meeting of the board of directors except in the circumstance under sub-section (3).

88. Shares to be taken for being director:–

If any number of shares has been specified in the articles of association of a company for being appointed as a director of such company, the person to be a director shall have taken shares accordingly. Where no number has been so specified, he or she shall have taken at least one hundred shares.

Provided that a director appointed under sub-section (3) of section 86 and sub-section (2) of section 87 shall not be required to take such shares.

89. Circumstances in which one may not be appointed to or hold office of director:–

(1) Any of the following persons shall not be eligible to be appointed to the office of director:–

(a) In the case of a public company, a person who has not attained the age of twenty-one years,

(b) A person of unsound mind or insane,

(c) A person who has been declared insolvent and a period of five years has not elapsed,

(d) A person convicted of corruption or any other offence involving moral turpitude,

Provided that, in the case of a private company, a person in whose case a period of three years has not elapsed from the date of completion of such sentence,

(e) A person in whose case a period of three years has not elapsed from the completion of the sentence after having been convicted of any kind of theft, cheating, forgery or embezzlement or misappropriation of property under his or her custody in an unauthorized manner,

(f) A person having any kind of personal interest in the business of the concerned company or in any contract, lease or transaction,

(g) A person holding the office of director, substantial shareholder, employee, auditor or adviser of any other company having the same objective, or having any kind of personal interest in such company,

[48]Provided that,–

(1) Such a person of a private company may be a director in another private company having the same objective.

(2) Such a person of a holding company may be a director in a subsidiary company, or such a person of a subsidiary company may be a director in the holding company.

(3) Such a person of a public company, other than a public company relating to the banking, financial and insurance sector, may be a director in another public company having the same objective.

(h) A shareholder in the case where it has been held that he or she owes any amount to the concerned company,

(i) In the case of a person punished under section 160, a person in whose case one year has not elapsed from the date of such punishment or, in the case of a person punished under section 161, a person in whose case six months have not elapsed from the date of such punishment,

(j) In the case of a company carrying on any particular business, where the prevailing law has specified any qualification, a person not fulfilling such qualification or, where any disqualification has been specified, a person having such disqualification,

(k) A person who is the director of any company which has not submitted the statements and reports required to be submitted to the Office under this Act for three consecutive financial years,

[48]Amended by the Act Amending Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2081.

(k1) [49]A person who has failed to pay the amount of fine under sub-section (2) of section 81,

(l) A person holding the office of director receiving any remuneration or facility from any other listed company, other than the meeting allowance and the actual expenses incurred for coming to, going from and staying at the venue of the meeting.

(2) Any of the following persons shall not be eligible to be appointed to the office of independent director:–

(a) A person referred to in sub-section (1),

(b) A shareholder of the concerned company,

(c) A person who has not acquired at least a bachelor's degree in a subject relating to the business carried on by the concerned company and at least ten years of experience in the concerned field or in work relating to company management, or who has not acquired at least a bachelor's degree in economics, finance, management, accounting, statistics, commerce, business administration or law and at least ten years of experience in the concerned field,

(d) An office bearer, auditor or employee of the concerned company, or a person who has retired from any such office and three years have not elapsed,

(e) A close relative of an office bearer of the concerned company,

(f) The auditor of the concerned company or his or her partner.

(3) A person shall not hold the office of director in the following circumstances:–

(a) If a circumstance arises in which he or she is not eligible to be appointed to the office of director as mentioned in sub-section (1) or (2),

(b) If the general meeting passes a resolution to remove him or her from the office of director,

(c) If the resignation tendered by the director from his or her office is accepted by the board of directors,

(d) If it is held by the Court that he or she has committed dishonesty or mala fide in the business of the company,

(e) If it is held by the Court that the director has done any act which a director is prohibited from doing under this Act or has not done any act which he or she is required to do,

(f) If he or she has been blacklisted by the competent body for not repaying the loan of a bank or financial institution under the prevailing law and the period of blacklisting continues.

[49]Inserted by the Companies (First Amendment) Act, 2074.

(4) Before holding any person ineligible to be appointed to or hold the office of director, the company shall give him or her notice thereof and a reasonable opportunity to submit his or her defence.

90. Term of office of directors:–

(1) The term of office of a director of a private company shall be as provided in the articles of association.

(2) The term of office of a director of a public company may be up to a maximum of four years as mentioned in the articles of association.

Provided that,–

(1) A director appointed by Nepal Government or a body corporate shall hold office for such period as Nepal Government or the appointing body may desire.

(2) A director appointed under serial number (1) or (2) of the proviso to sub-section (1) of section 87 shall hold office only until the annual general meeting is held.

(3) Where the office of any director falls vacant before the completion of his or her term of office, the term of office of the director appointed to such office shall be only for the remaining term of office of the director whose office fell vacant and in whose place he or she was appointed.

(3) Except as otherwise provided in the prevailing law or the articles of association, a person retiring from the office of director upon the completion of one term of office may be re-appointed to the office of director.

91. Remuneration, allowances, rewards, etc. of directors:–

(1) The meeting allowance, monthly remuneration, daily allowance and travel expenses or other facilities to be received by the directors for attending meetings shall be as determined by the general meeting.

(2) The general meeting of any company may, by passing a special resolution, give a reward, not exceeding three percent of the profit remaining after paying the income tax payable by the company, as an incentive to the directors working full time in the company.

Provided that, if the company is required to pay additional income tax upon the final assessment of income tax under the prevailing law, the company shall recover the amount of such additional tax from the directors receiving the reward proportionately, to the extent of the amount received by them as the reward.

(3) Until the first general meeting is held, the board of directors may determine the remuneration and facilities of the managing director or other directors working full time in the company.

(4) Except where the general meeting of the company has granted approval, if any director of a listed company is relieved from or retires from his or her office, the company shall not pay him or her any kind of payment as compensation therefor.

92. Directors to give information:–

(1) A director shall, within [50]fifteen days of assuming the office of director, give written information to the company on the following matters:–

(a) If he or she or his or her close relative has direct involvement or any kind of personal interest in any kind of purchase, sale or other kind of contract or lease relating to the transactions of the company,

Explanation: For the purposes of this clause, "direct involvement" means and includes a situation where the director or his or her close relative is a promoter of, or has taken more than ten percent of the shares of, a company, private firm or partnership firm, or is a director of a company involved in such transaction.

(b) If he or she has any kind of interest in the appointment of the managing director, company secretary or office bearers of the company,

(c) If he or she is a director of any other company,

(d) If he or she has carried on transactions in the shares or debentures of the company or of its holding or subsidiary company, the matter of such transactions.

(2) While giving the information under sub-section (1), where there is any written agreement between the company and the director or his or her close relative, a copy of such agreement shall be submitted and, where there is no such agreement, the main and necessary matters relating to the transaction, interest or involvement shall be disclosed.

(3) The company shall submit the information under sub-section (1) to the Office within seven days of receiving it, and the Office shall, upon receiving such information, record and keep it in a separate register maintained for that purpose.

(4) If any director has a direct or indirect interest in any kind of contract, lease, transaction or agreement made or to be made with the concerned company or its subsidiary company, or comes to know that he or she will have such an interest, he or she shall give information to the company on that matter as soon as possible, also disclosing the extent and the nature of such interest.

(5) If any director gives written information to the company that he or she be deemed to have a personal interest in the transactions with any particular person, he or she shall be deemed to have given information about his or her personal interest in respect of the transactions or contracts to be made with such person.

[50]Amended by the Companies (First Amendment) Act, 2074.

93. Transactions with company in which director is involved:–

(1) Except as otherwise provided in this section, no public company shall, without the approval of the general meeting, carry on a substantial transaction with any of its directors or his or her close relative or substantial shareholder, [51]or any other firm, company or other body corporate in which the director, the close relative of the director or the substantial shareholder has substantial share ownership, and no subsidiary company shall, without the approval of the general meeting of its holding company, carry on a substantial transaction with a director of the holding company or his or her close relative or substantial shareholder.

Explanation: For the purposes of this section, "substantial transaction" means a transaction relating to the purchase, sale or exchange of any goods or services, or a contract or lease, having a value exceeding one lakh rupees or five percent of the total assets of the company, whichever is lower, at the time of the transaction, and this term also denotes a transaction relating to rent of one lakh twenty thousand rupees or more annually.

(2) Where any transaction has been carried out in contravention of sub-section (1), any amount or benefit directly or indirectly obtained from such transaction shall be returned to the company, and if the company has suffered any loss or damage from such transaction, the person benefiting from such transaction shall also pay compensation therefor.

(3) Notwithstanding anything contained elsewhere in this section, the provision of sub-section (1) shall not apply in relation to the movable or immovable property acquired as follows:–

(a) Where a holding company acquires such property from its wholly owned subsidiary company,

(b) Where a subsidiary company wholly owned by a holding company acquires such property from another subsidiary company wholly owned by the same holding company,

(c) Where a transaction is carried out at the prevailing market price in the course of the regular business transactions of the company.

94. Director to give information about shares:–

(1) If, while holding the office of director, a person acquires title by any means in the shares or debentures of such company, or of the subsidiary or holding company of such company, or of another subsidiary company of the holding company, he or she shall give the following information thereof to the company:–

(a) The manner of his or her title,

[51]Inserted by the Companies (First Amendment) Act, 2074.

(b) Details of the number of shares of each class and the amount of debentures of each class in which he or she has title or interest in the shares or debentures of the concerned company or other company at the time of holding the office of director.

(2) If any of the following circumstances arises, the director of the company shall give written information to the company in which he or she is a director within fifteen days of such circumstance coming to his or her knowledge:–

(a) If, for any reason, he or she acquires title in, or his or her title ends in, the shares or debentures of the company in which he or she is a director, or of the subsidiary or holding company of such company, or of another subsidiary company of the holding company,

(b) If he or she makes any agreement to sell the shares or debentures referred to in clause (a) held in his or her name,

(c) If he or she transfers to anyone else the right granted by the company in which he or she is a director to purchase the shares or debentures of such company,

(d) If the subsidiary or holding company of the company in which he or she is a director, or the subsidiary company of such company, or another subsidiary company of the holding company, grants him or her the right to purchase the shares or debentures of such company,

(e) If he or she transfers to anyone else the right to purchase the shares or debentures of the company referred to in clause (d).

(3) While sending information to the company under sub-section (2), the number of shares or debentures, their amount and class shall also be clearly disclosed.

(4) The company shall maintain a separate register for recording the information received under sub-sections (2) and (3).

(5) The provisions of this section shall also apply in relation to a close relative of a director in the same manner as they apply to the director.

95. Powers and duties of board of directors:–

(1) Subject to the matters mentioned in this Act and the articles of association and to the decisions of the general meeting, the directors shall collectively, through the board of directors, manage all the transactions of the company, exercise its powers and perform its duties.

(2) Except in accordance with a decision of the general meeting, no director of any public company shall do any act which brings personal benefit to himself or herself through the company in which he or she holds office.

Provided that a private company may make reasonable arrangements relating to the benefit which a director may obtain through the company, as mentioned in the memorandum of association and articles of association or consensus agreement.

(3) Except as otherwise provided in this Act, the memorandum of association and articles of association of the company or, in the case of a private company, the consensus agreement, the board of directors may appoint its representative by delegating all or some of the powers, including the power to carry out any act, to correspond and to sign negotiable instruments or cheques, etc., on behalf of the company, to any of the directors from among themselves or to any employee of the company, singly or jointly. While so delegating the powers, at least one director and the company secretary, if any, shall certify that matter in accordance with the decision of the board of directors.

(4) The company may recover from a director or a person acting in the capacity of a representative the loss or damage caused to the company by any act done by such director or representative exceeding his or her jurisdiction.

(5) If anyone has carried out any transaction with a director or the representative under sub-section (3) knowingly, or having reason to believe, that such director or representative was about to carry out such transaction for his or her personal interest or for causing loss or damage to the company, such person shall not make any claim against the company in respect of such transaction.

(6) Notwithstanding anything contained in sub-section (3), the board of directors shall not delegate the following powers conferred on the company, and such powers shall be exercised only in accordance with the decision passed by the meeting of the board of directors:–

(a) Power to call for payment of the amount remaining to be paid by the shareholders for the shares,

(b) Power to issue debentures,

(c) Power to take loans or borrowings by means other than debentures,

(d) Power to invest the amount in the fund of the company,

(e) Power to provide loans.

(7) The provision of clause (e) of sub-section (6) shall not apply in respect of the loans to be provided and the deposits to be received by companies carrying on banking and financial transactions in the course of their regular transactions.

(8) If the board of directors deems it necessary to constitute a sub-committee to carry out any particular act, it may constitute one or more sub-committees as required and cause such act to be carried out.

96. Appointment of managing director and management of company:–

(1) Subject to the articles of association, the directors may appoint one of themselves as the managing director.

(2) The functions, duties and powers of the managing director shall be as mentioned in the articles of association or as specified by the board of directors.

(3) While appointing in the company the managing director appointed under sub-section (1) or any other director undertaking the responsibility of the management of the company, a written agreement shall be made by determining the terms of appointment, remuneration and facilities, and no facility other than the remuneration and facilities mentioned in such agreement and the other facilities receivable as determined by the general meeting shall be given or paid.

(4) The term of the agreement under sub-section (3) shall not exceed four years at a time.

(5) Arrangements shall be made enabling the shareholders to inspect, free of charge, the agreement under sub-section (3) made with the directors.

(6) A director receiving regular remuneration or facilities, other than meeting allowance, from any one listed company shall not be appointed to the office of managing director in another listed company so as to receive regular remuneration or facilities.

97. Meetings of board of directors:–

(1) The meetings of the board of directors of a private company shall be as mentioned in the articles of association.

(2) The meeting of the board of directors of a public company shall be held at least six times a year.

Provided that the interval between two meetings shall not exceed three months.

(3) The directors shall be present in person at the meeting of the board of directors of the company. The presence of a representative of a director in lieu of the director shall not be valid.

(4) No meeting of the board of directors shall be held unless at least fifty-one percent of the total number of directors of the company are present.

Provided that a director who is not entitled to take part in the discussion on any matter to be discussed in the meeting of the board of directors under this Act shall not be counted for the purposes of this sub-section.

(5) If the meeting of the board of directors could not be held by reason of the directors not being present in the number referred to in sub-section (4), another meeting may be called by giving a notice of at least three days. Even if the directors are not present in the number referred to in sub-section (4) in such meeting, the acts done and decisions made by the directors present shall be valid.

(6) The decision of the majority shall be valid in the meeting of the board of directors, and in the event of a tie, the chairperson may also cast a casting vote in addition to the vote cast by him or her in the capacity of a director.

Provided that no director shall take part or vote in a discussion held in the meeting of the board of directors on a matter in which he or she has a personal concern or interest.

(7) A separate record of the minutes of the directors present at the meeting of the board of directors, the matters discussed and the decisions made thereon shall be kept, and such minutes shall be signed by at least fifty-one percent of all the directors present at the meeting.

Provided that, if any member expresses an opinion contrary to or different from the decision while discussing any matter, he or she may record such matter in the minutes of the meeting.

(8) No decision shall be deemed to be invalid merely by reason of the absence of the signature of any member.

(9) Notwithstanding anything contained in sub-sections (3), (4), (5) and (6), except where expressly prohibited by the memorandum of association or articles of association, if all the members of the board of directors or of any sub-committee of the directors agree in writing in respect of any act or decision which the board of directors or such sub-committee is entitled to do, such consent may be recorded as minutes and such act may be done even without a meeting.

(10) The consent under sub-section (9) shall be deemed to be equivalent to a decision of the meeting of the board of directors.

98. Notice of meeting of board of directors:–

(1) Except as otherwise provided in the articles of association of the company, the meeting of the board of directors of the company shall be called by the company secretary or the chairperson of the board or the chief executive of the company.

(2) Notwithstanding anything contained in sub-section (1), if at least twenty-five percent of the total number of directors demand in writing the calling of a meeting of the board of directors specifying the matters to be discussed in the meeting, the chairperson shall call the meeting of the board so that such meeting is held within [52]fifteen days of the receipt of such demand. If the meeting of the board of directors is not called within that period, the concerned directors making such demand may themselves call the meeting of the board of directors.

(3) If any provision has been made in the articles of association of the company regarding the notice of the meeting of the board of directors, it shall be accordingly. Where no such provision has been made, the notice of the meeting of the board of directors and the agenda shall be sent in writing to each director at the address provided by him or her to the company, and such notice may also be given through electronic communication media.

99. Accountability and liability of directors:–

(1) No director of a company shall do any act to obtain personal benefit through the company or in the course of the business of the company.

[52]Amended by the Companies (First Amendment) Act, 2074.

(2) If any director has obtained personal benefit in the course of the transactions of the company in contravention of sub-section (1), the company shall recover such amount from such director as a debt.

(3) After being appointed as a director of a public company, a person shall, before assuming his or her office, take an oath of secrecy and honesty in the prescribed format.

(4) Every director and office bearer of the company shall, while discharging his or her official duties, act honestly and in good faith, keeping in view the interests and welfare of the company, and shall exercise the care, caution, prudence, skill and efficiency of a person having ordinary prudence and knowledge.

(5) The company may recover compensation for the loss or damage caused to the company from a director who, contrary to sub-section (4), acts with mala fide intention in such a manner as to cause loss or damage to the company.

(6) It shall be the duty of every director to comply with the provisions of this Act, the memorandum of association and articles of association of the company and the consensus agreement.

100. Information on securities to be given:–

(1) If the shares or debentures of any company are listed with the institution operating the securities market, the company shall, after the director has given information to the company under section 94 in relation to the shares or debentures of such company, immediately give information thereof to such institution.

(2) Such institution shall publish the information received under sub-section (1) in such manner as it deems appropriate.

101. Restriction on providing loans to office bearers or shareholders:–

(1) A company shall not provide any loan or financial assistance to its office bearers, substantial shareholders or [53]office bearers or substantial shareholders of its holding company or subsidiary company, or to a close relative of any of them, and shall not give any guarantee or provide security for the loans taken elsewhere by such office bearers or shareholders or close relatives.

Provided that this provision shall not apply in relation to the loans or facilities provided to the employees of the company in accordance with the rules of the company or, except where prohibited by the prevailing law, the loans provided or guarantees given by any bank or financial institution in the course of its regular transactions.

(2) Any loan obtained from the company by any person referred to in sub-section (1) before the commencement of this Act shall be repaid by 22 Ashwin 2065.

[53]Amended by the Companies (First Amendment) Act, 2074.

102. Office bearer not to give false statement:–

If an office bearer of the company, by knowingly giving a false statement in the general meeting of the company regarding the actual financial position of the company, induces the shareholders of the company to distribute dividends in excess of what can be distributed out of the profit and thereby does an act affecting the capital of the company, the office bearer giving such false statement shall be personally liable for such act.

103. Transactions with other persons and jurisdiction of company:–

(1) No transaction carried out by a company with any other person shall be illegal or invalid merely on the ground that such transaction is ultra vires on the basis of any matter mentioned in the memorandum of association of the company.

(2) It shall be the duty of every director and office bearer to carry out such transactions within the limits of the jurisdiction specified in the memorandum of association of the company.

(3) Except in the circumstance referred to in sub-section (1), any act or transaction done by any director exceeding the authority conferred on him or her may be ratified by the general meeting of the company by passing a special resolution.

(4) A director, office bearer or other person of the company shall not be deemed to have been exempted from his or her liability under this Act for the acts done by exceeding his or her jurisdiction merely by reason of such act having been ratified by a special resolution under sub-section (3).

104. To be binding on company:–

(1) [54]Any act done by an office bearer or a person authorized to act for the company, or any document bearing his or her signature, shall be valid and binding on the company.

(2) Where any person has carried out any transaction with the company in good faith, such transaction shall be binding on the company, and no matter mentioned in the memorandum of association or articles of association of the company or in any resolution passed by the company or in an agreement between the company and any of its shareholders shall be deemed to have imposed any limit or restriction on the authority of the director or authorized person to carry out such transaction.

Provided that, if any office bearer carries out any act or transaction mentioned in sub-section (1) or (2) by exercising authority in excess of the authority conferred on him or her, and such authority is not ratified by the general meeting under this Act, he or she shall be personally liable, and if the company has suffered any loss or damage from such act or transaction, the company may also recover the same from him or her.

[54]Amended by the Companies (First Amendment) Act, 2074.

105. Restriction on powers of directors:–

(1) The board of directors of a public company, or of a private company obtaining loans from a bank or financial institution, shall not do or cause to be done any of the following acts without passing a special resolution by the general meeting of the shareholders:–

(a) Relinquishing title in favour of anyone, by way of sale, gift, donation, lease or any other means, of more than seventy percent of one or more businesses (undertakings) being carried on by it,

(b) Taking loans exceeding the total amount of its paid-up capital and accumulated profit (free reserve), except the loan facilities taken by the company from banks or financial institutions for a period of less than six months in the course of regular business transactions,

(c) Giving donations, grants or gifts exceeding [55]one lakh rupees or the amount equal to one percent of the average net profit of the company for the last three financial years, whichever is lower, in a financial year, except for the expenses made on grants, donations, gifts, etc. given for the employees of the company or for the promotion of its business.

Provided that,–

(1) Nothing contained in clause (a) shall affect the title acquired in such property or business (undertaking) by a person purchasing any property or business of the company, by paying the prevailing market price, from a company carrying on the business of only purchasing and selling movable and immovable property.

(2) The provision of clause (b) shall not apply where a company carrying on banking or financial transactions or insurance business receives deposits or insurance premiums from the general public in the course of its regular transactions.

(2) The general meeting may specify appropriate conditions while granting approval for the purposes of sub-section (1).

106. Validity of acts already done:–

If it is later found that any provision under this Act has not been complied with in relation to the appointment of any director, the acts done by such director before it was so found shall not be void by that reason.

107. Register of directors and company secretary:–

(1) Every company shall maintain a separate register of directors and of the company secretary, if any.

[55]Amended by the Companies (First Amendment) Act, 2074.

(2) Every company shall record and keep in the register maintained under sub-section (1) the name, surname, address, citizenship, profession, business of its directors or secretary and the date of appointment as director or secretary and, if removed from office, the date thereof, and if any change is made in such details, shall also send a notice thereof to the Office within fifteen days.

Chapter-7
Accounts and Books of Account of Company

108. Accounts of company:–

(1) A company shall duly maintain its accounts in the Nepali or English language.

(2) The accounts to be maintained under sub-section (1) shall be based on the double entry system of accounting and maintained in conformity with the accounting standards implemented by the body authorized under the prevailing law, and with the other conditions and provisions required to be complied with under this Act, so as to clearly reflect the true position of the transactions of the company.

(3) Except where the Office has granted approval, the accounts of the company shall not be kept elsewhere than at the registered office of the company.

(4) Except the amount specified by the board of directors of the company, the cash balance held by the company shall be deposited in a bank and the transactions shall be carried out through the bank.

(5) Subject to the provisions made in this Chapter, the ultimate responsibility for maintaining the accounts and books of account of the company shall lie with the directors or other office bearers.

(6) If the provisions made in this Act relating to the preparation of the accounts and annual financial statements of the company are not complied with, the person who was working in the capacity of director or office bearer at the time when such accounts, annual financial statements and other reports were made shall be responsible under this Act.

109. Annual financial statements and report of board of directors to be prepared:–

(1) The board of directors of a public company shall, every year, at least thirty days before the holding of the annual general meeting and, in the case of a private company, within six months of the end of the financial year, prepare the following annual financial statements in the prescribed format:–

(a) Balance sheet as at the last date of the financial year,

(b) Profit and loss account of the financial year,

(c) Cash flow statement of the financial year.

(2) The annual financial statements to be prepared under sub-section (1) shall show the true and actual position of the transactions of the company up to the end of the concerned

financial year and shall also present the profit and loss account and the cash flow statement for such financial year. Such financial statements shall be prepared in the format prescribed under the prevailing law.

(3) The annual financial statements under sub-section (1) shall be approved by the board of directors and audited.

(4) The board of directors of every public company, or of every private company having paid-up capital of one crore rupees or more or an annual turnover of ten crore rupees or more, shall, in addition to the annual financial statements prepared under sub-section (1), also prepare a separate report of the board of directors within the same period, mentioning the following details:–

(a) Review of the transactions of the previous year,

(b) The impact, if any, on the transactions of the company from national and international circumstances,

(c) Achievements of the current year up to the date of preparation of the report and the views of the board of directors regarding the matters to be done in the future,

(d) Industrial or business relations of the company,

(e) Changes in the board of directors and the reasons therefor,

(f) Main matters affecting the transactions,

(g) If any remark has been mentioned in the audit report, the response of the board of directors thereon,

(h) Amount recommended for the distribution of dividend,

(i) If any shares have been forfeited, the number of shares forfeited, the face value of such shares, the total amount received by the company for such shares before their forfeiture, the amount received by the company by selling such shares after their forfeiture and, if any amount has been refunded for the forfeited shares, details thereof,

(j) Review of the progress of the transactions of the company and its subsidiary company in the previous financial year and of the position at the end of such financial year,

(k) Main transactions completed by the company and its subsidiary company in the financial year and any significant change that occurred in the transactions of the company during that period,

(l) Information provided to the company by the substantial shareholders of the company in the previous financial year,

(m) Details of the ownership of shares taken by the directors and office bearers of the company in the previous financial year and, if they are involved in the share

transactions of the company, the information received by the company from them in that respect,

(n) Contents of the information provided about the personal interest of any director and his or her close relative in the agreements relating to the company in the previous financial year,

(o) If the company has purchased its own shares, the reason for so purchasing its own shares, the number and face value of such shares and the amount paid by the company for so purchasing the shares,

(p) Whether or not there is an internal control system and, if there is, its detailed description,

(q) Details of the total management expenses of the previous financial year,

(r) Names of the members of the audit committee, the remuneration, allowances and facilities received by them, details of the activities carried out by such committee and details of any suggestions made by such committee,

(s) Any amount remaining to be paid to the company by the director, managing director, chief executive, substantial shareholder of the company or his or her close relative, or by a firm, company or body corporate in which he or she is involved,

(t) Amount of remuneration, allowances and facilities paid to the directors, managing director, chief executive and office bearers,

(u) Amount of dividend remaining to be collected by the shareholders,

(v) Details of the purchase or sale of property under section 141,

(w) Details of the transactions carried out between associated companies under section 175,

(x) Any other matter required to be disclosed in the report of the board of directors under this Act and the prevailing law,

(y) Other necessary matters.

(5) While preparing the annual financial statements under sub-section (1), they shall include, in the case of the year of incorporation of the company, the accounts from the date of incorporation up to the end of the same financial year and, in the subsequent years, the accounts of the previous financial year as well.

(6) The annual financial statements prepared under this section shall be kept open so that any shareholder may inspect them if he or she so wishes.

(7) The annual financial statements and the directors' report prepared under this section shall be approved by the board of directors and signed by the chairperson of the board of directors and at least one director.

(8) The company shall keep safe the accounts and annual financial statements prepared under this Chapter for at least five years from the date of the end of the concerned financial year.

(9) The office bearers preparing, and the directors approving, the annual financial statements, the report of the board of directors and other statements and reports required to be prepared under this Act containing false matters shall be punished under this Act.

Chapter-8
Audit

110. Company to appoint auditor:–

(1) Every company shall appoint an auditor under this Act to have its accounts audited.

(2) If any company has a branch office outside the State of Nepal, the auditor appointed under sub-section (1) may also audit such branch, except as otherwise provided in the prevailing law of the country in which such branch office is situated.

111. Appointment of auditor:–

(1) The auditor of a company shall be appointed from among the auditors licensed to carry out audit under the prevailing law, in the case of a public company, by the general meeting subject to Chapter-18 and, in the case of a private company, as provided in the memorandum of association, articles of association or consensus agreement and, where there is no such provision, by the general meeting, and his or her name shall be sent to the Office within fifteen days from the date of such appointment.

Provided that the board of directors shall appoint the auditor before the first annual general meeting is held.

(2) The auditor appointed under sub-section (1) shall hold office only until the annual general meeting to be held thereafter.

(3) The same auditor, his or her partner or former partner or employee or former employee shall not be appointed as auditor to audit a public company for more than three consecutive times.

Provided that this restriction shall not apply in the case of a partner who has separated from the partnership, or an employee who has separated from the service of such auditor, three years before.

112. Persons not eligible to be appointed as auditor:–

(1) The following persons, or a firm or company in which such persons are partners, shall not be eligible to be appointed as auditor and, even if already appointed, to hold office:–

(a) A director of the company, an adviser appointed to receive regular remuneration or cash facilities, a person in the management team of the company, or an employee or

worker, or a partner of any of them, or an employee of any of such partners, or a close relative of a director or partner among them or his or her employee,

(b) A debtor who has taken a loan of any kind from the company, or a person who has failed to pay within the time-limit any amount payable to the company, or a close relative of such person,

(c) A person in whose case a period of three years has not elapsed since being punished for an offence relating to audit,

(d) A person adjudged insolvent,

(e) A substantial shareholder of the company, or a shareholder holding one percent or more of the shares of the paid-up capital of the company, or his or her close relative,

(f) A person in whose case a period of five years has not elapsed since being punished for corruption, cheating or a criminal offence involving moral turpitude,

(g) A person referred to in sub-section (3) of section 111,

(h) In the case of a public company, a person working full time or part time in any governmental body or a body wholly or partly owned or controlled by Nepal Government or in any other company, or a person working as his or her partner or as an employee of such partner, or a person authorized to sign any document or report prepared on behalf of the management of the company,

(i) A company or body corporate with limited liability,

(j) A person having any interest in the transactions with the company, or his or her close relative, or a director, office bearer or substantial shareholder of another company having any interest in the transactions with the company.

(2) The auditor shall, before his or her appointment, give written information to the company that he or she is not ineligible under sub-section (1).

(3) If any auditor becomes ineligible to audit any company before the expiry of his or her term of office, or if a situation arises in which he or she cannot be appointed or continue as the auditor of the company, he or she shall immediately stop the audit work to be done or being done by him or her and give written information thereof to the company.

(4) The audit done by an auditor appointed in contravention of this section shall not be valid.

113. Office may appoint auditor:–

If the auditor could not be appointed for any reason at the annual general meeting of the company, or if the annual general meeting itself could not be held, or if the auditor appointed under this Act could not continue for any reason, [56]in the case of a private

[56]Inserted by the Act Amending Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2081.

company or a public company not listed in the securities market, the board of directors of such company may appoint another auditor by informing the Office and, in the case of a public company listed in the securities market, the Office may appoint another auditor at the request of the board of directors of such company.

114. Accounts and books of account to be provided:–

The accounts and books of account of the company shall be provided to the auditor whenever demanded by him or her within office hours for the purpose of audit, and if any query has been made, the concerned director or employee shall also give an accurate reply thereto within a reasonable time.

115. Functions and duties of auditor:–

(1) The auditor shall, on the basis of the accounts and books of account audited by him or her, certify the balance sheet, profit and loss account and cash flow statement of the company and give his or her report to the company, addressing it to the shareholders or the appointing authority.

(2) The report of the auditor shall be in conformity with the prevailing law or the auditing standards determined by the competent body, and such report shall mention, as required, the matters to be disclosed under this Act.

(3) The audit report under sub-section (2) shall, in addition to other matters, also disclose the following matters:–

(a) Whether or not the information and explanations necessary to complete the audit have been made available,

(b) Whether or not the company has maintained its accounts in conformity with this Act so as to clearly show the true position of its transactions,

(c) Whether or not the balance sheet, profit and loss account and cash flow statement received have been prepared in conformity with the accounting standards determined under the prevailing law, and whether or not such statements are in agreement with the accounts maintained by the company,

(d) Whether or not, on the basis of the explanations and information made available in the course of the audit, the balance sheet presented with the opinion of the auditor gives a fair view of the financial position of the company and the profit and loss account and cash flow statement for the year ended on that date give a fair view of the profit or loss and the cash flow of the company, respectively,

(e) If the board of directors or a representative or any employee has acted contrary to law or misappropriated the property of the company or caused loss or damage to the company, that matter,

(f) Whether or not any fraud relating to accounts has been committed in the company,

(g) Suggestions, if any.

116. Audit report to bear signature of auditor:–

(1) The auditor appointed by any company under this Act shall himself or herself sign the audit report prepared by him or her and mention the date thereon.

(2) If any company has appointed as auditor an accounting professional firm having a certificate to carry out audit under the prevailing law, the member authorized in accordance with the decision of the partners of such firm shall sign the audit report and mention the date thereon.

117. Information to be given:–

The company shall, subject to the provisions made in this Act, make available to the shareholders a copy of the report given by the auditor. If there is an authorized trade union in such company, the company shall provide a copy of the report to such trade union upon its written request.

118. Remuneration of auditor:–

The remuneration of the auditor shall be as specified by the appointing authority, and such remuneration shall be borne by the company.

119. Provision on removal of appointed auditor:–

(1) The auditor appointed under this Chapter shall not be removed until the completion of the audit work of the financial year for which he or she has been appointed as auditor.

(2) Notwithstanding anything contained in sub-section (1), if any auditor acts contrary to the code of conduct of auditors, does any act contrary to the interests of the company appointing him or her as auditor, or acts contrary to the prevailing law, he or she may be removed through the same procedure by which he or she was appointed, by giving prior information to the Institute of Chartered Accountants of Nepal and obtaining the approval of the regulatory body authorized under the prevailing law to regulate the business of the concerned company, if any, and, if there is no such body, of the Office.

(3) While removing the auditor under sub-section (2), he or she shall be given a reasonable opportunity to present his or her defence.

Chapter-9
Explanation and Inspection

120. Office may call for explanation:–

(1) If any matter is not disclosed in the documents submitted by the company, or if explanation on any matter is to be called for, the Office may call for explanation from the company by specifying a reasonable time-limit for disclosing such matter.

(2) The management of the company shall send an appropriate reply within the same time-limit on the matters for which explanation has been called for under sub-section (1).

(3) If any irregularity is found in the activities of the company in the course of calling for explanation, the Office may give necessary directions to the company to regularize it, and it shall be the duty of the company to comply with such directions.

121. Office may depute inspector:–

(1) If shareholders representing at least ten percent of the shares of the paid-up capital of the company, or at least one-fourth of the total number of shareholders, or an interested creditor makes an application, together with evidence and showing reasonable grounds, that any company has acted contrary to this Act, the memorandum of association, articles of association, prospectus, consensus agreement or the prevailing law, the Office may, as required, depute one or more inspectors. Such inspector shall be an expert in any one of the subjects of accounting, law, finance, management, commerce, industry or company administration, or a subject relating to the business carried on by the company. The applicant shall deposit with the Office the amount of the estimated expenses required for such work as specified by the Office.

[57]Provided that such expert shall be a person having no personal interest or concern in the business of the concerned company.

(2) Notwithstanding anything contained in sub-section (1), if the Office considers that any of the following circumstances exists, the Office may, as required, appoint an inspector having the qualifications under sub-section (1) and cause the transactions or business of the company to be examined even if no application is made under sub-section (1):–

(a) If there is information that the shareholders or creditors of the company have been cheated, or fraud of any other kind has been committed, or illegal gain has been obtained, or acts contrary to public interest have been done, in the transactions or business of any company, or

(b) If any public company does not give the information required to be given about its business.

122. Functions, duties and powers of inspector:–

(1) The functions, duties and powers of the inspector deputed or appointed under section 121 shall be as follows:–

(a) To summon before him or her the current or former office bearers or shareholders of the company considered appropriate by him or her in the course of the examination, or other persons believed to have information relating to the matter to be examined, and to take their statements, obtain necessary information or obtain other reasonable assistance,

(b) To inspect the documents relevant to the examination, or to take possession of or keep under control any other thing, or to cause any concerned person to submit such

[57]Inserted by the Companies (First Amendment) Act, 2074.

document or thing before him or her, or to take such document under his or her control,

(c) To examine, or cause to be examined, whether or not the accounts of the company have been properly maintained.

(2) Notwithstanding anything contained in the prevailing law, any matter expressed or statement given by any person before the inspector in the course of the examination under this Chapter shall be admissible as evidence against him or her.

123. Assistance to be provided to inspector:–

(1) If any person gives a false statement, does not submit the statement, document or other thing required to be submitted under section 122, does not answer the question asked by the inspector, or does not give the statement demanded by the inspector for the purpose of examination, the inspector may submit a written complaint report to the Court on that matter.

(2) Where a complaint report is received under sub-section (1), the Court may, after inquiring into the necessary matters under the prevailing law, impose such punishment as it considers appropriate under section 162 if any person is held guilty.

124. Report to be submitted:–

(1) The inspector appointed under this Chapter shall, after completing the examination, submit a report together with his or her opinion to the Office. The Office shall give a copy of such report to the applicant, if any. If any shareholder makes an application for obtaining a copy of such report, the Office shall give the copy on charging the prescribed fee.

(2) If it appears from the report given by the inspector under sub-section (1) that any director, managing director, manager, employee or any other office bearer of the company has knowingly caused loss or damage to the company, cheated the shareholders or creditors, committed fraud or done any other illegal act, the Office shall, notwithstanding anything contained in the prevailing law, order the company to file a suit or complaint against them on behalf of such company.

Provided that this provision shall not be deemed to have barred other remedies available to the company or the shareholders under the prevailing law.

(3) If the Office considers that further loss or damage may be caused to the company by leaving the business of the company in the charge of the director, managing director, manager, employee or any other office bearer doing the act referred to in sub-section (2), the Office may give necessary directions to the company to suspend such director, managing director, manager, employee or office bearer and operate the business of the company by other means.

(4) Notwithstanding anything contained in the prevailing law relating to evidence, any matter mentioned in the report submitted by the inspector under sub-section (1) and the facts expressed therein shall be admissible as evidence.

125. Expenses of inspection:–

(1) The expenses incurred in the inspection caused to be carried out by the Office under this Chapter shall be borne by the concerned company.

Provided that, if it is found in the course of the inspection that any director, managing director, manager or office bearer of the company has committed mala fide, deception, fraud or cheating, such director, managing director, manager or office bearer shall pay the expenses of the inspection within seven days of the completion of the inspection.

(2) If the concerned director, managing director, manager, employee or person does not pay the expenses of the inspection under the proviso to sub-section (1), such expenses shall be recovered as government dues.

(3) The inspector appointed under this Chapter may submit suggestions in his or her report regarding the payment of the expenses.

Chapter-10
Voluntary Liquidation of Company

126. Liquidation of company able to pay its debts:–

(1) Except where the company has become insolvent under the prevailing law relating to insolvency, the shareholders of a company may liquidate the company by passing a special resolution in the general meeting or subject to the provisions mentioned in the memorandum of association, articles of association or consensus agreement.

(2) Any company may be liquidated under this Act if the following circumstances exist:–

(a) If the company is able to pay its debts or other liabilities in full,

(b) If no action is pending on an application relating to insolvency review of the company under the prevailing law relating to insolvency, or if such company is not in a situation of falling in any way under insolvency proceedings under the prevailing law relating to insolvency,

(c) If the directors have made a written declaration that, after proper inquiry, the company is able to pay its debts and other liabilities in full and that the debts and liabilities payable by such company can be repaid, or fully settled by any other procedure, within one year from the date of passing the resolution to liquidate such company,

(d) If the written declaration made by the directors under clause (c) has been submitted to the general meeting called to discuss the liquidation of such company, or such

declaration has been made at the time of discussion on that matter in the general meeting.

(3) A copy of the special resolution passed in relation to the liquidation of the company under this section and of the written declaration of the directors shall be submitted to the Office within seven days from the date of passing such resolution.

127. Appointment of liquidator and auditor:–

(1) While passing the resolution to liquidate the company under section 126, a liquidator shall be appointed to complete the activities relating to liquidation and the remuneration to be received by such liquidator shall be specified.

(2) While appointing the liquidator under sub-section (1), a professional licensed under the prevailing law relating to insolvency shall be appointed.

(3) The company shall give notice thereof to the Office within seven days from the date of appointment of the liquidator under sub-section (2).

(4) After the liquidator is appointed under sub-section (2), the directors and office bearers of the company shall be relieved from their offices, and the liquidator shall exercise all the powers relating to the operation and management of the company exercisable by the directors and office bearers of the company.

(5) After the liquidator commences the operation and management of the company under sub-section (4), the service of the employees of such company shall automatically terminate.

Provided that the liquidator may retain or appoint the employees necessary for his or her support and assistance.

(6) The liquidator appointed under this section shall complete the work of liquidating the company within the period specified at the time of appointment.

Provided that, if the work of liquidation could not be completed within the specified period for any reason, a reasonable time-limit may be extended by following the procedure of appointment.

(7) While appointing the liquidator under sub-section (1), an auditor shall also be appointed subject to the provisions made in this Act.

[58](8) If the liquidator appointed under this Act acts contrary to the code of conduct of insolvency professionals, the interests of the company or other prevailing law, he or she shall be removed through the same procedure by which the liquidator was appointed.

Provided that,–

[58]Inserted by the Companies (First Amendment) Act, 2074.

(1) In the case of violation of the code of conduct of insolvency professionals, the approval of the body implementing such code shall be obtained.

(2) He or she shall be given an opportunity to submit his or her defence before being so removed.

[59](9) If the liquidator appointed under this Act does not continue in that office for any reason, another liquidator shall be appointed through the same procedure by which the liquidator was appointed.

[60](10) No person shall be the liquidator of more than one company at the same time.

128. To be in accordance with prevailing law relating to insolvency:–

While liquidating a company under this Chapter, whether or not any person is a creditor of the company being liquidated shall be determined in accordance with the prevailing law relating to insolvency.

129. Application to be made if company is unable to pay liabilities:–

If, after the liquidator commences the activities of liquidating the company under this Chapter, he or she is satisfied that the company has become insolvent and is unable to pay the debts payable or discharge the liabilities to be fulfilled by such company, he or she shall make an application for insolvency review of the company in accordance with the prevailing law relating to insolvency.

130. Liquidator may take property of company under his or her custody:–

After the liquidator commences his or her functions under this Chapter, he or she shall take the property, accounts and all records and documents of the company under his or her custody and control.

131. Powers and duties of liquidator:–

(1) The liquidator appointed under this Act may exercise and perform, with necessary modifications (mutatis mutandis), all the powers exercisable and duties to be performed by a liquidator under the prevailing law relating to insolvency.

(2) Without prejudice to the generality of sub-section (1), it shall be the duty of the liquidator to do the following acts:–

(a) To prepare the account of income and expenditure relating to the liquidation of the company in every six months after the appointment of the liquidator and submit it to the Office,

[59]Inserted by the Companies (First Amendment) Act, 2074.
[60]Inserted by the Companies (First Amendment) Act, 2074.

(b) To inform the shareholders of the company of the progress report of the activities relating to the liquidation of the company in every six months after the appointment of the liquidator,

(c) To recover all the property receivable or all the amounts recoverable on behalf of the company and repay the debts and other liabilities of all the creditors of the company,

(d) After the completion of the act under clause (c), to call a general meeting and submit to the shareholders the proposed report and statement relating to the distribution of the remaining property of the company to the shareholders,

(e) If the shareholders holding at least seventy-five percent of the shares of the paid-up share capital consent to the statement under clause (d), to pay the amount to the shareholders accordingly,

(f) After the completion of the activities relating to liquidation, to prepare a report relating to the property recovered on behalf of the company, the payments made to the creditors and the distributions made to the shareholders, and to submit such report to the Office, together with the report of the auditor, certifying the fact that the company has been liquidated.

132. Deregistration of company:–

(1) After the Office receives the report of the liquidation of the company under clause (f) of sub-section (2) of section 131, the Office shall remove the name of such company from the register of companies under this Act and issue an order of deregistration of the company.

(2) After issuing the order of deregistration of the company under sub-section (1), the Office shall remove the name of such company from the register of companies and publish a notice of the dissolution of such company in a national level daily newspaper.

[61](3) Notwithstanding anything contained elsewhere in this section, the liquidator appointed under the Insolvency Act, 2063 shall, for the liquidation of any company, send to the Office the fact that the activities relating to the liquidation of such company have been completed.

[62](4) After the fact under sub-section (3) is received, the Office shall record the liquidation of such company, and after it is so recorded, such company shall be deemed to have been liquidated.

133. Creditor and shareholder may file complaint:–

If any creditor or shareholder of the company considers that any irregularity has occurred in relation to the activities of the liquidator while liquidating the company under this

[61]Inserted by the Some Nepal Acts Amendment Act, 2064.
[62]Inserted by the Some Nepal Acts Amendment Act, 2064.

Chapter, such creditor or shareholder may file a complaint with the Court against such activities within fifteen days of receiving information thereof.

134. Action to be taken in case of fraud or cheating:–

If the liquidator considers that any director, employee or shareholder of the company has committed fraud or cheating on the company, the liquidator may initiate necessary legal action against such person in accordance with the prevailing law.

135. No effect on rights of secured creditors:–

Where proceedings relating to the liquidation of the company have commenced under this Chapter, the right of the secured creditors who have provided loans by taking the property of the company as security to enforce the security property or to make other arrangements under the prevailing law shall not be deemed to have been affected in any manner.

Chapter-11
Deregistration of Company

136. Office may deregister:–

(1) The Office may deregister a company in the following circumstances:–

(a) If the promoters of the company make an application, together with the prescribed fee, for the deregistration of the company, stating the reason that the business of the company could not be commenced,

(b) If the company does not submit the statements under section 80 or does not pay the fine under section 81 for three consecutive financial years, or

(c) If there are reasonable grounds for the Office to believe, on the basis of the evidence received in the course of company administration, that the company has not been carrying on its business or that the company is not in operation.

(2) If any company is to be deregistered under sub-section (1), the Office shall, before deregistration, give notice to the concerned company stating the reasons therefor.

(3) While sending the notice to the company under sub-section (2), the notice shall be sent to the registered office of the company, or, if the address of the registered office of such company has not been registered with the Office or the office of the company is not at the registered address, to the office bearer of such company, and, if the address of such office bearer is also not received by or found by the Office, to the address of each promoter mentioned in the memorandum of association of the company.

(4) The notice given under sub-section (2) shall also be published in a national level daily newspaper as required.

(5) If the company does not make an application stating the reasons why the company should not be deregistered within two months from the date of receipt of the notice under

sub-section (2), or if the reasons are not reasonable even if the application is made, such company may be deregistered.

(6) Where the company has been deregistered under sub-section (5), information thereof shall be given to the concerned directors and shall also be published in a national level daily newspaper.

(7) If the company is deregistered under sub-section (5) and such company has any liability of any kind, the liability of the office bearer or shareholder of such company shall continue to exist, and nothing contained in this section shall be deemed to bar the initiation of necessary legal action against them to fulfil or cause to be fulfilled such liability.

(8) The property, rights, facilities or liabilities in the name of the company at the time of deregistration under sub-section (5) shall devolve on its shareholders in proportion to the shares taken by them.

Provided that the property received by the company as a trustee of any other person shall not devolve on the title and ownership of the shareholders.

(9) If any debt to be paid or liability to be fulfilled by a company deregistered under this section cannot be fulfilled out of the property, rights or facilities devolved on the shareholders under sub-section (8), the remaining debt or liability shall be personally borne by the shareholders, directors or office bearers who, being involved in the management of such company, are responsible for creating or causing to be created the situation referred to in sub-section (1).

(10) A company deregistered under this section shall not carry on any transaction in the name of the same company.

(11) After any company is deregistered under this section, the Office shall deduct the expenses incurred in deregistering such company and return to the shareholders only the property, if any, remaining.

136A. [63]Special provision relating to deregistration of company:–

(1) Notwithstanding anything contained elsewhere in this Act, if any company which, at the time of commencement of this section, has not been carrying on business or is not in operation, or has not submitted the statements under section 80, or has not paid the fine levied under section 81, wishes to be deregistered, it may make an application to the Office after taking a decision from the general meeting of such company.

(2) For the purposes of sub-section (1), for calling the general meeting of the company, or where the general meeting of the company could not be held for want of quorum under section 73, the directors or shareholders present may take a decision for the deregistration of such company and make an application to the Office.

[63]Amended by the Act Amending Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2081.

(3) Along with the application under sub-section (1) or (2), the statements under section 80, together with the amount of fine leviable under section 81 or the amount equal to zero point five percent of the paid-up capital of the company, whichever is lower, shall also be attached and paid.

(4) Where an application is made under sub-section (1) or (2), the Office shall publish a notice in a national level daily newspaper giving a period of thirty days to submit any reason why the company should not be deregistered.

(5) If no one submits any reason why the company should not be deregistered within the period under sub-section (4), or if the reason submitted is not satisfactory, the Office may deregister such company.

(6) Where the company has been deregistered under sub-section (5), information thereof shall be given to the concerned director and shall be made public through the website of the Office.

(7) If a company is deregistered under this section, the liabilities of such company shall be settled in accordance with section 136.

137. Restoration of registration of deregistered company:–

(1) Where any company has been deregistered under [64]sub-section (5) of section 136 or sub-section (5) of section 136A, if such company or its shareholder or creditor makes an application to the Court, stating the reasons, for the restoration of such company within five years from the date of publication of the notice of deregistration of such company, the Court may, in the following circumstances, restore such company and order the restoration of its name in the register of companies:–

(a) If it appears that such company was deregistered while it was carrying on its business,

(b) If the Court deems it just to restore the name of such company to make appropriate arrangements for the assets and liabilities of the company.

(2) If the company is restored by the order of the Court under sub-section (1), such company shall be deemed to have been in existence since the date of its registration.

(3) While issuing the order under sub-section (1), the Court may issue such order as it deems appropriate and order the making of necessary arrangements to bring the company and all other persons to the status quo as if the company had not been deregistered.

(4) Where the company is restored under sub-section (1), if any fine under section 81 is to be paid, the company shall be restored and its name shall be re-registered in the register of companies only after such fine has been paid to the Office.

[64]Amended by the Act Amending Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2081.

(5) If a company deregistered under section 136 is restored under this section, such company shall get back the following property:–

(a) The property received by the shareholders of the company in the capacity of shareholders under sub-section (8) of section 136 by reason of the deregistration of the company,

(b) If the property under clause (a) has already been disposed of, the amount received upon such disposal.

Provided that the property or amount already spent to pay the debts or liabilities of the creditors shall not be returned.

Chapter-12
Protection of Shareholders

138. Directors and office bearers may be restrained from doing unauthorized acts:–

(1) If any director or office bearer does any act on behalf of the company exceeding his or her jurisdiction, a shareholder of such company may make an application to the Court for restraining such act.

Provided that no application may be made under this section in relation to any act done or about to be done for the fulfilment of the liability created by the acts already done by the company.

(2) If the Office considers, from the report received by it under section 124 in relation to any company, that the business of such company may be or has been carried on in a manner contrary to the rights and interests of any or all or any particular class or group of shareholders of such company, or that such shareholders have been or will be prejudiced by reason of any act done or about to be done by the company or by reason of the company's failure to do any act required to be done, the Office may file a complaint application with the Court against such company or its directors or office bearers.

(3) Where an application is received under sub-section (1) or (2), the Court may, after inquiring with the concerned company or its directors or office bearers, issue an appropriate order.

139. Remedy against acts prejudicial to rights and interests of shareholders:–

(1) Any shareholder may file a complaint application with the Court for an appropriate order on the basis that the business of the company has been or is about to be carried on in a manner prejudicial to the rights and interests of any shareholder of the company, or that any act prejudicial to the rights and interests of any shareholder has been done or is likely to be done by reason of any act done or about to be done on behalf of the company or by reason of the company's failure to do any act required to be done.

(2) While making the application under sub-section (1), the shareholder making such application shall prove that the director, managing director, manager or any office bearer

managing and controlling the company has, in violation of the memorandum of association, articles of association or consensus agreement, committed or is about to commit mala fide or unfair discrimination.

(3) Where an application under sub-section (1) is received, the Court may, after inquiring with the concerned company, director or office bearer, issue such order in the name of the company as it deems appropriate to provide a remedy therefor, if the claim mentioned in the application appears to be well-founded.

(4) While issuing the order under sub-section (3), the Court may, without prejudice to the generality of that sub-section and notwithstanding anything contained in the memorandum of association, articles of association or consensus agreement, also issue the following orders:–

(a) To stop the acts prejudicial to the rights and interests of any or all of the shareholders and to carry on the business of the company duly in the future,

(b) To stop any act being done or about to be done by the company, or to cause the company to do any act not done or not about to be done by it,

(c) To cause a civil suit to be filed against anyone on behalf of the company as directed by the Court,

(d) To cause the company to purchase the shares of any shareholder and refund the amount by reducing the capital of the company after completing the procedures of this Act,

(e) To cause the loss or damage suffered by any shareholder by reason of discrimination against him or her to be paid by the company or by the person committing such discrimination,

(f) To liquidate the company,

(g) To cause the shares held in the name of any shareholder of the company to be purchased by another shareholder of the company or by the company itself,

(h) To cause compensation for loss or damage to be paid by the director or office bearer causing loss or damage to the company or its shareholders,

(i) Where the company itself is to purchase shares, to order the reduction of the share capital of such company, deeming that such company has reduced its share capital by passing a special resolution relating to the reduction of share capital, and, if the memorandum of association or articles of association of the company is required to be amended by that reason, to give other appropriate orders including for making necessary amendments.

(5) Notwithstanding anything contained in sub-section (1) or (2), the remedy available to a person who has suffered loss or damage by reason of the company or its directors or the person managing or controlling the company or its employees having failed to do any act

required to be done, or having done any act not to be done, or having behaved in any other discriminatory manner, shall not be deemed to be limited only to this section, and such person may initiate action, individually or collectively, in respect of himself or herself or other shareholders as well, to obtain the remedies available under other prevailing law.

(6) Where a collective remedy is sought under sub-section (5), the Court may issue an appropriate order with or without inquiring into necessary matters with any or all of the shareholders of that class.

(7) Notwithstanding anything contained elsewhere in this Act, where the Court has ordered, for the protection of the rights and interests of any or all of the shareholders, that the company shall not make any amendment to its memorandum of association or articles of association, or shall make amendment on any particular matter, no amendment shall be made to the memorandum of association or articles of association in such case without the prior approval of such Court.

(8) Where any amendment has been made to the memorandum of association or articles of association of the company by the order of the Court under sub-section (7) or by the company in accordance with such order, such amendment shall be deemed to be equivalent to an amendment passed by the general meeting of the company by a special resolution.

(9) The Office shall register in the register of the company the following orders issued by the Court under this section:–

(a) Order issued for reducing the share capital of the company,

(b) Order issued so as to amend the memorandum of association or articles of association of the company.

(10) The provisions of this section shall also apply, like other shareholders of the company, in relation to a person who has not yet been registered as a shareholder of the company but in whose name shares have been transferred through legal process.

140. Shareholder may file case on behalf of company:–

(1) In order to enforce any right or interest of the company, the company may file a case in the Court against any of its directors, office bearers, or the shareholders controlling the company under the consensus agreement, or any person.

(2) If the concerned company does not file the case under sub-section (1), any shareholder holding two and a half percent or more of the shares of the paid-up capital of the company, alone, or more than one shareholder holding together five percent of the shares, may file a case in the Court on behalf of the company against such director or office bearer or the person controlling the company or any other person.

(3) While filing the case under sub-section (2), the shareholder shall mention what efforts he or she had made to cause the company itself to file the case.

(4) Where the case is filed under sub-section (2), the Court may determine whether it is appropriate for the shareholder to continue such case or for the company to take it over and, if it appears appropriate for the company to take it over, order the company to take it over.

(5) Once the case under sub-section (1) or (2) has been filed, it shall not be dismissed or reconciled except where the conditions specified by the Court are included.

(6) If the claim of the plaintiff shareholder is established while deciding the case filed under sub-section (2), the company shall reimburse the amount of expenses incurred by him or her for filing such case and the reasonable expenses incurred for the services of legal practitioners. If the claim is not established, the amount determined as appropriate by the Court, out of the expenses incurred by the defendant in defending the case, shall be caused to be reimbursed by the plaintiff shareholder.

141. Acquisition or sale of property:–

(1) Where any public company or its subsidiary company purchases or sells any property in the following manner, it shall inform the Office thereof:–

(a) If, by reason of the purchase of any property, the value of its assets or consolidated assets mentioned in the latest audited annual financial statements increases by more than fifteen percent,

(b) If the income from the property being sold or sold exceeds fifteen percent of the consolidated income of the company before tax mentioned in the latest audited accounts of such company.

(2) While informing the Office under sub-section (1), the following matters shall be disclosed and, if such matters also apply in relation to the business of the company, such matters shall also be shown in the report of the board of directors:–

(a) Date of the transaction and the parties involved in the transaction,

(b) Description of the nature of the property and, if the shares issued by any other company are wholly or partly included in such property, the name of the company issuing such shares and the nature of the business carried on by such company,

(c) Amount of the transaction and other terms of the transaction,

(d) Bases adopted for the valuation of the property while purchasing or selling the property,

(e) If any property has been sold, whether the amount received from the sale of the property is more or less than the value shown in the books of such property.

Chapter-13
Holding and Subsidiary Companies

142. Control over subsidiary company:–

(1) A holding company may control its subsidiary company as follows:–

(a) By having direct or indirect control in the constitution of the board of directors,

(b) By acquiring the majority shares of the company.

(2) If any company is a subsidiary company of any other subsidiary company, the first company shall also be a subsidiary company of the holding company controlling the latter company.

(3) The circumstances mentioned in sub-section (1) shall be deemed to have been fulfilled even if the shares of the company have been acquired by any representative on behalf of the holding company or its subsidiary company, or the power to appoint the directors of such company is exercised by any person nominated on behalf of the holding company or its subsidiary company.

Provided that, while determining the holding company and subsidiary company, the shares held in the following circumstances shall not be recognized for this purpose:–

(1) Where any company is entitled to exercise any right, or has acquired shares, on the basis of debentures taken by it or a trust deed issuing debentures,

(2) Where the lending company has acquired shares as security.

143. Documents to be included:–

(1) The holding company shall include in its balance sheet the following documents of the subsidiary company:–

(a) A copy of the annual accounts of the subsidiary company for the financial year just ended and the report of the board of directors of such company for that period,

(b) Report of the auditor,

(c) Details of the investment of the holding company in the subsidiary company at the end of the financial year,

(d) If the financial years of the holding company and the subsidiary company are different, and the right of the holding company over the subsidiary company has changed in any manner within such different period, that matter.

(2) The report under clause (b) of sub-section (1) shall mention the net profit remaining after deducting the losses incurred in the concerned financial year of the subsidiary company, and the profit and loss not mentioned in the accounts of the company since it became a subsidiary company but of concern to the shareholders of the holding company.

(3) If the board of directors of the holding company is unable, for any reason, to obtain the information referred to in clause (b) of sub-section (1) and sub-section (2), a written report thereof shall be included in the balance sheet of the holding company.

(4) The statement under clause (c) of sub-section (1) shall also show the loans taken by mortgaging the immovable property of the subsidiary company, or the loans taken for any purpose other than to fulfil the existing liabilities.

144. Not to invest in holding company:–

A subsidiary company shall not purchase the shares or debentures of the holding company or invest in the holding company in any other manner.

Chapter-14
Special Provisions relating to Private Company

145. Consensus agreement:–

(1) Except as otherwise provided in this Act, the following matters may be provided for in the consensus agreement of a private company:–

(a) Management, business and transactions of the company,

(b) Any restriction on the transfer of shares,

(c) Right of one or more shareholders to liquidate the company upon any certain or contingent event or voluntarily,

(d) Division or exercise of voting rights,

(e) Terms of appointment of office bearers, employees and workers of the company,

(f) Matters as to who shall be the director, office bearer or person bearing ultimate responsibility or chief executive of the company,

(g) Method of payment or distribution of dividend,

(h) Matter that there shall be no board of directors,

(i) If there is to be no board of directors, who shall perform the functions to be performed by the board of directors under this Act,

(j) If an annual general meeting is not required to be held, provisions relating thereto,

(k) Classes of shares and, if there is a provision for shares carrying different rights, that matter,

(l) [65]Matters relating to the operation and management of the company, voting rights available to the shareholders or any other special facilities or rights, or the mutual relations among the shareholders.

[65]Inserted by the Companies (First Amendment) Act, 2074.

(2) The consensus agreement may be amended by the written consent of all the parties to the agreement.

(3) A shareholder acquiring shares in the following manner after the consensus agreement has been concluded shall be deemed to have consented to and to be a party to such agreement:–

(a) If he or she has received the shares by way of gift or donation,

(b) If, having acquired the shares by any other means, he or she had knowledge of the existence of such agreement at the time of acquiring the shares.

146. Right of shareholder to inspect accounts:–

(1) A shareholder of a private company or his or her representative may, within office hours, inspect the following documents or records relating to the business of the company:–

(a) Minute books of the general meeting and the board of directors,

(b) Annual financial statements,

(c) Register of shares, and

(d) Accounts of the company.

(2) The directors or office bearers of a private company shall make adequate arrangements enabling the shareholders to inspect the documents and records under sub-section (1).

147. Statement of transactions:–

(1) A shareholder of a private company may demand from the company a statement of the transactions of the company for any financial year.

(2) The director, managing director or office bearer carrying on the business of the company shall, within fifteen days of the demand for the statement under sub-section (1), provide a statement including the certified annual financial statements.

148. Annual general meeting not required to be held:–

(1) Notwithstanding anything contained elsewhere in this Act, if the consensus agreement made among the shareholders of any private company states that the annual general meeting of the company shall not be held, such private company shall not be required to hold the annual general meeting during the term of such agreement.

(2) Where a consensus agreement has been made so as not to hold the annual general meeting under sub-section (1), the company shall also make provisions on the procedure for making decisions and the authority to make decisions on the matters required to be decided by the general meeting under this Act.

149. Private company to pass written resolution:–

(1) Notwithstanding anything contained elsewhere in this Act, except as otherwise provided in the articles of association, any act which may be done by passing a special resolution or any other resolution by the general meeting of a private company, or by passing a resolution by the meeting of shareholders of any particular class, may be done by a written resolution if there is a written resolution signed by all the shareholders representing at least seventy-five percent of the shares entitled to vote at the discussion on such resolution on the date on which such resolution is deemed to have been passed.

(2) For the purposes of sub-section (1), where separate written resolutions have been recorded for any reason, if the contents of all such documents are of the same kind, it shall not be necessary for all the shareholders to sign the same document, and even if each shareholder has signed a separate document, such document shall be valid, deeming it to have been signed on the same written resolution.

(3) Every shareholder signing the written resolution under this section shall mention on such resolution the date on which he or she signed it, and the date on which the shareholder signing on the latest date signed shall be deemed to be the date of passing of the resolution.

(4) Any document attached to a written resolution shall be deemed to have been submitted to the meeting of the shareholders signing such resolution.

(5) The resolution approved under this section shall be recognized for any purpose as equivalent to a decision passed by the general meeting of the company or by the meeting of shareholders of any particular group.

150. Deemed to have taken part in general meeting:–

(1) Notwithstanding anything contained elsewhere in this Act, except as otherwise provided in the articles of association of the company, if any shareholder of any private company communicates with all the shareholders through any communication medium and participates in communication with other shareholders in such a manner that the other shareholders can hear or read what each shareholder speaks, every shareholder so participating in the communication shall be deemed to have taken part in the general meeting with the other shareholders.

(2) Notwithstanding anything contained elsewhere in this section, if any shareholder files a complaint application with the Office, together with the prescribed fee, within three months of the holding of the general meeting, stating that he or she did not take part in the general meeting, the Office shall inquire with the concerned company, and if, upon such inquiry, such company fails to prove that the complainant shareholder took part in such meeting, the decision made by such meeting shall not be valid.

(3) The meeting of shareholders conducted under sub-section (1) shall be deemed to have been conducted at the place where the chairperson of such meeting was present.

(4) The provisions of sub-section (1), (2) or (3) valid in relation to the general meeting of the company shall also apply, with necessary modifications, in relation to the meeting of the directors or of a sub-committee of directors of such company.

(5) After the general meeting under sub-section (1) is held, the minutes of the proceedings and decisions of such meeting shall be prepared annually and kept certified by the chairperson of such meeting.

151. Special exemption to company carrying on prescribed transactions:–

Nepal Government may, by publishing a notice in the Nepal Gazette, exempt a private company carrying on transactions up to the prescribed amount from complying with the provisions of Chapter-8.

Chapter-15
Provisions relating to Company with Single Shareholder

152. Company with single shareholder not required to call meeting of board of directors and general meeting:–

Notwithstanding anything contained elsewhere in this Act, except as otherwise provided in the articles of association, all acts and decisions required to be done by the board of directors or the general meeting of a company having a single shareholder shall be in accordance with the written decision of such shareholder, and for that purpose it shall not be required to call a meeting of the board of directors or a general meeting.

153. Transfer and transmission of shares of company with single shareholder:–

(1) If the shareholder of a company having a single shareholder dies, his or her heir or the person acquiring title in his or her shares shall acquire the rights of the shareholder, and such person shall do all the acts to be done by a single shareholder under this Act, including the transfer and transmission of shares. The person so acquiring title shall make the decision on the transfer and transmission of shares in writing.

Provided that, if no heir of such shareholder is found, the Office shall appoint a liquidator and liquidate the company in accordance with the prevailing law.

(2) The person acquiring title in the shares under sub-section (1) shall inform the Office thereof, together with evidence, within one month of acquiring such title.

(3) After the information under sub-section (2) is received, the Office shall, on charging the prescribed fee, give the person acquiring title in the shares the fact that such information has been recorded.

(4) If there is more than one person acquiring title in the shares under sub-section (1), they shall, except where the other heirs have transferred the title to only one person, be deemed to be the directors of the company for the time being, and necessary amendments shall be made to the memorandum of association and articles of association of the company on that basis.

Provided that, if any question as to the title arises, it shall be in accordance with the judgment of the competent court on that matter.

Chapter-16
Provisions relating to Foreign Company

154. Registration of foreign company:–

(1) A foreign company shall not carry on any business or transaction within the State of Nepal without registering the branch office of such company with the Office under this section, or establish a liaison office without registering such office.

Provided that the act of investing in the shares of any company established in accordance with law with the approval of the competent body, providing loans to such company or taking part in the operation or management of such company shall not be deemed to be carrying on business or transaction for the purposes of this Chapter.

Explanation: For the purposes of this Chapter, if any foreign company regularly carries on any transaction for a period of one month or more from an office or place established in or used for it in Nepal, or appoints any person for regular liaison or takes his or her services, such company shall be deemed to have carried on business or established an office in Nepal.

(2) A foreign company wishing to register a branch office under sub-section (1) shall make an application to the Office for the registration of such company in the prescribed format, together with the prescribed fee, attaching also the approval obtained from the concerned body under the prevailing law.

[66]Provided that, where there is no prevailing law regulating such foreign company, or where such foreign company submits a reasonable reason that there is no concerned body, the Office shall be deemed to be the concerned body for the purposes of this sub-section.

(3) A foreign company wishing to register a liaison office under sub-section (1) shall make an application to the Office for the registration of such company in the prescribed format, together with the prescribed fee, attaching also the approval of any body if such approval is required under the prevailing law for registering such office.

Explanation: If any foreign company is selected by any body authorized under the prevailing law, or concludes a contract with any authorized body, to do any work within Nepal, such selection or contract itself shall be deemed to be the approval given by the concerned body for the purposes of sub-sections (1) and (2).

(4) Where an application is received for the registration of a foreign company under sub-section (2) or (3), the Office shall, after making necessary inquiries, register such foreign

[66]Inserted by the Act Amending Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2081.

company to carry on business or transactions or establish a liaison office within the State of Nepal within thirty days of the application and give a certificate of registration as prescribed.

(5) If a foreign company cannot be registered in accordance with the application made under sub-section (2) or (3), the Office shall inform the concerned applicant thereof, stating the reasons, within thirty days.

(6) A foreign company registered under sub-section (4) may open its branch office within the State of Nepal and carry on the concerned business or transactions or open a liaison office.

Provided that a foreign company registered as a liaison office shall not do any act generating income within the State of Nepal.

(7) If the name of a foreign company making an application under sub-section (2) or (3) or the objective to be implemented by such company is of such nature as cannot be registered under this Act, such foreign company shall not be registered in Nepal.

(8) A foreign company registered under sub-section (4) shall be deemed to have been registered to carry on only such business or transactions as are of the same nature as those being carried on by it in the country where its registered office is situated or where it has been incorporated.

(9) A foreign company registered under this section shall put up a board of its name, visible to all, at the place of its business, and shall clearly mention on such board and on the bills, prints, invoices, etc. or letterheads used by the company, the name of the country where the company has been incorporated and the registration number under which the company has been registered in Nepal.

(10) The Office shall maintain a separate register for the registration of foreign companies registered under this section and make arrangements enabling the general public to see such register and obtain copies on payment of the prescribed fee.

(11) Notwithstanding anything contained elsewhere in this Act, a foreign company registered under this section shall not issue shares or debentures within the State of Nepal.

(12) Notwithstanding anything contained elsewhere in this section, foreign companies carrying on business or transactions or having established liaison offices within the State of Nepal without registration at the time of commencement of this Act shall get registered with the Office under this Act within six months from the date of commencement of this Act.

155. Foreign company to submit documents:–

(1) A foreign company making an application to be registered or to establish a liaison office under section 154 shall submit the following details to the Office together with the application:–

(a) Permission obtained from the competent authority for the foreign company to carry on business or transactions in Nepal,

(b) Photocopies of the charter, certificate, memorandum of association and articles of association of incorporation of the company and their Nepali translation,

(c) Full name and address of the registered office and principal place of business of the company, date of incorporation of the company, and details of the paid-up capital and main objectives of such company,

(d) Names, addresses and details of citizenship of the directors, manager, company secretary or chief office bearer of the company,

(e) Name and address of a person residing within the State of Nepal authorized by the company to receive, on behalf of the company, the summons, notices, etc. issued in the name of the company,

(f) Principal place where the company carries on business or transactions within the State of Nepal and the full address of the office of the company at such place,

(g) If the company is to carry on transactions or business within the State of Nepal, details of the proposed investment and transactions,

(h) If the company is to commence transactions in Nepal, the proposed date thereof,

(i) Declaration made on behalf of the company by the director of the company or his or her representative that the matters mentioned in the details submitted by the company are true and correct,

(j) Power of attorney under section 157.

(2) If any amendment or alteration is made in the contents of any document submitted by any foreign company under sub-section (1), notice thereof, together with the details of such amendment or alteration, shall be given to the Office within thirty-five days.

(3) While submitting any document required to be submitted under sub-section (1), issued outside the State of Nepal, or its copy, it shall have been certified in accordance with the law of the country where the foreign company is registered.

156. Accounts, audit and annual report of foreign company:–

(1) Every foreign company registered under section 154 shall, like a company incorporated under this Act, prepare the annual financial statements, including the balance sheet and profit and loss account, so as to show the actual position of its transactions within the State of Nepal, have them audited and submit them to the Office within six months from the date of the end of the financial year.

(2) A foreign company shall submit to the Office a copy of the annual financial statements, audit report and report of the board of directors prepared for each financial year in

accordance with the law of the country in which its registered office is situated, within three months from the date on which they are finally prepared.

(3) While preparing the annual financial statements under sub-section (1), the foreign company shall also include the following details:–

(a) Statement prepared by classifying the fixed, current and other assets held within the State of Nepal in the name of the foreign company so as to show them separately,

(b) Clear details of the cash amount held in the banks and financial institutions situated in Nepal in the name of the foreign company,

(c) Details of the amount of loans and overdrafts, if any, taken by the foreign company from the banks and financial institutions situated in Nepal,

(d) Total amount of the debts and liabilities, if any, payable by the foreign company to any person residing in Nepal or to a Nepali company registered under this Act.

(4) If the reports and statements required to be submitted to the Office and the documents required to be attached under sub-section (2) are written in a language other than Nepali or English, a copy of their official translation in the Nepali or English language shall also be attached.

(5) A foreign company which has registered a liaison office in Nepal under section 154 shall submit to the Office, within three months of the end of the financial year, the details of the employees, advisers or liaison persons working in such office and of the salaries, allowances and amounts paid to them, the details of the tax deducted under the prevailing law from the payments so made, and the details of the rent and expenses paid for the operation of such office and of the tax deducted under the prevailing law from the payments so made, certified by the auditor.

157. Power of attorney:–

(1) A foreign company to be registered under section 154 shall submit to the Office a copy of the power of attorney, executed in the specified format in accordance with the law of the country in which the company has been incorporated or its head office is situated, appointing an authorized representative of the company and conferring on a person residing in Nepal the authority to receive summons or notices relating to cases, litigation or legal proceedings instituted by or against it, or to receive any other lawful notices.

(2) The power of attorney given under sub-section (1) shall, in addition to other matters, mention that the summons or notices relating to cases or litigation instituted by or against the company, or other legal notices, if served on the authorized representative, shall be binding on the company for any purpose.

158. Deregistration and liquidation of foreign company:–

(1) If a foreign company registered under section 154 wishes to close the business carried on within the State of Nepal and get itself deregistered, or if the authority competent under

the prevailing law restrains such company from carrying on business or transactions within the State of Nepal, such company shall make an application to the Office for deregistration together with the prescribed fee.

(2) The foreign company making the application under sub-section (1) shall also submit, together with the application, evidence ascertaining that it has no liability payable to any person, institution or governmental or non-governmental body within the State of Nepal.

(3) In order to ascertain whether or not the evidence under sub-section (2) is true, the Office shall publish a notice at least twice in a national level daily newspaper giving a time-limit of twenty-one days to submit claims, together with evidence, as to whether or not such company has any liability to pay to anyone.

(4) If anyone makes any claim pursuant to the notice published under sub-section (3), the concerned company shall submit to the Office the evidence of settlement of such claim. If the claim made against such company under sub-section (3) cannot be settled out of the assets of such company situated in the State of Nepal, it shall be settled out of the assets of such company situated outside the State of Nepal.

(5) If no claim is made by anyone within the time-limit under sub-section (3), or if evidence is submitted that the claim made has been settled under sub-section (4), the Office shall remove the name of such company from the register of foreign companies and give information thereof to the concerned company.

(6) If insolvency proceedings have commenced in relation to a foreign company registered in Nepal under this Chapter in accordance with the law of any of the countries in which it has been carrying on business, the representative of such foreign company authorized under section 157 shall immediately give written notice thereof to the Office and shall also publish such notice in a national level daily newspaper published from the State of Nepal for the information of the general public.

Provided that, if an order of deregistration of such company has already been issued, such foreign company shall close its transactions or business within the State of Nepal.

(7) Where any foreign company has closed its transactions or business under the proviso to sub-section (6), the transactions or business carried on by such company within the State of Nepal shall be dealt with in accordance with the prevailing law relating to insolvency.

Chapter-17
Proceedings of Cases and Punishment

159. Complaint and proceedings relating to cases under this Act:–

(1) A case may be filed and proceeded with in relation to any matter under this Act only upon the complaint of the Office, a director, office bearer, shareholder or member of the company, or a creditor or any other interested person.

(2) Except where it has been expressly specified that the Office itself shall take action under this Act, the Court shall have the power to proceed with and decide cases relating to offences punishable under this Act, the matters on which complaints or applications may be made to the Court as mentioned in various sections of this Act, and the matters including the recovery of the claimed amount and compensation.

(3) While proceeding with and deciding cases under this Act, the Court shall adopt the procedures of the Summary Procedure Act, 2028.

(4) An appeal against the decision made or order issued by the Office or the Court under sub-section (2) shall lie, within thirty-five days, to the court specified by Nepal Government with the consent of the Supreme Court.

(5) Notwithstanding anything contained in sub-section (2), until Nepal Government specifies a court by publishing a notice in the Nepal Gazette to proceed with cases and other proceedings under this Act, the Company Board constituted under section 169 shall assume the jurisdiction of the concerned court under this Act.

[67](6) Except where a limitation has been specified for filing a complaint on any matter in other provisions of this Act, no complaint shall lie on other matters under this Act if the complaint is not filed within two years from the date of knowing the cause of action.

160. Fine up to fifty thousand rupees or imprisonment up to two years or both:–

The following persons doing the following acts shall be liable to a fine from twenty thousand rupees up to fifty thousand rupees or imprisonment up to two years or both:–

(a) If any director or office bearer of the company has caused loss or damage to the company or any person by mentioning any false matter in any document of the company with mala fide intention or malicious negligence, such director or office bearer,

(b) If any director or office bearer of the company does not maintain the accounts or books of account or records required to be maintained under this Act, [68]or does not keep the accounts and records accurately, or does not cause them to be maintained, or suppresses, conceals or destroys them, such person,

(c) If the auditor of the company, in the course of the performance of his or her duties, writes any false matter in his or her report with malicious negligence or mala fide intention, or omits to make a note found necessary while carrying out the audit, such auditor,

(d) If the liquidator, with malice, negligence or mala fide intention, does not call the meeting of creditors, or pays debts or liabilities contrary to the order of priority, or does not maintain the accounts and books of account required to be maintained under

[67]Inserted by the Companies (First Amendment) Act, 2074.
[68]Inserted by the Companies (First Amendment) Act, 2074.

this Act, or does not take over the accounts and documents required to be taken over, or maintains false accounts, or does not give the report required to be given, or does not hand over the cash, goods or records required to be handed over after leaving office, such liquidator,

(e) The director, office bearer and employee who does not hand over, or the successor who does not take over, under this Act the documents, accounts, cash and goods under his or her custody after leaving office or after receiving the order to liquidate the company,

(f) The director or office bearer issuing the prospectus of the company before registration with the Office, or giving false statements in the prospectus,

(g) If any act is done exceeding the jurisdiction of the board of directors or outside the scope of business of the company, the director or office bearer doing or ordering to do such act,

(h) The shareholder not giving the statement under this Act or giving a false statement,

(i) The director, office bearer and employee embezzling or misappropriating the cash or goods of the company, or using the cash or goods of the company for personal purposes without the approval of the board of directors or the general meeting, or not settling advances in accordance with the rules of the company, or not complying with the order given by the Office and not submitting the statements of the company,

(j) If the director or office bearer having the duty to give statements or information to the company, the Office, the Court or other bodies under this Act does not give such statements or information, such director or office bearer,

(k) The auditor auditing the concerned company even after knowing that he or she is ineligible to audit such company,

(l) The director or office bearer exercising powers not conferred on him or her or acting beyond the authority conferred on him or her,

(m) The director and office bearer maintaining accounts contrary to this Act,

(n) The director and office bearer not providing the abridged financial statements, annual financial statements or reports required to be provided to the shareholders under this Act,

(o) The director, substantial shareholder and company taking or giving any loan facility or remuneration from the company in contravention of the provisions made in this Act,

(p) The company, director, office bearer, employee or any other person concealing or hiding the name of a creditor or giving false statements about the loans taken by the company while seeking the approval of the Court to reduce the share capital of the company,

(q) The private company, and the directors and shareholders of such company, selling shares or debentures in contravention of this Act,

(r) The foreign company, and the directors, employees or representatives of such company, carrying on business or transactions within the State of Nepal in contravention of this Act,

(s) The debenture trustee, and the directors or office bearers of such trustee, acting contrary to the interests of the debenture holders,

(t) The person acting contrary to sub-section (7) of section 46,

(u) The director or office bearer not doing the act required to be done under section 60,

(v) The person carrying on transactions using the word company without registering a company under this Act,

(w) The company, director or office bearer not providing the information or notice under section 141 or section 175,

(x) The shareholder of the company not providing the information demanded under section 47, or the company, director and office bearer not submitting to the Office the information received from the shareholder under that section,

(y) The director and office bearer acting contrary to section 105,

(z) The managing director, director or office bearer of the company not providing the address of its registered office to the Office even when the Office repeatedly gives written orders or, if that is not possible, gives notice through communication media,

(z1) The company, director, substantial shareholder and office bearer acting contrary to section 50,

(z2) [69]The company or office bearer knowingly acting contrary to the approved objectives of the company,

(z3) [70]If the inspector deputed under section 121 submits a false report, such inspector.

161. Fine up to fifty thousand rupees:–

The person committing the following offences shall be liable to a fine from ten thousand rupees up to fifty thousand rupees:–

(a) If shares are allotted in violation of the provisions of this Act, the office bearer or person doing so,

(b) If the company purchases its own shares or the shares of its holding company out of the existing capital of the company contrary to this Act, or makes investment contrary to this Act, each director of such company,

[69]Inserted by the Companies (First Amendment) Act, 2074.
[70]Inserted by the Companies (First Amendment) Act, 2074.

(c) If the accounts are not shown or given to the auditor when demanded by him or her, the office bearer or person having the duty to show or give them,

(d) The auditor not submitting the report as specified in this Act,

(e) The director, manager and office bearer of the company not making the arrangement under sub-section (3) of section 172,

(f) The director and office bearer violating the provisions of section 146 or 147, or not maintaining the records, books or statements required to be maintained under this Act,

(g) The company, director, auditor, office bearer and employee acting contrary to the provisions made in Chapter-18 or not fulfilling the duties and liabilities specified in that Chapter,

(h) If the general meeting or the meeting of the board of directors required to be called under this Act is not called, or the notice of the general meeting or the meeting of the board of directors is not sent, or the documents to be made available to the shareholders before the holding of the general meeting are not kept ready, or the documents to be submitted to the meeting are not submitted, the director, office bearer or person having the duty to keep or do so or to call the meeting or send the notice,

(i) The office bearer mentioning false documents or contents, stating what was not done as having been done and what was done as having been not done, in the minutes under sub-section (1) of section 75 and sub-section (7) of section 97, or in other statements or reports required to be prepared under this Act and submitted to the company or the Office, or in the notices or information required to be provided,

(j) If the declaration made by the directors under sub-section (2) of section 126 is held to be false, the director making such false declaration,

(k) The person making, or certifying, a false or incorrect translation of the documents or papers required to be submitted to the Office by a foreign company under this Act.

162. Fine up to twenty thousand rupees:–

Except as mentioned in sections 160 and 161, the Court shall impose a fine from five thousand rupees up to twenty thousand rupees on the company or the concerned [71]office bearer or employee of the company not doing any act required to be done by it, or doing any act not to be done, or not performing duties, or doing the act required to be done after the expiry of the time-limit or without following the procedure, or not giving the

[71]Amended by the Companies (First Amendment) Act, 2074.

information required to be given to the Office, or not submitting the statements required to be submitted to the Office, under this Act.

163. Compensation for loss to be recovered:–

If any director, office bearer of any company or any person causes any loss or damage to the company, shareholder, creditor or any other person by committing any offence punishable under this Act, or by violating any provision made in this Act, the memorandum of association, articles of association or consensus agreement, the aggrieved company, shareholder, creditor or person shall be entitled to recover the amount of the loss. Such amount of loss shall be borne by him or her from his or her personal property.

Chapter-18
Audit Committee

164. Audit committee:–

(1) A listed company having paid-up capital of three crore rupees or more, or a company wholly or partly owned by Nepal Government, shall constitute an audit committee consisting of at least three members under the chairpersonship of a director not involved in the day-to-day operation or management of the company.

(2) A person who is a close relative of the chief executive of the company shall not be a member of the audit committee constituted under sub-section (1).

(3) At least one member of the audit committee shall be an experienced person having a professional certificate relating to accounting, or a person experienced in the accounting and financial sector having obtained at least a bachelor's degree in accounting, commerce, management, finance or economics.

(4) A brief description of the activities of the audit committee, the policy adopted by the board of directors to implement the suggestions, if any, made by the audit committee, the matter of any allowances or facilities received by the members of the audit committee, and the names of the members of the audit committee shall also be disclosed in the report of the board of directors required to be prepared by the company.

(5) The audit committee may, by giving notice, call to its meeting the managing director of the company, the chief executive of the company or other directors involved in the day-to-day operation of the company, the auditor, the internal auditor and the chief of accounts to make inquiries on any matter, and if such notice is given, it shall be their duty to be present at the meeting of the committee.

(6) The board of directors shall implement the suggestions given by the audit committee regarding the accounts and financial management of the company, and if any suggestion cannot be implemented, the board of directors shall also disclose the reason therefor in its report.

(7) The company shall arrange adequate means and resources to carry out the functions as per the responsibilities of the audit committee, and the audit committee shall itself regulate its internal procedures.

(8) The chairperson of the audit committee shall be present at the annual general meeting of the company.

(9) The meeting of the audit committee shall be held as required.

165. Functions, duties and powers of audit committee:–

The functions, duties and powers of the audit committee constituted under sub-section (1) of section 164 shall be as follows:–

(a) To review the accounts and financial statements of the company and ascertain the truthfulness of the facts mentioned in such statements,

(b) To review the internal financial control system and the risk management system of the company,

(c) To supervise and review the internal audit functions of the company,

(d) To recommend the names of prospective auditors for the appointment of the auditor of the company, and to determine his or her remuneration and terms of appointment and submit them to the general meeting for approval,

(e) To supervise and review whether or not the auditor of the company has complied with the conduct, standards and guidelines determined by the body authorized under the prevailing law to be complied with while carrying out audit functions,

(f) To determine the policy to be adopted by the company in relation to the appointment and selection of the auditor on the basis of the conduct, standards and guidelines prepared by the body authorized under the prevailing law,

(g) To prepare and implement, or cause to be implemented, the accounting policy of the company,

(h) If any regulatory body has made provision for a detailed statement (long form audit report) to be disclosed in the audit report of the company, to fulfil the conditions necessary for preparing such statement,

(i) To perform other functions specified by the board of directors in relation to the accounts, financial management and audit of the company.

Chapter-19
Provisions relating to Company Not Distributing Profit

166. Company not distributing profit may be incorporated:–

(1) Notwithstanding anything contained elsewhere in this Act, a company may be incorporated to carry on any enterprise, on the condition of not distributing dividends, for

the development and promotion of any profession or business, or for the protection of the collective rights and interests of the persons engaged in any particular profession or business, or for the attainment of any educational, academic, social, philanthropic or public utility or welfare objective.

(2) Any person wishing to register a company to attain the objectives referred to in sub-section (1), or the directors of a public trust (guthi) registered under the prevailing law, or other bodies corporate established under the prevailing law, may make an application to the Office under section 4.

(3) The number of promoters incorporating a company under sub-section (1) shall be at least five, and after the incorporation of such company, the number of its members may be any number not below five.

(4) The membership of a company incorporated under sub-section (1) shall not be transferable in any manner. If any member dies, is deregistered or dissolved, or is amalgamated into another institution or company, the membership of such person or institution shall automatically terminate.

(5) Except where the Office has given prior approval, a company incorporated under sub-section (1) shall not be required to write words such as "company", "limited" or "private limited" with its name.

(6) A company registered under sub-section (1) shall obtain the approval of the Office while expanding its branches.

167. Special provisions relating to company not distributing profit:–

(1) Notwithstanding anything contained in this Act or the prevailing law, the following matters relating to a company incorporated under section 166 shall be as follows:–

(a) Share capital shall not be required to incorporate a company not distributing profit.

Provided that the company may receive membership fees from its members and receive donations and grants in accordance with law to fulfil its objectives.

(b) Except where any member of the company has accepted it in writing, its members shall not be responsible for the debts or liabilities of the company, and where any member has accepted the liability of the company in writing by specifying the limit of liability, his or her liability shall be limited only to that extent.

(c) Except the provisions applicable only to companies having share capital, all the provisions of this Act applicable to listed companies shall also apply to the company, its directors, office bearers, auditors and employees.

(d) The company shall not distribute dividends, bonuses or any other amount out of the profit received by it to its members or employees, and the profit earned by the company shall be spent to increase the capital of the company or to attain its objectives.

(e) The company shall obtain the prior approval of the Office while changing its objectives.

(f) A company not distributing profit shall not be amalgamated into a company distributing profit.

(g) The members of the company incorporated under this Chapter shall elect from among themselves, at the rate of one vote per member, the directors in the number determined in the articles of association.

(h) The meeting allowance, salary and facilities to be received by the office bearers working in the company incorporated under this Chapter, and the incorporation expenses and operating expenses of the company, shall not exceed those specified by the Office, and the Office shall, while so specifying the expenses, take as the basis the capital position and profit of such company.

[72]Provided that the administrative expenses shall not exceed twenty-five percent of the total expenses.

(i) If the company incorporated under this Chapter is dissolved or deregistered, the assets remaining after settling the debts and liabilities of the company shall devolve as provided in the articles of association of the company, if any, and, where there is no such provision, on Nepal Government.

Provided that such assets shall not devolve in any manner on the promoters or members of such company or their close relatives, or on any institution or company in which their close relative is a promoter or member.

(2) If the provisions mentioned in sub-section (1) are violated, the Office may deregister the company committing such violation.

Provided that the company shall be given an opportunity to defend itself before deregistration.

(3) A person who is not satisfied with the decision of deregistration made by the Office under sub-section (2) may file a complaint with the Court within thirty-five days of receiving information of such decision.

(4) While deregistering the company under sub-section (2), the Office shall appoint a liquidator and an auditor, specifying the time-limit within which the liquidation of such company must be completed, to complete the work of liquidation.

(5) The liquidator and the auditor appointed under sub-section (4) shall perform their functions in accordance with the provisions made in this Act and the prevailing law.

[72]Inserted by the Companies (First Amendment) Act, 2074.

Chapter-20
Interim Provisions relating to Company Advisory Board and Company Board

168. Constitution of Company Advisory Board:–

(1) In order to advise Nepal Government, as required, on the matter of making timely reforms in the prevailing company law by studying the practical problems seen in the implementation of this Act and the prevailing law relating to company administration, and in relation to the reform of company administration, Nepal Government shall, by publishing a notice in the Nepal Gazette, constitute a Company Advisory Board consisting of a maximum of nine members, including one person each from the fields of law, accounting profession, tax administration, and commerce or business administration of the government and private sectors, who has passed at least a [73]bachelor's degree in that subject and acquired expertise by working for at least seven years, and a representative of the Federation of Nepalese Chambers of Commerce and Industry. The Registrar shall be the member-secretary of the Company Advisory Board.

(2) While constituting the Advisory Board under sub-section (1), any one of the members of such Board shall be designated, in the same notice, to act as the chairperson.

(3) The Company Advisory Board shall submit the annual report of the activities carried out by it under sub-section (1) to the concerned Ministry of Nepal Government.

(4) The concerned Ministry shall make public the report submitted under sub-section (3) and also make arrangements enabling the general public to obtain it at a reasonable price.

169. Provisions relating to Company Board:–

(1) Until Nepal Government specifies a court in accordance with the provisions made in this Act, Nepal Government shall, by publishing a notice in the Nepal Gazette, constitute a three-member Company Board consisting of the following chairperson and members:–

(a) A person who, having graduated in law and having experience in the field of commercial law, is or has been a district judge or is qualified to be a district judge – Chairperson

(b) A person who, having been registered as an advocate under the prevailing law, has practised law for at least ten years in the field of commercial law, or has worked for at least four years in a gazetted second class post of the Nepal Judicial Service – Member

(c) A person who, having graduated in management, commerce or accounting, has worked for at least ten years in the field of company management, tax administration or accounting, or an accounting professional who, having obtained a professional certificate relating to accounting, has at least five years of experience in the accounting profession – Member

[73]Amended by the Companies (First Amendment) Act, 2074.

(2) Notwithstanding anything contained in clause (a), (b) or (c) of sub-section (1), Nepal Government may, by publishing a notice in the Nepal Gazette, designate any member, from among the members of the Company Advisory Board constituted under section 168, having the qualifications mentioned in those clauses, to also act as the chairperson or a member of the Company Board to be constituted under this section.

(3) The Board constituted under sub-section (1) or (2) shall exercise the jurisdiction conferred on the Court under this Act.

(4) While proceeding with and deciding cases by exercising the jurisdiction under sub-section (3), the Company Board constituted under sub-section (1) or (2) shall do as follows:–

(a) The three members shall exercise its jurisdiction collectively.

Provided that, if the chairperson and one other member are present, cases may be proceeded with and decided and, if two members other than the chairperson are present, cases may be proceeded with.

(b) If the three members are present, the unanimous opinion of all the members or the majority opinion of two members shall be deemed to be the decision of the Company Board.

(c) If only two members are present and both members have a unanimous opinion, it shall be deemed to be the decision of the Company Board.

(d) If, where two members are present, a unanimous opinion cannot be reached, it shall be done, in the case of proceedings, according to the opinion of the chairperson if the chairperson is present and, if members other than the chairperson are present, according to the opinion of the senior member and, in the case of a judgment or final order, the matter shall be submitted to the member who was absent earlier, and the opinion supported by him or her shall be deemed to be the decision of the Company Board.

(e) If, where three members are present, the opinions of the three members differ, or if a majority cannot be reached even when submitted to the member who was absent earlier under clause (d), it shall be done, in the case of proceedings, according to the opinion of the chairperson and, in the case of a judgment or final order, a reference shall be submitted to the appellate court.

(5) The Company Board may, considering the workload of cases, also establish its camp for a specified period at any other place within the State of Nepal and proceed with and decide cases.

(6) While proceeding with and deciding cases, the Company Board shall adopt the procedures under the Summary Procedure Act, 2028.

(7) The party not satisfied with the decision made by the Company Board in relation to any case under this section may appeal to the concerned appellate court within thirty-five days from the date of receiving information of the decision.

(8) The remuneration, facilities and other conditions of service of the chairperson and members appointed or designated under this section shall be as prescribed.

Provided that the conditions of service shall not be so prescribed as to reduce the remuneration and facilities once given.

(9) Notwithstanding anything contained in sub-section (1), the Company Board constituted and existing under the Company Act, 2053 at the time of commencement of this Act shall continue to exist until the Company Board under this Act is constituted.

(10) The cases filed and under proceedings or remaining to be decided in the Company Board under sub-section (9) at the time of commencement of this Act, and the applications relating thereto, shall, after the commencement of this Act, be transferred to the Company Board provided for under this section, and such cases shall be proceeded with and decided by such Board.

170. Provisions relating to secretariat and employees of Company Advisory Board and Company Board:–

(1) The secretariat of the Company Advisory Board constituted under section 168 shall be at the Office of the Company Registrar.

(2) The secretariat of the Company Board constituted under section 169 shall be at the Ministry of Industry.

(3) The secretariat of the Company Board shall have employees in the number specified by Nepal Government.

171. Dissolution of Company Board:–

(1) The Company Board constituted under section 169 shall automatically be dissolved from the date on which Nepal Government specifies a court under this Act by publishing a notice in the Nepal Gazette.

(2) After the dissolution of the Company Board under sub-section (1), the appointment of the chairperson, members and other employees working in such Board shall automatically terminate, and no compensation or additional amount shall be payable to them therefor. If there are employees deputed to such Board from other offices, their deputation shall automatically terminate.

(3) After the dissolution of the Company Board under sub-section (1), all the cases under proceedings or remaining to be decided in such Board under this Act, and the applications relating thereto, shall be transferred to the Court.

Chapter-21
Miscellaneous

172. Records of company and use of computer:–

(1) The records of minute books, registers of shareholders or debenture holders, list of shareholders, accounts and books of account, etc. required to be maintained by the company under this Act may be kept by entering them in separate books or, without prejudice to the provisions made in this section, through electronic communication means and computer, including in a non-legible form, or by any other means so as to create records.

(2) If the records of any minute book, register, list of shareholders or debenture holders, accounts and books of account, etc. have been kept by any other means without maintaining books, the following shall apply:–

(a) If the place where the records of such minute book, register, list of shareholders or debenture holders or accounts, etc. are kept is easily accessible and such records can be seen or their copies obtained from such place, they shall be deemed to have been kept at such particular place.

(b) The company shall make adequate arrangements so that no one can damage or alter the records under clause (a), and the matters recorded therein can be easily traced, seen and copies thereof taken out.

(c) If any matter has been recorded in a manner that cannot be read at a glance, it shall be capable of being reproduced so as to be easily readable.

(3) If the records of any minute book, register, list of shareholders or debenture holders, accounts and books of account, etc. have been kept on a website by using electronic communication means or computer under this section, arrangements shall be made to clearly show the date on which such documents were prepared and the date on which they were amended.

(4) If any minute book, register, any list, accounts and books of account maintained by the company under this Act have been recorded in a manner that cannot be read at a glance (non-legible form), and any law has determined the liability of the company to allow the inspection of, or to submit copies of, such records, it shall be the liability of the company to make arrangements so that the relevant part of such records can be inspected and seen, or copies thereof can be submitted in an easily readable form (legible form).

173. Corporations owned by Nepal Government may be converted into company:–

(1) If Nepal Government wishes to convert a public corporation established under the prevailing law, wholly or partly owned by Nepal Government, or a development board under the Development Board Act, 2013, into a company, such corporation or board may be converted into and incorporated as a public company under this Act.

(2) Notwithstanding anything contained elsewhere in this Act, there shall be no restriction on the number of promoter shareholders while incorporating the company under sub-section (1).

(3) The movable and immovable property of the corporation or board under sub-section (1) may be valued and converted into the share capital of the company to be incorporated under sub-section (1), and where it is so converted, all the assets and liabilities of such corporation or board shall, except as otherwise provided in the articles of association, devolve on such company.

(4) Notwithstanding anything contained elsewhere in this Act, the number of directors of the company incorporated under this section shall be as specified in the articles of association of the company, and such directors shall not be required to take shares to be directors.

(5) The company under this section may sell and distribute its shares to the private sector through the securities market or directly in a lump sum.

174. Predecessor to hand over to successor:–

Any director or other office bearer or [74]employee of the company shall hand over the documents and records under his or her custody, after leaving his or her office, to the successor director, office bearer or employee appointed to work in his or her place within thirty days of leaving his or her office, and where the predecessor comes to hand over accordingly, the successor shall also take them over.

175. Transactions between associated companies:–

(1) Where there is an agreement or arrangement whereby any one company provides, directly or indirectly, loans or any other kind of financial assistance to another company, or provides a guarantee to pay any liability or any other kind of security, or where there is any transaction other than regular business transactions, between the following companies, a transaction shall be deemed to have taken place between associated companies:–

(a) Any company and its holding company,

(b) Any company and another subsidiary company of its holding company,

(c) A subsidiary company of any company and the holding company of such company,

(d) A subsidiary company of any company and another subsidiary company of the holding company.

(2) If a transaction under sub-section (1) takes place, the associated company shall, as soon as possible, give notice to its shareholders and the Office, disclosing the following details in relation to such transaction:–

[74]Amended by the Companies (First Amendment) Act, 2074.

(a) Date of the transaction and the parties involved in the transaction,

(b) Nature of the transaction and, if transactions such as providing loans, providing financial assistance and giving security have taken place under such transaction, the amount or value thereof.

176. Restriction on transactions between companies:–

(1) No company shall, directly or indirectly, [75]without passing a special resolution by the general meeting, lend to any other company, or give a guarantee for a loan taken by any other company, or invest in the securities of another company, exceeding sixty percent of its paid-up capital and accumulated profit (free reserve), or one hundred percent of its accumulated profit (free reserve), whichever is higher.

Provided that this provision shall not apply to a company carrying on banking or financial transactions, an insurance company, [76]a company having the main objective of purchasing and selling, or only investing in, securities, a private company not having taken loans from a bank or financial institution, a company having the objective of providing physical infrastructure facilities, and in relation to the investment made by a holding company in its wholly owned subsidiary company, the loan given to such company and the guarantee given for the loan taken by such company, and the investment made in rights shares issued under this Act.

(2) Subject to sub-section (1), the company shall maintain details, as prescribed, in relation to the loan given to any other company, the investment made in such company or the guarantee given for the loan taken by such company.

177. Companies may amalgamate:–

(1) A public company may, for the purpose of amalgamation into another company, amalgamate into another company subject to sub-section (3) by passing a special resolution at the general meeting of the company being amalgamated.

Provided that, in the case of a private company, it shall be as provided in its memorandum of association, articles of association or consensus agreement.

(2) Where a public company is amalgamated into a private company or a private company is amalgamated into a public company, the public company shall continue to exist.

(3) If the resolution to amalgamate under sub-section (1) is passed, such company shall make an application to the Office for approval within thirty days, disclosing the following matters:–

(a) In the case of a public company, the decision of the general meeting under sub-section (1) and, in the case of a private company, a copy of the relevant provision of

[75]Inserted by the Act Amending Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2081.
[76]Amended by the Companies (First Amendment) Act, 2074.

the memorandum of association, articles of association or consensus agreement conferring the power to amalgamate,

(b) Final balance sheet and the report of the auditor of the company being amalgamated,

(c) A copy of the written consent letter of the creditors of the company being amalgamated and the amalgamating company,

(d) Valuation of the movable and immovable property and a true statement of the assets and liabilities of the company being amalgamated,

(e) If the company being amalgamated and the amalgamating company have made any decision regarding the creditors and workers and employees of the company being amalgamated, a copy of such decision,

(f) Agreement on the completion of the amalgamation between the companies (scheme of arrangement).

(4) If the notice under sub-section (3) is given to the Office, the Office shall study it and give information of its decision within three months.

(5) After the approval to amalgamate is received from the Office under sub-section (4), all the assets and liabilities of the company being amalgamated shall be deemed to have been transferred to the amalgamating company.

(6) The Office shall maintain a separate record of the amalgamated company in the register of companies.

(7) Except as otherwise provided in the memorandum of association, articles of association or consensus agreement of the company, a shareholder not giving written consent to the consolidation or amalgamation of the company, or the exchange or transfer of shares, or the sale of all the assets of the company, may, before such consolidation and amalgamation, exchange or transfer of shares or sale of assets, cause the property of the company to be valued and take refund of the amount proportionate to his or her shares from the amalgamating company.

(8) Notwithstanding anything contained elsewhere in this section, the Office shall not grant approval for the amalgamation of companies if it appears that it would result in monopoly or unfair trade control or would be contrary to public interest.

[77](9) The provisions made in this section shall apply, with necessary modifications (mutatis mutandis), while any company not distributing profit is amalgamated into another similar company not distributing profit.

178. Power to issue directions:–

If the Office receives information, by any means, that any company, its director or office bearer or any other employee has not done any act required to be done under this Act, the

[77]Inserted by the Companies (First Amendment) Act, 2074.

memorandum of association or articles of association or, in the case of a private company, the consensus agreement, or has done or is about to do any act contrary to this Act or the articles of association of the company, the Office may, after inquiring or causing an inquiry into the matter, give necessary directions to the concerned company, its director, office bearer or employee to do or cause to be done any act required to be done accordingly, or to refrain from doing any act not to be done, and it shall be the duty of the concerned person to comply with such directions.

179. Bonus shares:–

(1) A company may, by passing a special resolution at the general meeting, issue bonus shares to its shareholders out of the amount which may be distributed as dividend.

(2) If the company is to issue bonus shares under sub-section (1), it shall inform the Office before issuing such shares.

180. Acts done in contravention of this Act or articles of association to be void:–

Except as otherwise provided in this Act, the memorandum of association or the articles of association, if any act has been done in any company or in relation to any company without doing any act required to be done, or by doing any act not to be done, under this Act, the memorandum of association or the articles of association, such act shall be void.

181. Notice relating to transactions of company:–

(1) If any notice is required to be given under this Act, the memorandum of association and the articles of association, and the person receiving the notice expresses in writing, before or after the specified time, that such notice is not necessary, he or she shall be deemed to have received such notice.

(2) If a shareholder is present at any meeting in person or through proxy, he or she shall be deemed to have waived the right to the notice receivable by him or her under this Act, the memorandum of association or the articles of association.

182. Dividend:–

(1) Except in the following circumstances, dividend shall be distributed to the shareholders within forty-five days of the decision to give dividend:–

(a) If any law has prohibited the distribution of dividend,

(b) If the right to receive dividend is disputed,

(c) If dividend cannot be distributed within that time-limit due to circumstances beyond the control of the company or for any reason.

(2) A company wholly or partly owned by Nepal Government may distribute dividend only after obtaining the prior approval of Nepal Government, and Nepal Government may give necessary directions on the matters relating to the dividend to be distributed by such company.

(3) If the dividend is not distributed within the time-limit under sub-section (1), the dividend shall be distributed by adding interest as prescribed.

(4) While declaring the dividend, the person whose name exists in the register of shareholders, or his or her heir in accordance with law, shall be entitled to such dividend.

(5) The company shall not pay or distribute dividend from any source other than the amount of profit set aside for the distribution of dividend.

(6) Before paying or distributing dividend out of the profit of any financial year, the company shall have fully deducted the preliminary operating expenses, the amount to be deducted as depreciation in accordance with the accounting standards determined by the body authorized under the prevailing law, the amount to be paid or set aside out of the profit under the prevailing law, or the amount of accumulated losses incurred in the previous financial years.

Provided that, if the prevailing law has made any provision regarding the creation of any reserve or accumulated fund before the distribution of dividend, the company required to comply with such provision shall not distribute dividend without creating such reserve or accumulated fund.

(7) Subject to the various provisions made in this section, the board of directors of any company may distribute interim dividend out of the profit of the previous financial year in the following circumstances:–

(a) If there is a provision in the articles of association on the matter of distributing interim dividend,

(b) If the annual financial statements of the financial year out of whose profit the interim dividend is to be distributed have been certified by the auditor and approved by the board of directors.

(8) Except for the dividend approved by the general meeting, the company shall not pay or distribute any amount to the shareholders in cash or kind so as to be charged to its fund.

(9) The amount of dividend not collected by any shareholder even after the expiry of a period of five years from the date of the decision of the general meeting of the company on the distribution of dividend shall be deposited into the Investor Protection Fund to be established under section 183.

(10) While depositing the amount under sub-section (9) into the Fund under section 183, the company shall, at least before the expiry of the period mentioned in that sub-section, publish a notice in a national level daily newspaper giving a time-limit of one month to come and collect the dividend.

(11) The company shall deposit the amount of dividend to be distributed to the shareholders under this Act into a separate account within forty-five days from the date

of approval by the general meeting and shall pay the amount of dividend from the same account, and the company shall not use such amount for other purposes.

183. Investor Protection Fund:–

(1) An Investor Protection Fund shall be established to deposit the amount flowing for investment in the shares of a company where the claim of any investor for the refund of such amount is not submitted even within five years.

(2) The amount in the Fund established under sub-section (1) may be spent to reform the capital market, investment policy, company law or professional laws relating to trade and business, to provide training to the employees of the Office or companies, or for other functions relating to company administration.

(3) The management and operation of the Fund established under sub-section (1) shall be as decided by a committee consisting of the Registrar, the chairperson of the Securities Board or his or her representative, and one representative appointed by the Securities Board from among the institutions operating the securities market.

(4) The Office shall keep records of the expenses made from the Fund established under sub-section (1) and have them audited.

(5) The amount received from Nepal Government, any donor agency or any person or body may also be deposited into the Fund established under sub-section (1).

(6) If the claim of any investor is not submitted under sub-section (1), a notice shall be published in a national level daily newspaper, giving a time-limit of at least one month to collect such amount, before depositing such amount into the Investor Protection Fund.

184. Office of company:–

(1) Every company shall put up, outside its registered office, a signboard visible to all, with the name and address of the company written in Nepali.

(2) Every company shall register the address of its registered office with the Office within three months of the incorporation of the company.

(3) [78].....

(4) After the registration of the company, the company shall give the Office information on its contact addresses such as telephone, fax, e-mail, etc., and if such address changes, shall immediately provide the changed address to the Office.

(5) The Office may prepare a list of the addresses of the registered offices of the companies and of the addresses under sub-section (4) in serial order and keep it open for inspection by the general public.

[78]Omitted by the Companies (First Amendment) Act, 2074.

185. Appointment of company secretary:–

(1) A company having paid-up capital of one crore rupees or more shall appoint a Nepali citizen having the qualifications referred to in sub-section (2) to the office of company secretary.

(2) A Nepali citizen who, having obtained the professional certificate of company secretary from a domestic or foreign body authorized under the prevailing law to issue professional certificates relating to company secretaries, has worked for at least two years in the concerned field, or who, having acquired at least a bachelor's degree in law, management, commerce or economics, has worked for at least three years in the concerned field or in the field of company management, may be appointed to the office of company secretary.

Provided that this provision shall not apply, for three years from the date of commencement of this Act, in the case of a company secretary holding office at the time of commencement of this Act.

(3) A director of the concerned company shall not be appointed as the secretary of such company.

(4) No person shall be appointed to the office of company secretary of more than one company at the same time.

Provided that this provision shall not bar the appointment of the company secretary of any holding company to the office of company secretary of a subsidiary company of such company.

(5) Where it has been provided under this Act, the prevailing law or the articles of association that any act shall be done by the company secretary or by him or her, and the office of company secretary in such company remains vacant for any reason, or the company secretary holding office does not do such act or shows inability to do it, any employee of the company having the qualifications under this Act, designated by the board of directors to do such act, may act in the capacity of the company secretary.

186. Functions, duties and powers of company secretary:–

(1) It shall be the duty of the company secretary to implement and cause to be implemented the decisions made by the board of directors and the general meeting and the matters directed by the Office or concerned bodies, and to submit within the specified period the statements, documents, decisions, etc. required to be submitted by the company to the Office or any other body under this Act or the prevailing law.

(2) Subject to this Act, the memorandum of association and the articles of association, the company secretary shall do the following acts:–

(a) To call the meeting of the board of directors or the general meeting,

(b) To prepare the agenda of the matters to be discussed in the meeting of the board of directors or the general meeting and send it to the concerned directors or shareholders,

(c) To keep the records of the decisions of the meeting of the board of directors or the general meeting, certify them and take them under custody,

(d) To send the notices of allotment of shares and the notices of calls for instalments in accordance with the decision of the board of directors,

(e) To maintain accurately, take under custody and certify the register of shareholders and the records of shareholders and debenture holders,

(f) To submit to the board of directors or the chief executive the matters of recording the pledge or mortgage, transfer or transmission of shares or debentures,

(g) If any claim, complaint, grievance, suggestion, advice, etc. of a shareholder or debenture holder is submitted in writing, to convey it to the board of directors or the chief executive or the Office or other bodies and to give in writing to the concerned shareholder or debenture holder the result of the action taken in that respect,

(h) To do other acts determined or prescribed under the prevailing law to be done by the company secretary.

(3) Except in accordance with the decision of the general meeting, the company secretary shall not do or cause to be done any act which benefits himself or herself from or through the company.

(4) The company secretary shall comply with the code of conduct as prescribed.

187. Validity of agreement among shareholders:–

(1) An agreement made among the shareholders of the company regarding the management and operation of the company and the exercise of the voting rights available to the shareholders shall be applicable among them in a binding manner.

Provided that, if any provision of such agreement is contrary to the interests of the company or its minority shareholders, it shall automatically be inoperative to that extent.

(2) The concerned shareholder shall submit two copies of the agreement under sub-section (1) to the company within fifteen days from the date of such agreement. The company shall submit one copy of the agreement so received from the shareholders to the Office within fifteen days of receiving it.

187A. [79]Necessary acts to be done for prevention of money laundering:–

A company shall express its commitment, in accordance with the prevailing law, in relation to the prevention of money laundering and financing of terrorist activities.

188. Consequences after Company Ordinance, 2062 becomes inoperative:–

Unless a different intention appears, the Company Ordinance, 2062 having become inoperative shall not,–

(a) Revive anything not in force or not existing at the time when such Ordinance became inoperative,

(b) Affect any matter in operation under such Ordinance or any act duly done or anything suffered thereunder previously,

(c) Affect any right, privilege, duty or liability acquired, accrued or incurred under such Ordinance,

(d) Affect any penalty, punishment or forfeiture imposed under such Ordinance,

(e) Affect any action or remedy taken in respect of any such right, privilege, duty, liability or penalty mentioned above, and any such legal proceeding or remedy may be instituted, continued or enforced as if such Ordinance were in force.

[79]Inserted by the Companies (First Amendment) Act, 2074.